Strategy

India

February 23, 2026

Day 1 of Chasing Growth 2026

The 17th edition of Kotak's flagship annual investor conference, **Chasing Growth 2026**, began on Monday with a strong opening line-up of speakers from across finance, policy, technology and industry.

In his inaugural address, **Uday Kotak, Founder and Director of Kotak Mahindra Bank**, spoke about the growing convergence between sovereign power and corporate capability. He highlighted **market capitalization, technological leadership and scale** as key sources of disproportionate influence in today's global economy.

Among the other prominent speakers on Day 1 were **Ashok Vaswani**, Managing Director and CEO of Kotak Mahindra Bank; **Michael Patra**, former Deputy Governor of the Reserve Bank of India; and **C Vijayakumar**, CEO of HCL Technologies.

Mr Vaswani outlined **six mega-trends** that could shape the future of India's financial sector, emphasizing that the next major growth phase would be driven by **India's deeper integration into the global economy**. Dr Patra underscored India's **macro-financial resilience**, pointing to structural strengths that support long-term stability. Mr Vijayakumar described **generative AI** as a net tailwind for the services industry, noting that both opportunities and challenges exist.

The first-day speaker line-up also featured several leading corporate voices, including **Rahul Bharti** of Maruti Suzuki, **Nilesh Gupta** of Lupin and **P Venkatesalu** of Trent. Another engaging session brought a different perspective to the stage, featuring **Praveen Kumar**, Paralympics gold medalist in high jump, alongside **Viren Rasquinha**, former Indian field hockey player and Managing Director and CEO of OGQ.

In terms of participation, **Day 1 of Chasing Growth 2026** saw interactions between **156 senior executives from 65 corporates** and **754 representatives from 246 institutional investor participants**. The day included **285 one-on-one meetings, 134 group meetings and eight speaker sessions**, underscoring the scale and depth of engagement at the conference.

Day 1 – companies at KIE's Chasing Growth conference

1	Aadhar Housing Finance
2	Adani Ports & Special Economic Zone
3	Aditya Birla Fashion and Retail
4	Apollo Tyres
5	Aptus Value Housing Finance India
6	Astral
7	AU Small Finance Bank
8	Bajaj Auto
9	Bharat Forge
10	Bharti Airtel / Bharti Hexacom
11	Blue Jet Healthcare
12	Blue Star
13	CESC
14	Cipla
15	Corona Remedies
16	Cummins India
17	Delhivery
18	Dr Reddys Laboratories
19	Dr. Agarwals Health Care
20	Emcure Pharmaceuticals
21	Equitas Small Finance Bank
22	GMR Airports
23	Gravita India
24	HCL Technologies
25	HDFC Asset Management Company
26	HDFC Bank
27	HDFC Life Insurance Company
28	Hero Motocorp
29	Hexaware Technologies
30	Hindalco Industries
31	ICICI Bank
32	IndiaMART InterMESH
33	IndusInd Bank
34	Infosys
35	JSW Steel
36	Kotak Mahindra Bank
37	KPIT Technologies
38	Lenskart Solutions
39	LG Electronics India
40	Life Insurance Corporation of India
41	Lodha Developers
42	Maruti Suzuki India
43	Max Healthcare
44	Mindspace Business Parks REIT
45	Neogen Chemicals
46	Oberoi Realty
47	Oil and Natural Gas Corporation
48	Petronet LNG
49	Piramal Finance
50	Polycab India
51	Prudent Corporate Advisory Services
52	PVR INOX
53	Reliance Industries
54	Samvardhana Motherson
55	SBI Life Insurance Company
56	Shriram Finance
57	Sun Pharmaceuticals Industries
58	Swiggy
59	Tech Mahindra
60	Torrent Pharmaceuticals
61	Trent
62	Utkarsh Small Finance Bank
63	Varroc Engineering
64	Varun Beverages
65	Vishal Mega Mart

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SPEAKER SESSIONS

Uday Kotak

Founder & Director, Kotak Mahindra Bank

Changing world order: Way forward for India

Key takeaways

- Mr Kotak noted that people who still look at newspaper saw an ad by Google showing PM of India and CEO of Google, Sundar Pichai, shaking hands during the AI summit. Mr Kotak believed that moment to be immensely important as it was symbolic of the growing convergence between sovereign power and corporate capability.
- He highlighted that market capitalization, technology leadership and scale as sources of disproportionate influence, and thereby increasingly becoming a driver of global change. He cited the US as a clear example of where corporate influence plays a major role.
- Mr Kotak used the historical analogy via the British Empire, which began as a trading company, driven by profit motives. The East India Company was cited as an example, where a profit-driven corporation evolved into a sovereign power, through technology (gunpowder and arms). He cited that as an example of technology-backed leverage changing the fate of nations.
- He further used an example of "horses and horse manure" from late 19th-century New York, where even "well-reasoned" long-term projections can be invalidated by technological inflection points. He suggested that change may appear gradual initially but can accelerate rapidly and non-linearly.
- In the modern context, Mr Kotak cited that the current global order is being shaped by three factors: (1) technology, (2) defense and (3) capital. These forces underpin the dominance of two superpowers: the US and China, amplified by their corporations. Corporations aligned with these states act as force multipliers.
- In this context, he believes that India needs to build negotiating leverage in this world order. He highlighted that India's focus should be on (1) protecting future sovereignty, (2) building strategic leverage and (3) choosing the right technological battlegrounds. He stated that India's recent engagement with AI at a national level as a positive signal of intent, despite logistical challenges.
- Mr Kotak framed AI not just as a technological shift, but as a civilizational inflection point. He wondered how does the society bridge the gap between intelligence and wisdom. While AI may rapidly optimize intelligence, he wondered whether (1) judgment, (2) restraint and (3) ethical reasoning ("wisdom") can be embedded or whether these will remain uniquely human attributes.
- Unlike past technological cycles, AI may evolve through much shorter and faster cycles. There was uncertainty on whether: we are still in an early, formative phase, or the AI cycle will compress dramatically compared to historical technology shifts. He highlighted this uncertainty as the defining feature of the current environment
- **India's macroeconomic readiness.** Mr Kotak noted that entering a global technological "battle" requires a strong balance sheet. He described India as entering this phase with: (1) a relatively stable external position, (2) a pragmatic approach to currency management and (3) currency depreciation against major currencies (he framed this as a policy choice to not fight capital flows, rather than a sign of weakness).
- **Capital markets and investor dynamics.** Mr Kotak identified two markets as central from an investor perspective: (1) currency and (2) equities. He noted that:
  - Currency management is driven by policy pragmatism
  - Outcomes in equity markets are linked to (a) retail investor behavior and (b) ongoing tussle between momentum-driven investing and value discovery

- **India's sources of negotiating leverage.** He believes that one of India's key strategic levers is access to its domestic market, as granting greater access strengthens geopolitical and trade relationships, particularly with Europe and the US. However, this access also introduces risks:
  - Portfolio reevaluation for domestic investors
  - Sectoral disruption as global competition intensifies
- **Geopolitics and strategic balance.** He described the relationship with the US as strategically important and value-enhancing. At the same time, India's engagement with China was framed as unavoidable due to: geography and trade linkages. He emphasized realism on this front as geography cannot be changed and domestic competitiveness must be improved.
- **Financialization and long-term implications.** Mr Kotak highlighted that rapid financialization in India may have resulted in Indian corporates facing capital market pressures earlier than ideal. As a result, corporates became overly focused on short-term earnings, leading to (1) underinvestment in research and innovation and (2) strategic decision-making, driven by quarterly expectations rather than long-term capability building. He noted the resulting cost of this trade-off as a long-term structural issue.
- **Role of investors in enabling long-term growth.** He emphasized that India's leverage must ultimately come from Indian companies, but this requires: (1) investors willing to tolerate multi-year gestation periods and (2) acceptance of lower near-term profitability in exchange for future strategic positioning. He highlighted the contrast versus global peers, where large global corporations are making massive future-oriented investments, often without concern for profit dilution in the next several years. He emphasized the need for more visionary capital and greater alignment between corporate ambition and investor patience
- **Challenges in the banking sector.** He described the Indian banking sector, as being in relatively good financial health, but facing certain challenges. He discussed the central issue being the rising cost to serve in an environment where financial services are increasingly expected to be delivered at near zero marginal cost. He outlined the traditional "grand bargain" of Indian banking as (1) banks receiving low-cost deposits and (2) in return, they fund government needs and priority sectors (e.g., agriculture). This model is under strain because deposits are shifting from "money in storage" to "money in motion". Furthermore, technology and alternative financial products are changing depositor behavior.
- **Regulatory evolution.** Mr Kotak described regulators as increasingly pragmatic and proactive. He cited the examples of (1) adjustments to CRR over time and (2) changes in deposit insurance pricing, moving toward a graded structure. However, he emphasized that regulation alone is insufficient and that banks themselves must rethink business models to survive long term disruption
- **Possible disruption in asset management by AI.** He highlighted asset management as another sector under disruption, which can see (1) shift from active to passive and (2) the emergence of AI-driven portfolio management. A key risk raised: (a) investors may increasingly bypass intermediaries and (b) AI could significantly compress intermediation margins. Compared to asset management, banking has much higher intermediation costs, making it more vulnerable unless it adapts.
- **Adapting to disruption.** Mr Kotak framed disruption as inevitable and accelerating, which is not a new phenomenon in itself. In his view, it is better to embrace AI and disruption proactively than to wait for certainty. Hesitation increases risk in fast-moving cycles. He believes that investors will face a key strategic dilemma on (1) bet on existing incumbents transforming themselves or (2) allocate capital to pure disruptors that may destroy existing models. He cited the examples of broking and telecom businesses over the last decade to highlight the key difficulty of identifying which incumbents can genuinely transform.
- He believes that the future belongs to those willing to take large, uncomfortable bets, and that transformation requires both corporate courage and investor conviction. In his view, recognition of disruption matters more than timing, with execution separating survivors from casualties.

Ashok Vaswani

MD & CEO, Kotak Mahindra Bank

Transforming for scale

Key takeaways

- Mr Vaswani discussed the six key mega-trends that may shape India's financial sector
  - Integration of India and the India into the global economy,
  - Digital public infrastructure
  - Changing composition of bank balance sheets
  - Change in regulatory framework
  - Concentration of economic power and emergence of middle class
  - Financial consolidation
- **Integration, not just deregulation.** He noted that while the past growth is attributed to deregulation (banking license, AMC, insurance, investment banking), the next major driver will be driven by integration of India into the global economy. He believes this to play out gradually and on India's own terms. He cited examples regarding:
  - Cross-border payment linkages (e.g., Singapore, Dubai, neighboring countries)
  - Liberalized remittance schemes
  - GIFT City as a controlled liberalization zone
- **Digital Public Infrastructure (DPI) as a decisive advantage.** He described India's digital public infrastructure as unmatched globally in scale and depth. He sees that both an opportunity and a threat for financial institutions. He referenced DPI elements of (1) identity and KYC systems, (2) account aggregation and (3) unified lending and payments infrastructure. In his view, institutions that build on DPI win, while institutions that miss it face existential risk.
- **DPI + AI = acceleration.** Mr Vaswani noted that government is supporting deepening capabilities in: cloud infrastructure, large language models, with AI capabilities being framed as an extension of DPI, not separate initiatives. This combination is expected to (a) democratize access to finance further, (b) compress margins and (c) force product innovation at much lower cost points.
- **Interest-rate normalization reshapes bank balance sheets.** Mr Vaswani highlighted that as inflation moderates and rates normalize, long-duration lending (e.g., mortgages, infrastructure) becomes structurally viable. However, bank balance sheets alone may be insufficient for India's investment needs. This drives (a) greater reliance on capital markets, (b) securitization and syndication models. In his view balance sheets, not just products, must adapt in this evolving landscape.
- **Accelerating saver-investor transition.** He described Indian consumers as (a) financially aware, (b) return-sensitive and (c) willing to reallocate capital across instruments. This trend pressures traditional deposit-based models and increases cost of intermediation. Financial institutions must compete on value, transparency and efficiency.
- **Regulatory backdrop.** He acknowledged regulators (notably, the RBI) as operating from a position of cleaned-up balance sheets and focused on system sustainability. However, regulation is not seen as a shield; institutions must still adapt their business and product models.
- **Concentration of economic power and emergence of Indian middle class**
  - He described that economic power is increasingly concentrated at the top-end, particularly among UHNW and HNW individuals, with their consumption patterns said to be indistinguishable from global peers. Wealth is also becoming globally mobile, which forces Indian financial institutions to raise (1) product quality and (2) compete with global players on service, sophistication and governance.

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- He also noted the rapid expansion of India's middle class as parallel structural force. He noted that a large portion of the Indian middle class has (a) moved into higher consumption brackets and (b) adopted formal financial products and services. He noted that middle-class consumers actively use EMIs and SIPs to manage aspirations. They are comfortable with structured finance rather than pure cash spending. He believes that financial institutions will need to serve this group profitably through (a) digital acquisition, (b) digital servicing and (c) standardized yet flexible products.

- **Financial consolidation.** Mr Vaswani highlighted that financial services is fundamentally a scale business. He outlined several forces that are accelerating consolidation, namely (1) rising technology and infrastructure costs, (2) increasing regulatory and conduct requirements, (3) higher compliance and capital expectations. As these pressures intensify, smaller institutions face growing difficulty in sustaining independent operations.

- **Kotak's position as a diversified and integrated platform.** Mr Vaswani anchored the broader industry discussion in Kotak's own structure. He outlined Kotak's presence across banking, capital markets, asset management, insurance, and alternative assets. The emphasis was not merely on diversification, but on integration across businesses, allowing the group to (1) absorb volatility in individual segments and (2) deliver more stable outcomes across economic cycles. This diversified platform provides a structural advantage in a consolidating financial system.

- **Strategic importance of full ownership of subsidiaries.** Mr Vaswani highlighted that Kotak Mahindra Bank's 100% ownership of subsidiaries is at a sharp contrast to industry practices, where partial divestments to foreign partners resulted in (1) reduced strategic alignment, (2) value leakage and (3) limited feedback into the parent organization. In his view, full ownership enables, better capital allocation, stronger governance consistency and deeper operational and strategic integration. This is positioned as a deliberate long term choice rather than a short term financial optimization.

- **Capital strength as strategic optionality.** Kotak maintains capital well above regulatory minimum, with the capital position providing a strategic optionality, which enables the group to (1) withstand economic stress, (2) invest through downturns and (3) participate in consolidation opportunities.

- **Governance and risk culture.** He placed strong emphasis on governance and risk management, noting that, their importance is often underestimated during favorable cycles and that their value becomes evident when conditions deteriorate. He stressed the role of strong internal controls, conservative risk frameworks, long-term credibility with regulators and investors.

- **Transformation agenda.** Mr Vaswani noted that Kotak's transformation agenda is structured around three guiding questions, (1) which customers does the institution want to win with, (2) how does it intend to win with those customers and (3) where does it deliberately choose to play? He suggested that Kotak has made intentional strategic choices, which may be different than the industry.

- **Technology at the core.** Mr Vaswani stated unequivocally that technology can no longer function as a support layer, and must be embedded at the core of the business model. Drawing on global experience, he noted that role and economics of physical branches will change in India as well, as digital channels will account for an increasing share of customer engagement.

- **Deliberate customer segmentation strategy.** Kotak is concentrating its resources on clearly defined customer segments, where it believes it can build durable competitive advantage. In particular, he described private banking as the group's "crown jewel", noting that Kotak serves a significant share of India's high net worth individuals through a relationship led, advisory driven approach.

  Alongside this, he highlighted the emerging affluent segment with Rs10-100 mn of investable assets as a distinct and increasingly important opportunity. This group sits between mass retail and traditional private banking and requires fundamentally different service and engagement models, different cost structures, and a much heavier reliance on technology. He stressed that this segment should not be viewed as transitional, but rather as a key future growth engine for the institution.

  He reiterated that ultra-high net worth clients are the primary drivers of profitability today, but argued that the emerging middle and affluent segments will be the main contributors to profitability in the future. Successfully serving these customers, will depend on the ability to operate at very low marginal costs, supported by scalable digital infrastructure and long-term customer engagement models.

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Michael Patra

Economist & Former Deputy Governor, RBI

India rising: Opportunities and challenges

Key takeaways

- **Long-term growth trajectory.** Dr Patra explained India's historical growth through the following structural breaks.
  - 1950-1980: ~3.5% ("Hindu rate of growth"), inward looking economy
  - 1980-2002: ~5.5%, initial liberalization
  - 2002-2019: ~7%, deeper reforms and global integration
  - Post pandemic: ~7.8% average growth, indicating a new higher growth path
- **Rising position in the global economy.** He noted that India is now the 5th largest economy by market exchange rates (and projected to move higher), while it is the 3rd largest economy by PPP. He highlighted that India is the second largest contributor to global growth, after China. Long-term projections suggest India can become the second largest economy in the 2040s. For overtaking China, India will need to fully harness the opportunities.
- **Demographic dividend.** With a young population and an expanding working age cohort, India enjoyed a window that many advanced economies had already passed. He emphasized that this demographic advantage could translate into higher savings, investment, and growth, provided productive employment could be created at scale.
- **Macro resilience.** Dr. Patra underscored India's macro financial resilience, pointing to (1) high domestic savings, (2) strong services exports, (3) large remittance inflows and (4) substantial foreign exchange reserves. These factors had supported external stability and reduced dependence on volatile external financing. He also highlighted the strengthening of both the public sector balance sheet and the financial system, noting declining public debt ratios post pandemic and a sharp improvement in bank asset quality and capitalization.
- **Digital public infrastructure.** Dr Patra's views India's digital public infrastructure (India stack) as transformative. He noted (1) near-universal bank account penetration, (2) UPI-led payment revolution and (3) direct benefit transfers improving efficiency and inclusion. The digital economy already contributes ~10% of GDP and is growing rapidly. He also noted the export potential of India stack.
- **Inflation management and monetary credibility.** Dr Patra emphasized the role of inflation targeting in anchoring expectations and reinforcing macroeconomic stability, which he described as a prerequisite for sustainable long term growth. He attributed current low inflation partly to (1) past monetary tightening and (2) commodity price dynamics outside the RBI's direct control. He emphasized the focus on forward looking policy, instead of reacting to short-term data.
- **Structural challenges.** Dr. Patra highlighted human capital constraints, particularly low labor productivity and weak returns to education despite a large pool of graduates. He identified low female labor force participation as a critical drag on potential growth, arguing that improving women's participation represented one of the most powerful levers available to the economy. He also noted constraints in infrastructure and manufacturing, stressing the need for faster manufacturing growth to absorb labor productively and complement India's strength in services.

  On global integration, he emphasized the importance of expanding India's share in global trade, especially in goods exports, while building on services leadership and global capability centers. He also discussed the gradual internationalization of the rupee, supported by trade settlement, offshore activity and the export of India's digital infrastructure.
- **Climate change.** Dr. Patra identified climate change as a systemic and human made risk that now directly affected price stability and financial stability. He outlined key elements of climate change being tracked through (1) rising temperatures, (2) extreme weather, (3) glacial melt, (4) sea level rise, etc., as posing increasing risks to India. He stated that central banks have begun integrating climate indicators into their monitoring frameworks.

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- **Technology.** Dr Patra addressed technological evolution and artificial intelligence, while describing the role of technology in rapid digitization in Indian banking. He noted that technology helped deliver efficiency gains and cost reductions, often outpacing regulation. He emphasized the need for a regulatory approach that prioritized innovation first, with responsibility and control later. In the same, vein, Dr Patra believes that AI is positioned to be a productivity amplifier, not a substitute for reform.
- **Realizing the potential.** Dr Patra argued that even on its current path, India would continue to rise in the global economic order. However, if it successfully (1) harnessed its demographic dividend, (2) strengthened human capital, (3) managed climate risks and (4) preserved macroeconomic stability, India could accelerate its ascent significantly. He closed by noting that India had historically been one of the world's largest economies and that there was no structural reason it could not reclaim that position in the future.

C Vijayakumar

MD & CEO, HCL Technologies

IT services in the age of AI

Key takeaways

- Mr Vijaykumar highlighted four primary accelerants behind the rapid pace of Gen AI adoption.
  - Explosion in compute availability (significant expansion in data center and GPU capacity).
  - Architectural innovation (notably mixture of expert models).
  - Hyper competition among a small group of frontier model providers.
  - Improved data curation and reinforcement learning with human feedback (RLHF).
- **Enterprise versus consumer adoption.** He drew a clear distinction between consumer adoption and enterprise adoption of generative AI. While consumer use cases had scaled rapidly due to the absence of legacy systems, enterprise adoption was progressing more cautiously. Vijay Kumar stressed that large enterprises operated complex, deeply integrated systems, making deployment far more challenging. Issues such as data migration, security, privacy, reliability, and integration with existing platforms slowed adoption. He argued that this gap between innovation speed and enterprise deployment was widely misunderstood.
- **Value accrual across AI stack.** The conversation moved to the distribution of value across the AI value chain. Mr Vijaykumar noted that hardware and semiconductor companies were currently capturing disproportionate value due to supply constraints, but he expected this advantage to erode over time as competition increased and hardware became more commoditized. He described hyperscalers as structurally important but constrained by capital intensity. In the medium term, he suggested that value would increasingly shift toward frontier model providers and service providers that could embed AI meaningfully into enterprise workflows.
- **Implications for SaaS companies.** Mr Vijaykumar discussed how generative AI is beginning to challenge the pricing power of large SaaS vendors. While SaaS platforms remained deeply embedded and highly sticky in enterprises, AI-native applications were starting to nibble away at specific workflows and functionalities. He argued that even partial substitution created pricing pressure, as enterprises now had credible alternatives. However, he emphasized that wholesale replacement of core SaaS systems was unlikely in the near term due to enterprise complexity.
- **Tailwind versus headwind.** He stated that generative AI represented a net tailwind, though not a straightforward one. He acknowledged that productivity gains would lead to deflation in parts of the existing services book, particularly in software development and business process outsourcing. However, he argued that this would be offset by new demand created by AI-driven transformation, including legacy modernization, data engineering, infrastructure, and new AI native services. He emphasized that the key challenge for IT firms lay in reinventing their business models rather than defending legacy revenue streams.
- **New growth opportunities.** Mr Vijaykumar outlined several large, AI-driven growth opportunities for IT services firms. These included (1) AI factories and data center services linked to massive global capex in computing infrastructure, (2) physical AI applications in manufacturing and logistics, (3) custom silicon design for industry specific inference needs and (4) AI-native marketing and customer engagement services. He stressed that these opportunities were structurally new and not simply extensions of existing services.
- **Human versus machine in software development.** In his view, the role of AI needs to be seen in the context of differentiation available between verifiable tasks and unverifiable tasks. He posited that verifiable tasks, such as code generation and testing are susceptible for automation, while unverifiable task such as architectural design and complex system integration, requires human judgement. He argued that critical systems would continue to require human oversight, particularly where errors carried systemic risk.

- **Agentic AI.** He argued that enterprises would face a proliferation of agents developed by different software vendors. He suggested that the real value lay in orchestration layers that could manage, govern, and integrate these agents across systems. He positioned service providers as natural owners of this orchestration layer, given their enterprise context and integration capabilities, and emphasized the importance of building proprietary platforms and IP rather than relying solely on third-party models.

- **Role of GCCs and competitive dynamics.** He also addressed the role of global capability centers (GCCs), suggesting that while they currently absorbed some demand, they would increasingly become consumers of platforms and IP developed by service providers. He argued that incumbents retained an advantage due to enterprise relationships and contextual knowledge, but only if they adopted a challenger mindset. Incumbency without reinvention, he warned, would not be sufficient in this cycle.

- **The future IT firm.** Responding to questions on valuation and metrics, Mr Vijaykumar suggested that traditional measures such as headcount growth is becoming less relevant. He argued that revenue per employee, profit per employee, and IP led revenues used to be good indicators of future performance. He described the future IT services firm as more platform and product centric, with higher productivity and less linear dependence on workforce expansion.

- **Reinvention over extrapolation.** He emphasized that the current AI cycle required reinvention rather than extrapolation. He argued that firms with a history of building platforms, investing in IP, and challenging their own business models were better positioned to navigate the transition. He concluded that generative AI would not eliminate the role of IT services, but would fundamentally reshape how value was created, captured, and scaled.

- **India's position in global AI race.** Mr Vijaykumar believes that India is catching up rapidly and will remain highly relevant due to its scale, talent base, and role as a major consumer of enterprise technology. He highlighted opportunities in data centers, AI infrastructure, semiconductor design, and vertical AI applications. He argued that IT services firms in India were particularly well positioned to monetize AI at the application and enterprise integration layers, even if frontier model development was concentrated elsewhere.

- **Investment requirements and returns from AI initiatives.** He noted that while investments in talent, platforms and IP were necessary, they were manageable relative to the opportunity size. He emphasized that the firm was willing to accept near term margin pressure where justified by long-term value creation. He reiterated that advanced AI revenues represented structurally new growth rather than an extension of existing services, making disciplined investment essential.

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Rahul Bharti

Senior Executive Officer, Corporate Affairs & CIRO, Maruti Suzuki

Indian autos at a structural turning point

Key takeaways

- **Structural shifts.** Mr Bharti highlighted three long-term structural shifts reshaping the Indian auto sector, which may allow India to enter a structurally different phase.
  - **GST-led formalization and affordability.** GST has structurally altered vehicle affordability and demand elasticity.
  - **Global trade liberalization (FTAs).** India's FTAs (UK, EU, UAE, Australia, etc.) will expose domestic players to global competition but also open export opportunities.
  - **Transition to clean energy.** Regulatory push toward lower emissions (CAFE norms, CO_2 standards) is irreversible and will define winners and losers.
- **Industry growth outlook.** In his view, Passenger vehicle demand is expected to be broader-based, not limited to SUVs alone. Smaller cars, which had been under pressure earlier, have shown sharp demand recovery post-GST adjustments. Maruti Suzuki internally plans for ~7% industry CAGR, but management believes actual growth could exceed this. He noted that capacity expansion decisions had already been accelerated to keep pace with anticipated demand, even as supply constraints persisted.
- **Market share dynamics and product portfolio strategy.** Management believes 50% market share is achievable, though harder than in the past. Earlier market share loss was largely due to SUV mix shift, not competitive weakness. He highlighted Maruti's strategy of (1) aggressive SUV launch pipeline (~8 new SUVs by end of decade) and (2) addressing supply chain constraints, where EVs and ICEs share production lines. He reiterated confidence in regaining historical market share levels over time.
- **Powertrain transition and technological neutrality.** Mr Bharti continues to believe that India will follow a multi-pathway transition, not a single-technology bet: Petrol, CNG, hybrids, EVs, biofuels, flex-fuel, and compressed biogas will coexist. Government's long-term net-zero transport roadmap (until 2070) supports phased adoption. EVs are important but not the only solution; lifecycle emissions matter more than tailpipe-only metrics.
- **Regulatory environment and CAFE norms.** Mr Bharti addressed the tightening of CAFE norms and emissions regulations, stating that Maruti Suzuki was structurally well positioned due to its focus on light-weighting and fuel efficiency. He emphasized that Maruti's vehicles consistently delivered lower CO_2 emissions than peer models across segments. While he acknowledged that future norms would become more stringent, he expressed confidence that the company's product mix and technology strategy provided a natural advantage. He also stressed the importance of ensuring that regulation did not unfairly penalize small cars.
- **Premiumization and safety.** Mr Bharti noted that consumers were increasingly willing to pay for infotainment, connectivity, ADAS features and improved safety. He highlighted Maruti's progress in standardizing six airbags across its portfolio and achieving high safety ratings on several models. He also discussed the company's transition toward software defined vehicles, where software architecture increasingly guided vehicle design, enabling better integration of electronics, safety systems and user experience.
- **Semiconductor supply chains and localization.** He reflected on the semiconductor disruptions experienced by the industry and described them as a turning point in supply chain thinking. He explained that Maruti Suzuki had moved closer to chip manufacturers, bypassing traditional layers of suppliers to improve visibility and resilience. He also discussed India's broader push toward semiconductor and rare earth localization, describing recent supply shocks as catalysts for long-term structural solutions rather than temporary crises.

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- **Global trade and export competitiveness.** He emphasized that increasing exports was both a growth opportunity and a strategic necessity. He noted that exporting forced Indian manufacturers to meet global standards in quality, safety, and performance, thereby strengthening competitiveness at home. He highlighted the benefits of recent trade agreements and expressed confidence that exposure to global competition would raise industry standards rather than weaken domestic players.

- **Managing commodity inflation.** Addressing concerns around commodity prices, Mr Bharti stated that the industry's ability to pass on cost increases had improved significantly due to stronger demand and better affordability dynamics. He acknowledged near-term volatility but expressed confidence that pricing power and operating leverage would help protect margins over time. On labor reforms, he noted that most impacts had already been absorbed and did not expect material disruptions going forward.

- **Winners in the next decade.** Mr Bharti concluded by identifying the key differentiators for success over the next decade. He emphasized that the ability to reduce carbon intensity, manage technology transitions, maintain cost competitiveness, and meet rising global quality standards would separate winners from losers. He reiterated confidence in Maruti Suzuki's long-term positioning, noting that while achieving historical market share levels would be more challenging than in the past, it remained achievable through disciplined execution and portfolio expansion.

Nilesh Gupta

Managing Director, Lupin

The journey of moving up the complexity curve

Key takeaways

- **Strategic reset.** Mr Gupta began by reflecting on Lupin's earlier difficult phases, both when he joined the business in the late 1990s and again in the more recent past. He recalled periods marked by balance sheet stress, unrelated diversification, regulatory setbacks, and stagnating growth. He emphasized that these episodes forced deep introspection and structural resets rather than superficial fixes. The recent turnaround, he explained, was not accidental but stemmed from applying lessons learned earlier such as (1) stronger focus on compliance (esp. US FDA readiness), (2) focused execution in complex generics, injectibles, biosimilars, specialty, etc. and (3) rebuilding execution discipline across the organization.

- **Shift from plain generics to complexity and innovation.** Mr Gupta explained that plain vanilla generics are structurally unattractive. Lupin's R&D lens now filters opportunities based on exclusivity, technical complexity and sustainable differentiation. Products that fail this test are increasingly deprioritized, even if volumes are large. Complex generics, injectables, biosimilars, and select specialty assets are now core pillars.

- **Learning from China.** Mr Gupta acknowledged that India lags China materially in pharma innovation. China has systematically invested in innovation for nearly two decades, through (1) higher R&D intensity (as % of sales and GDP), (2) strong state support, talent programs, and (3) research ecosystems. India's strengths historically lay in volume and generics, not innovation. However, he believes the opportunity has not disappeared. India is only now seriously starting the innovation journey, and catch up will take time (5-10+ years), with inevitable failures along the way.

- **R&D spending philosophy.** He addressed why Indian pharma companies historically spent a lower percentage of revenues on R&D. He argued that innovation required accepting repeated failures and delayed payoffs, something many companies and investors were not ready for earlier. Lupin, he said, had reallocated R&D toward complex generics, biosimilars, and selective innovation, while consciously stepping back from areas like medicinal chemistry where returns were uncertain.

- **Specialty pharma.** Mr Gupta clarified that Lupin's ambition remained intact but measured. He explained that building a meaningful specialty presence, especially in the US, required scale and sizable capital commitments, often in the billion dollar range. Smaller acquisitions, he said, rarely created durable platforms. As a result, Lupin remained open to acquisitions, licensing, and internal development, but only where assets could support long term differentiation.

- **Innovation for India and EMs.** Lupin aims for ~1/3 of India business over time to come from proprietary products. Innovation is being pursued at two levels: global innovation and India/emerging market-specific innovation. He cited Indian innovation success stories (e.g., specialty launches) as proof that India can support innovative products, not just generics.

- **GLP-1 opportunity.** He expects GLP 1 to be a large, long term opportunity, but launch will be extremely crowded (many players at once), resulting in a noisy and fragmented early market. He estimates ~Rs15 bn Indian market in year one on the conservative side. He expects significant price deflation vs global markets. He believes that market development may take several years, not quarters.

- **Managing earnings lumpiness.** He acknowledged earnings volatility from complex generics and specialty. His solution is to (a) build depth across therapies, (b) reduce reliance on a handful of blockbuster molecules and (c) rely on innovation and specialty, as these provide more stability than generics.

- **CDMO as strategic adjacent business.** Mr Gupta explained that Lupin's CDMO push leveraged its existing strengths in APIs and manufacturing. He rejected the notion that innovator companies avoided generic manufacturers, stating that global supply chain diversification had changed attitudes. CDMO, in his view, allowed Lupin to monetize capabilities that would otherwise remain underutilized, without conflicting with its innovation ambitions.

- **Ownership and long-term stewardship.** He clarified that earlier discussions had involved minority stake considerations in the domestic business rather than a sale of control, and those plans had not progressed. He emphasized that Lupin was being stewarded for long term continuity, with decisions guided by sustainability rather than short term valuation.
- **Innovation the only end-game.** Mr Gupta concluded by reiterating that while Lupin could continue growing through generics and complexity for several years, the long-term driver had to be innovation. He acknowledged the risks, costs, and failures involved but argued that without innovation, durable growth would not be possible over the next decade. The fireside chat closed on the note that humility, patience, and sustained execution would define Lupin's next phase.

P Venkatesalu

Managing Director, Trent

Building a portfolio of fashion brands of scale and resilience

Key takeaways

- Mr Venkatesalu opened by clarifying that Trent's previously stated aspiration of ~25% revenue growth was a directional ambition rather than a near term promise. He explained that growth had never followed a straight line in retail and that volatility was inherent to the business. While recent growth had been below aspirational levels, he emphasized that directionally the business remained positive and aligned with long-term objectives rather than short-term extrapolations. He mentioned that the focus remains on (1) consistent store productivity, (2) repeatability of formats and (3) operational simplicity. Trent consciously avoids rapid experimentation that dilutes return ratios.

- **Demand environment.** Mr Venkatesalu acknowledged that customer demand had been uneven over recent quarters, but rejected the idea of a permanently weakened consumer. He noted that Indian consumption had always moved in cycles and that expectations during peak periods often became overly optimistic. He emphasized that the market itself was expanding, not shrinking, and that Trent was operating in a growing but increasingly competitive landscape.

- **Zudio as the primary growth engine.** He highlighted that Zudio remains the most scalable value fashion model in India, driven by (1) sharp price points, (2) limited SKUs and (3) fast inventory churn. He emphasized that the focus is on store economics, not headline store additions.

- **Westside to remain steady.** He expressed that Westside is positioned as a steady, margin-accretive format, not a hyper growth engine. Expansion is selective, with (1) focus on premium micro markets, and (2) higher average store sizes. Private labels remain central to differentiation and margin stability.

- **Store densification as strategic choice.** He explained that store densification was a deliberate strategy to deepen relevance in micro markets rather than simply expand footprint. He highlighted that Trent's portfolio was inherently heterogeneous, meaning not all stores delivered the same experience or productivity.

- **Limits of predicting store saturation.** When asked about saturation thresholds, he cautioned against fixed rules on store counts. Cities, customer behavior, and real estate dynamics were constantly evolving, making rigid saturation assumptions unreliable.

- **Vision beyond a store-led retailer.** He stressed that Trent did not view itself merely as a store led retailer but as a platform of lifestyle brands. Physical stores were described as one channel within a broader brand ecosystem that also included digital engagement and portfolio expansion. The strategic objective, he said, was to build brands that could scale across categories and channels while remaining distinct and relevant.

- **Experimentation through new formats.** Discussing newer concepts such as Burnt Toast, he explained that Trent preferred organic experimentation over acquisitions. New formats were treated as seeds—multiple concepts could be tested, but only those demonstrating strong customer resonance and scalability would be pursued further. Building small businesses was not the goal; only formats with potential to scale meaningfully would justify sustained investment.

- **Design ownership as competitive advantage.** Mr Venkatesalu emphasized that Trent's full ownership of design, sourcing, pricing and presentation allowed it to respond quickly to changing trends. Unlike wholesale led models, Trent controlled the entire value chain, enabling rapid correction when designs failed and faster scaling when they succeeded. He argued that this ownership culture was critical in a fashion market where customer preferences changed rapidly.

- **Premiumization without price inflation.** He explained that Trent's premiumization strategy focused on improving design, quality, and presentation rather than raising prices on equivalent products. Customers often traded up within the assortment, without the company artificially inflating price points. This approach, he said, allowed premiumization while preserving affordability and trust.

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- **Supply chain efficiency as a margin lever.** He highlighted that improving supply chain efficiency was more powerful than price hikes. He pointed out that a key metric was how much merchandise sold at full price and how quickly. By improving design accuracy, buying discipline, replenishment, and allocation, Trent aimed to increase full price sell through, thereby strengthening economics without burdening customers.
- **Star format and economies of scale.** On the STAR business, he noted that the format had moved closer to a "home run" driven model, with stronger control over assortment and value proposition than in its early years. While customer traction had improved, he acknowledged that the key challenge remained scaling profitably, especially as competition intensified. Expansion would therefore remain calibrated rather than aggressive.
- **Role of technology and AI.** He rejected the notion that an offline led strategy was anti-technology. He emphasized that stores could be highly technology enabled and that Trent already operated significant online volumes within its brand ecosystem. Technologies such as RFID and data analytics had materially improved inventory accuracy and responsiveness, and he viewed AI as a general purpose capability that would gradually touch all aspects of retail operations.
- **Managing fashion volatility.** Addressing fashion cyclicality, he described rapid trend changes as both a challenge and an opportunity. With thousands of stores and large volumes of transactional data, Trent could observe customer behavior in real time. Combined with external trend visibility from social media and global fashion cues, this allowed faster learning and iteration rather than reliance on prediction alone.
- **Balancing inflation and value.** On inflation and input cost pressures, Mr Venkatesalu reiterated that quality would not be compromised. He argued that value delivery was not solely a function of price but of overall proposition - design, fabric, fit, and brand perception. Gross margin management across formats allowed the company to absorb cost pressures without eroding customer trust.
- **Competition and internal choices.** He acknowledged that increased competition and internal strategic choices had both influenced recent performance. Some initiatives had worked well, while others had required correction. Rather than viewing this as failure, he framed it as part of disciplined experimentation in a rapidly evolving market.
- **Closing perspective on long term relevance.** Mr Venkatesalu concluded by emphasizing that relevance was the core metric Trent tracked, even though it could not be reduced to a single number. Relevance depended on consistently adapting to customer behavior, improving propositions, and taking calculated risks. He expressed confidence that, while progress would not be linear, Trent was structurally positioned to grow in a larger, more demanding Indian consumption market.

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Praveen Kumar and Viren Rasquinha

Paralympics gold medalist high jumper conversing with MD & CEO, OGQ

The man behind India's Olympic gold dreams for Paralympic sports

Key takeaways

- Mr Rasquinha emphasized the importance of respectful language when speaking about para athletes. He clarified that terms such as "para athletes" and "able-bodied athletes" should be used instead of casual or inaccurate phrases. He explained that words shaped perception and dignity, and that using correct language was a fundamental way of acknowledging both the challenges and achievements of para athletes.

- **Inequality in Indian sports and role of CSR.** Mr Rasquinha highlighted the persistent imbalance in Indian sports funding, noting that cricket continued to command the vast majority of sponsorships and media attention. However, he pointed to CSR funding as a meaningful counterweight, explaining that long-term corporate and individual support had enabled non-cricket sports to build credible training ecosystems. He stressed that sustained backing, rather than episodic funding, was what allowed athletes to compete globally.

- **Cost and complexity of creating champions.** The discussion then moved to the economics of building Olympic and Paralympic athletes. He explained that elite preparation typically required around Rs5-15 mn annually, depending on the sport. These costs included international exposure, coaching, physiotherapy, sports science, nutrition, mental conditioning, and equipment. He emphasized that medals were the result of multi-year investments rather than last minute support.

- **Early support versus post-medal recognition.** He underscored that India often celebrated athletes only after they won medals, while ignoring the critical years when support mattered most. He cited examples of elite Indian athletes who were supported by OGQ as teenagers, long before they became nationally recognized. He argued that early-stage investment was the most decisive factor in building a sustainable pipeline of champions.

- **OGQ's role in Praveen's journey.** Mr Praveen explained that OGQ had begun supporting him in 2019 and had played a transformative role in his career. He said OGQ sponsored him at the global level and handled the intricate details of preparation, logistics and support. This allowed him to focus entirely on training and performance, with a single objective: winning a medal for India.

- **Emotional weight of Paris 2024.** Reflecting on his Paris victory, Mr Kumar shared that he had lost the gold medal by just 4 cm at the Tokyo Games in 2020. That defeat shaped his mindset going into 2024. He said he entered Paris with a clear determination to win gold and hear the national anthem on the podium. He described still getting goosebumps when watching the video of his victory and expressed his ambition to repeat the achievement at the 2028 Games.

- **Learning high jump through self-education.** Mr Kumar spoke about growing up in a region where knowledge about sports was extremely limited. He explained that he had learned the fundamentals of high jump through Google searches, online videos, and books. He credited his doctor for playing a crucial role in guiding him through training and recovery, compensating for the lack of local sporting infrastructure.

- **A day defined by discipline.** Describing his daily routine, Mr Kumar explained that his life followed a strict and repetitive schedule. He trained from 5:30 am to 9:00 am, rested for two hours, had lunch, and then resumed training from 4:00 pm to 8:00 pm. Evenings were reserved for dinner and sleep. He emphasized that his routine did not change for holidays or festivals, underscoring the level of discipline required at the elite level.

- **A crisis of self-belief and return to the sport.** Mr Kumar candidly spoke about stepping away from high jump for five to six months in 2019. He explained that high jump was an exceptionally demanding sport, where improving by just 2 cm could take nearly two years. When he entered his classification, he was jumping around 1.80 m, while the category threshold began at 2.00 m. Feeling hopeless, he stopped training. He credited his coach, family, and OGQ for pulling him out of that phase, motivating him to return. He then trained rigorously for a full year, even working out while suffering from fever.

- **Handling pressure and expectations.** When asked about dealing with pressure after winning multiple accolades, Mr Kumar explained that it was largely a matter of perspective. He said many people underestimated the effort required to win at the highest level. He emphasized that constant support from his coach, team, and OGQ kept him grounded and hungry. Rather than being weighed down by expectations, he felt inspired to push himself further, in order to perform even better in 2028.
- **Defying physical limits through confidence and self-belief**. Addressing the remarkable statistic that he stood at 5'5" and had cleared heights of 6'8", Mr Kumar explained that he initially focused only on reaching 1.90 m. When his category changed and required him to jump beyond 2.00 m, he admitted he felt scared. His coach helped him work through this mental barrier. Once he cleared 2.00 m in Dubai, his confidence surged. He shared that his personal best stood at 2.10 m, a testament to overcoming both physical and psychological limits.
- **Hunger and commitment of small towns**. Mr Rasquinha contrasted the motivations of athletes from small towns with those from urban backgrounds. He explained that for many rural athletes, sport was a way out of hardship, creating extraordinary hunger and commitment. Unlike urban athletes, who often faced higher opportunity costs and parental risk aversion, small town athletes were willing to put everything on the line.
- **Execution under extreme pressure**. Drawing from his hockey career, Mr Rasquinha described the moments late in matches when heart rates exceeded 200 bpm and players had nothing left physically. He explained that the difference between good and great athletes lay in executing flawlessly under such conditions. These moments were decided by years of incremental improvement.
- **Power of 1% compounding**. Both speakers emphasized the idea of marginal gains. Viren explained that 1% improvements across nutrition, recovery, coaching, equipment and mental strength compounded over years to create decisive advantages. Praveen's journey was presented as a living example of this principle, where tiny, consistent improvements ultimately delivered historic outcomes.
- **Breaking barriers beyond para-sport**. The discussion highlighted the rare achievement of para athletes qualifying for able bodied competition. It was emphasized that such qualifications occurred under identical rules, equipment, and conditions, reinforcing that para athletes met the highest competitive standards rather than benefiting from relaxed benchmarks.
- **Role of sports in nation building**. Mr Rasquinha concluded by reflecting on the broader impact of sporting success. He argued that Olympic and Paralympic medals created belief far beyond sport, inspiring millions of young Indians to imagine possibilities previously thought unreachable. This belief, he said, was as valuable as medals themselves.

COMPANIES

Aadhar Housing Finance: February 23, 2026

Key takeaways

- Aadhar Housing Finance Limited continues to focus on leveraging its strong franchise in the **low-income housing segment (ATS <Rs1.5 mn),** deep branch network and analytics-led underwriting to deliver sustainable growth with stable asset quality. Management reiterated its emphasis on operational discipline, early risk monitoring and calibrated expansion, which underpins long-term profitability and resilience across cycles.
- **Competition in affordable housing.** Large NBFC/HFCs typically operate in the affordable segment, i.e., ATS of 1.5-2.5 mn a cut above Aadhar. This segment is prone to disruption as the lending parameters are more aligned with the prime housing segment. The large players are opportunistic and their exposure to affordable housing will always be modest.
  - Additionally, this segment requires funding developers and under-construction flats. These are lower-rated developers with spotty track records and may not complete the project.
- **Aadhar has been a pan-India player since 2010 and is present in 26 states.** The competition from peers is concentrated in pockets in south and central India. Aadhar had low competition in UP until a few years ago; even the new entrants take time to understand the credit environment. In this transient phase, Aadhar is moving deeper through deep-impact branches to maintain its moat.
- **Focus is on semi-urban areas**. While rural areas also have strong demand for affordable housing, the collateral is less marketable, hence Aadhar prefers to operate in the semi-urban regions.
- **Aadhar has a varied people strategy.** Aadhar maintains a balance between experienced and fresh candidates in its salesforce. 50% of new recruits are from peers, while the rest are freshers. This aids in controlling attrition.
- **Maintains medium-term guidance.** The company **reiterated confidence in sustaining ~20% AUM growth over the medium term,** supported by steady disbursement momentum, improving branch productivity and controlled runoff. Spreads to **normalize at 5.8%, as** the benefit of lower interest rates is passed on to borrowers.
- **Credit costs and asset quality to remain benign.** Asset quality trends remain stable, with improvements across early delinquency buckets and gross stage-2 loans. Management reiterated confidence in full-year credit costs remaining around ~25-26 bps, with GNPLs expected to trend down toward ~1.1-1.15% by the year-end. The portfolio remains entirely secured, with disciplined underwriting and strong collection efficiency. Management overlay created during Covid remains on book and has not been drawn down to date.
  - Aadhar has maintained benign delinquency ratios due to a disciplined approach seasoned over time and geography. Despite underwriting authority being devolved to the branch and hub level, effective risk monitoring enables the company to maintain better credit costs. Peers are largely regionally focused players and face challenges with portfolio quality when they try to expand into new geographies.
- **Branch expansion to drive growth.** The company continues to expand in a calibrated manner, with plans to add 40-50 branches annually, primarily in deeper-impact and emerging locations, where competitive intensity is lower and credit outcomes are more stable. The locations for new branches are determined by analyzing the login data to identify pockets of strong demand.
- **Repricing of borrowings played out.** The cost of borrowings is already low at 7.7%; there may be a further 10-15 bps decline in the next few quarters if banks decide to cut MCLRs. No further PLR cuts are planned as well, unless there is a meaningful decline in the cost of borrowings.
- **Sustained focus on controlling BT-out.** Balance transfer outflows remain well contained at ~5.6% (annualized) for 9MFY26, reflecting improvements, driven by a dedicated retention team and data-driven customer engagement. Management indicated comfort with BT-out stabilizing around current levels, aided by proactive pricing actions and customer retention initiatives.

Adani Ports: February 23, 2026

Key takeaways

- **Limited threat from competition**. The commissioning of DFC till JNPT will still mean 1,100 km of higher lead distance and thus the company does not expect the shift of port volumes to JNPT after the commissioning of DFC. The company reiterated its ability to replicate the transit-assured time offering and do high levels of double-stacking. JNPT also has limited prospects of growing beyond the 2 mn TEUs capacity coming up. The overlap with Mundra on hinterland served is limited. Chennai port has limited ability to add capacity. Tuticorin has the ability to add capacity though the hinterland it can serve is limited. Kandla port largely serves coastal container volumes.

- **Coal portfolio will continue to grow with supports**. Coking coal has increased 35% yoy in 9M. This coupled with a 13% increase in coastal coal helped cover up 14% yoy decline in the thermal coal portfolio. The overall coal portfolio has reduced to a 30% salience in contrast to 33% a few years ago. The company sees the prospects of growing the coal-based volumes on a absolute basis even if thermal coal volumes were to stagnate.

- **Portfolio poised to grow return ratios to high-teens**. Three factors that will drive a 200-300 bps improvement in the current 16% consolidated RoCE would include (1) improving share of asset-light businesses inside logistics, (2) brownfield nature of expansion of capex for domestic ports and (3) the ability grow asset turns in international ports. Logistics portfolio has already seen an uptick in business returns to 9% on the back of scale-up in asset-light businesses and the same will continue. Mundra Port can treble up in terms of capacity.

- **Capacity expansion in Mundra**. APSEZ expects Mundra to be the key driver of the 1 bn+ tons 2030 domestic capacity target (currently 650 mn tons) required to meet its target of reaching 850 mn tons of domestic cargo throughput target. Of the incremental capacity, Mundra would be a key port to add capacities, adding 100-150 mn tons of capacity (targeting 350-400 mn tons). In such context, Mundra Port has recently commissioned a 10 mn ton liquid jetty (for HRRL) and will commission a 1.8 mn TEUs container capacity. Dhamra is going to 92 MTPA from 50 MTPA at present. Vizhinjam will add 16 MTPA. Ennore is adding 10 MTPA capacity and Kattupalli is adding 7 MTPA this year. Colombo phase II will see addition of 35 MTPA of capacities, with Vizhinjam adding 16 MTPA.

- **Diversifying base of funding**. The company is working toward diversifying its funding base away from dollar-denominated volumes. In January 2026, Japan Credit Rating Agency (JCR) assigned APSEZ an 'A-' (Stable) rating, exceeding India's sovereign level It has also increased its domestic funding exposure while also working with financial institutions in the Middle East. The move away from dollar-denominated debt would also lower the impact of currency on the PAT reported by the company.

- **Support from trade agreements and uptick in manufacturing share of GDP.** APSEZ shared prospects of imports from the US and Europe after the recent trade deals/negotiations. Both these geographies are low on imports, unlike the strength seen on exports. Additionally, the company expects focus of the government on incentivizing investments in manufacturing, unlike in the past where India could have relied on service share of GDP to drive GDP growth.

ABFRL: February 23, 2026

Key takeaways

- **Management commentary.** The company is focused on (1) the growth and profitability of Pantaloons, (2) perfecting the execution of OWND, (3) improving the performance of TCNS and (4) the scale-up of TMRW.

- **Pantaloons.** Management is working on shifting Pantaloons from a value brand to a masstige brand. Consumers are starting to recognize the difference in terms of product quality and store experience. The newer stores are slightly larger than the older stores. The company has decided to focus on metro, tier 1 and tier 2 cities and not enter tier 3 and tier 4 cities. In 4Q, there is usually an impact of EOSS on revenue growth. This year, there was a shift of EOSS, which will help the sequential revenue growth.

  - The revenue growth will be driven by premiumization and operating leverage will drive margin expansion. Management guided toward ~Rs70-80 bn of revenue and ~100 bps margin expansion every year.

- **OWND.** The brand is a youth-oriented offering, which will focus on catering to the aspirations of the Gen-Z audience. The store sizes are in the range of 8-10k sq. ft. According to management, the business can breakeven at Rs25 bn of revenue. In cities such as Mumbai and Delhi, the revenue per sq. ft ranges from Rs6-7k/sq. ft to Rs12-15k/sq. ft.

- **Supply chain.** Traditional retail has been focused on buying large volumes of product at low pricing and selling it at inexpensive prices. With fashion, ABFRL believes, the store experience and design of products requires a fundamental rethinking. This involves buying lower volumes with a focus on the product design. To enable this, the supply chain has been made more agile. Products which sell well are replenished quickly and slow-moving products are pulled back. In Pantaloons, 100% of the products now have RFID implementation.

- **Luxury.** The company has been working with The Collective since 2008 and the brand has been profitable for the past 7-8 years. Management believes there has been tremendous new wealth creation in the Indian market, which will drive the growth of the super-premium and luxury segments. Galaries Lafayette commenced operations in November 2025 and has seen strong early traction. The online version of GL will be launched in the next three months to target HNIs in non-metro cities. The luxury departmental store is a long-term play, according to management.

- **Ethnic wear.** Management believes ethnic wear is a large market, which is unique to India. Within the ethnic wear portfolio, the company is focused on the growth of TCNS by improving the product portfolio and store experience. The company had been focused on cost optimization in TCNS and will begin focusing on store expansion from 4QFY26. Management guided toward the addition of 50-60 stores in FY2027 in TCNS. Management also guided toward a net addition of 40 stores a year in TASVA with breakeven in two years.

Apollo Tyres: February 23, 2026

Key takeaways

- **Domestic market leadership:** The company holds over a 20% market share in the passenger car radial (PCR) replacement market, achieving 23% growth compared with competitors' 11%. It also maintains an estimated 30% share in the truck and bus radial (TBR) replacement market.
- **Future volume growth:** Over the next two to three years, the company projects its overall volume growth to be in the range of 7-8%.
- **European product mix:** In Europe, the company is successfully shifting its product mix toward premium sizes. UHP tires now make up 52% of the mix, an increase from 48% last year.
- **European market outlook:** While the broader European market declined 4% in CY2025 and the company's volumes declined 1% yoy, it expects its regional European business to achieve a growth rate of 2- 3% over the coming years.
- **Manufacturing consolidation:** To improve cost competitiveness, production is being shifted from a high-cost facility in the Netherlands to plants in Hungary and India. While this may cause temporary transition losses, full profitability benefits are expected by FY2028E.
- Natural rubber prices have surged in pricing during 4QFY26E. This is attributed to strong demand from GST cuts and infrastructure development colliding with supply shortages during the lean production season.
- To offset raw material inflation, the company implemented a 0.6% price increase in the passenger car segment in January. It has also rolled back discounts in the light truck and farm tire segments to improve net realizations.
- The company is entering a heavy investment phase, with Rs 15 bn allocated for FY2025 and FY2026E and an additional Rs 58 bn announced for FY2027E and FY2028E. This brings the near-term capital expenditure to roughly Rs30 bn annually.
- The company is targeting an ongoing EBITDA margin of 14-15%. RoCE is currently at 13.5%, but heavy capital expenditure will likely pressure this metric until new capacities stabilize around FY2029-30E.
- The upcoming investments will be funded by debt and internal accruals, pushing the net debt ratio from 0.8 up to a peak of 1.2 to 1.8 (standalone) over the next two years. However, a strong balance sheet ensures that dividend payouts will not be negatively adjusted.
- The company mentioned that the European tire buyers are highly educated and brand-conscious. In contrast, Indian passenger car buyers treat tires as a commodity, whereas Indian commercial fleet operators are highly brand-aware since tires are its second-largest operational expense.

Aptus Value Housing Finance: February 23, 2026

Key takeaways

- **Growth has moderated.** AUM growth moderated to 21% from 25% guidance earlier due to proactive measures of the company to cut exposure to the <Rs0.7 mn ticket size segment. Aptus' own book has not witnessed any rise of stress in the lower ticket sizes, but has cut exposure in light of other lenders reporting stress in the segment.
  - In higher ticket sizes, the legal enforceability and ability to recover are higher than in lower ticket sizes, providing comfort in asset quality.
  - Disbursement growth at 11% is largely in line with peers and Aptus expects 4QFY26E growth to be strong. Aptus is considering further lending rate cuts in home loans to foster loan growth.
  - Competition from new entrants in Tamil Nadu has also weighed in on growth. The peers are undercutting on LTVs and FOIRs; competition is largely in new disbursements. Pre-closures are at 7.5%, with 5.5% from self-funding and 2% from BT-outs. BT-out rate in TN is at 4-5%.
- **Higher throughput and low TAT.** Out of 115 leads, 100 are logged in by the sales team and 80 are approved by the credit team. Eventually, 5 will drop out due to lack of documentation, leading to a 75% disbursement-to-login ratio. The TAT post-login is low at 72 hrs.
- Loan book is skewed toward southern cities and tier-3 and tier-4 cities. Andhra Pradesh, Tamil Nadu and Telangana contribute to ~90% of AUM. Home loan book is now seasoned, with a 16-year track record. NBFC was established about 8 years ago.
- **Orissa and Maharashtra scaling up.** Leadership team has been established in Orissa and Maharashtra. Most new branches will be opened in these states and they will contribute to growth over the medium term. The establishment expenses related to new states are already baked in and incrementally cost ratios will remain stable.
- **Borrower profile.** Borrowers typically own about 1,000-1,500 sq. feet of land and the loan funds construction on this plot. The occupation is largely kirana stores, contractors and the service sector. The land is typically inherited by the borrower. Income assessment is based on data collected physically (field visit) and digitally (credit bureau and banking data). Asset creation through land, jewelry and chit funds is also used as a proxy for assessing income.
- **Higher yields than peers.** Yields are higher compared to peers due to product mix. Higher contribution of non-home loans drives the higher yields, but these NHL are also secured against SORP (self-occupied residential property). Home loan yields are at ~14%, quasi-home loans at 17% and small business loans at 20%.
- **Moderation in cost of borrowings.** 45% of borrowings are linked to MCLR and 35% to the repo rate, hence the impact of the recent 25 bps repo rate cut will lead to a 10-15 bps moderation in the cost of borrowings in 4QFY26E. MCLR pass-through by banks has been tepid and Aptus is in negotiations with lenders to bring down the cost of borrowings.
- **The technology spends are frugal.** Aptus uses LOS from Novac, which is also used by Shriram Finance. This software is available at a significant discount to competitors such as Salesforce used by peers. The LOS enables the field staff to use an Android app to onboard customers, reducing costs.
- **Other highlights:** Credit cost guidance of 0.5%.

Astral: February 23, 2026

Key takeaways

- **Industry outlook:** Industry pricing was muted on the back of low-priced Chinese PVC imports. The company believes that most of the low-priced shipments have landed in India already. Realizations can further improve with duty on PVC imports.
  - PVC prices bottomed out in 3QFY26, and have since been on an uptick. A Rs7/kg price hike was announced in January, of which Rs5 has been passed onto customers.
  - Management guided that demand has been improving after 2QFY26, as construction activity improved after monsoon.
  - Astral witnessed strength across both the B2B and B2C segments, suggesting market share gains by leaders.
  - The company further noted increasing dealer traction and geographical expansion as levers of further growth. Superior branding should enable Astral to charge a slight premium to peers.
- **Value added products:** Astral is doubling down on value added products, especially in the pipes division.
  - The company has crossed the Rs1 bn mark for exports, comprising value-added products (pipes), which management deems an indicator of growing demand for VAP.
  - Management noted successful orders for projects in Canada and Dubai; the company expects the Gulf to become a key market in the near future as it targets large developers in the region.
  - Astral products have a price advantage over European alternatives, within groups of similar product specification.
- **Other verticals:** Astral has diversified operations beyond its core pipes business to enter other segments such as adhesives, bathware and faucets.
  - Adhesive: Management estimates Astral to be the second-largest adhesive player, with India's revenues growing 14% yoy in 3QFY26.
  - Resinova: Revenues grew 13.8% yoy in the previous quarter. Division is undergoing capacity consolidation with certain chemical formulations being centralized to boost cost efficiency.
  - Bathware: Revenues grew ~36% yoy in 3QFY26 and vertical is expected to turn EBITDA positive from next year. Management noted that institutional orders in the segment have a long gestation period. Firm expects demand to rise considerably after 2-3 years as the product gains recognition.
  - Paints: Astral's Paint division, despite ongoing industry challenges, recorded ~21 % yoy revenue growth to Rs 610 mn in 3QFY26. Management targets maintaining 20%+ growth by expanding into the western and southern regions.
  - Management highlighted that the company is about to launch several new plumbing and drainage products, which would enhance Astral's product differentiation.
- **Capex and projects:** Management confirmed that construction for CPVC resin project (for backward integration) is well underway; machinery has been ordered and trial runs are targeted for 3QFY27.
  - Plant is expected to achieve regular commercial operations in 4QFY27, with full contribution from FY2028.
  - For FY2026, the company has guided for capex of roughly Rs3.5 bn, out of which, Rs2.9 bn has been spent.

AU Small Finance Bank: February 23, 2026

Key takeaways

- **Loan growth outlook**. The bank has enhanced its distribution over the past few years and that will enable growth over the medium term. Loan growth will be driven by largely existing products. The asset mix is unlikely to change much hereon with some inch up possible in the share of commercial banking.

- **Retail loans**. Management is quite content with the bouquet of retail asset products – across vehicle finance, mortgages (both affordable housing and MBL), gold loans and microfinance. Barring mortgages, every portfolio has the potential to grow at ~25% yoy. Growth in the mortgages business can gradually inch up closer to 20% yoy. However, management is conscious about geographies where there is over-crowding of lenders. Over the medium-to-long term, the nature of the mortgages business can change a bit as the bank can transition to higher-ticket/lower-risk LAP loans. The vehicle finance business will remain the flagship product for the bank. The bank operates mainly in small CV, MUVs and taxis. Gold loans has a long runway to grow. It is a high RoA business and currently growing fast with negligible capital requirement.

- **Commercial banking**. This book can grow >25% yoy. The bank has developed an expertise in in NBFC lending and REG segment. This expertise in sectors does earn respect from clients. Management intends to increase sector expertise year after year. This business can give holistic relationships – across cash management service, transaction banking, insurance, wealth and deposits – if the bank can stitch together these propositions.

- **Unsecured retail**. Microfinance book has begun growing and will revert to industry level growth soon. Personal loans business is also picking up. This business caters primarily to ETB customers making it less risky with further support from Account Aggregatory and credit bureau insights. Credit card issuance will begin increasing soon. Management has already corrected course in this business, but will take another year to stabilize its strategy before ramping up again.

- **Deposit growth**. The bank continues to progress well on strengthening its liability franchise as it has steadily reduced the differential on cost of funds v/s mid-sized peer banks. Not having a corporate lending business is a disadvantage for the bank in mobilizing CA deposits. Further, several institutions have become very efficient with CA and SA deposits making the mobilization of low-cost deposits a challenge for the entire system. While management sees room to cut SA deposit rates further from here over the medium term, the focus will remain on achieving scale before cutting rates.

- **Asset quality**. Management remains quite optimistic about asset quality outlook as of now.

- **Haryana government dis-empanelment**. Management reiterated that the funds from the state government account at AUBANK were withdrawn with appropriate authorization and AUBANK followed due process. The beneficiary account was also a legitimate account with adequate KYC. The bank continues to engage with the state government of Haryana in this investigation. As of December 2025, government deposits constituted ~9% of total deposits for AUBANK.

- **Margins**. 30% of the loan book is variable-rate linked and will see some impact from the recent repo rate cut. On the other hand, term deposit repricing will continue for the next two quarters. Beyond this, NIM will be a function of loan mix.

- **Operating expenses**. There is a lot of focus internal on driving cost efficiencies. Better growth should also help. Some initiatives on manpower cost, removal of supervisory layer in favor of technology investments should help. Cost-assets is expected to be better yoy in FY2026E. There is a possibility of improvement in cost-assets ratio over the medium term.

- **Miscellaneous**. Management remains committed to complete the transition to universal bank over the available period of 18 months. Management continues to engage with the regulator and government regarding the intricacies of the transition.

Bajaj Auto: February 23, 2026

Key takeaways

- **ICE portfolio and the Pulsar brand**
  - The company is executing 15 product interventions, heavily focused on the Pulsar family.
  - Seven of these updated models have already reached dealerships, with the remaining eight rolling out over the next few months.
  - The company is developing a new 125 cc model to capitalize on that segment's rapid growth.
- **Exports and commodity headwinds**
  - Overall, the company expects near-term volume growth rate to sustain at double-digit in the export segment
  - Export volumes to Nigeria crashed from 50k-60k units per month down to just 5k units due to severe Naira devaluation (during worst time), which effectively doubled the local cost of the vehicles. The volumes have recovered to 35-40k units per month currently.
  - To combat this and encourage buyers to return, the company implemented fixed-price support measures to shield Nigerian customers from daily currency volatility.
  - In Egypt, traditional 3W were impacted by safety regulations, but the company is successfully replacing those lost sales with its Qute quadricycle.
  - Rising commodity costs (steel, copper, zinc) are creating a 50-60 bps margin headwind for the 4QFY26E.
  - The company has already implemented targeted price hikes to offset approximately half of this recent commodity inflation.
- **EV strategy**
  - Consumer adoption of value-added technological features is strong, with the "tech pack" currently seeing an attachment rate of around 40%.
  - To scale up market penetration, the company shifted its distribution model from exclusive EV outlets to utilizing its much larger, pan-India motorcycle dealership network.
- **Battery technology and costs**
  - Due to improved engineering and optimized space, battery costs have plummeted from 80-90% of a two-wheeler EV's total cost down to approximately 40%.
  - Electric three-wheelers have significantly lower battery costs (as a percentage of the vehicle's bill of materials) because its larger physical footprint allows for thicker, less specialized battery packs.
  - Management anticipates continued battery cost reductions, driven by falling lithium-ion prices and the potential future integration of semi-solid-state batteries.

Bharat Forge: February 23, 2026

Key takeaways

- **Growth and guidance**
  - The company anticipates a 20-25% yoy growth for its overall business (excluding overseas subsidiaries).
  - In contrast, the overseas business is expected to remain flat.
- **CV & Core Forging**
  - The core forging business is experiencing a recovery, driven by the US CV cycle bottoming out and a stabilization from tariffs.
  - Global CV markets remain range-bound.
  - The long-term sustainability of the India CV cycle remains a question mark, although 4QFY26E is looking strong.
  - The Indian CV market is seeing a shift toward higher tonnage and impact from DFC.
  - Class 8 trucks are expected to see a very strong year, with volume growth projected at 40% due to intense restocking. Currently, Class 8 trucks account for 9% of the company's total revenues.
- **Defense and aerospace diversification**
  - The company has guided for 50% yoy growth in defense order revenues in FY2027E. Order execution for ATAGS and CQB rifles is planned after 2HFY27E, which will drive strong growth.
  - Operational improvements in the defense segment have successfully led to positive EBITDA in 9MFY26.
  - Defense exports to Europe are viewed as a massive opportunity, though these government-to-government transactions require waiting for the EU FTA.
  - While the artillery business is currently at a nascent stage, the company plans to establish a much more diverse product mix within two years.
  - The future defense segment's expansions will target armored vehicles, tracked artillery systems, explosives, ammunition and naval propulsion/guns.
- **Operations and broader market dynamics**
  - The company intends to enter a new operational segment focused on supplying components and subsystems.
  - US tariffs have primarily impacted commodities rather than customers due to deep supply chains.
  - The previous competitive advantage of Indian electronics over Chinese electronics has disappeared.
  - The electronics business is currently weak and the company notes that artillery is much easier to execute.
  - European markets are currently undergoing a significant amount of consolidation.
  - EV programs are facing challenges due to a drop in schedules from OEMs.

Blue Jet Healthcare: February 23, 2026

Outlook: Blue Jet's medium-term revenue visibility is healthy, backed by positive discussions with customers and capacities coming onstream. The company has added two major production lines—one for the cardiovascular intermediate and the other for the NCE contrast media intermediate. Based on customer discussions, the company expects both these products to contribute meaningfully to revenues in FY2027E. Blue Jet is carrying out backward integration for its contrast media product, which would aid revenue growth, after customer audits. This will benefit its bottomline in the next coming years.

Contrast media:

- **ABA HCL:** Production and dispatches were higher qoq. According to the company, offtake in the product remains stable and it continues to be the major supplier. However, the amount of revenues booked was lower qoq as the value of the goods-in-transit was higher than in the previous quarter. From a production standpoint, Blue Jet maintained healthy utilization levels.
- **Iodinated ABA HCL:** Blue Jet has been supplying validation batches for iodinated ABA HCL, which has taken longer-than-expected. It has capacities ready for the next five years. It expects the commercial launch in FY2027E and ramp-up of supplies from 1QFY27. Realizations of this molecule would be higher than the existing flagship product.
- **Gadopiclenol NCE:** Blue Jet has started commercial supplies for this product. The order book for this product is encouraging. Blue Jet had commenced a new production line for this molecule. Revenues for the end formulation product have been growing at high teens.

High-intensity sweeteners:

- **Saccharine:** The product witnessed pricing erosion yoy.
- **New sweetener:** Blue Jet will be supplying a few pilot exhibit batches for a new sweetener in FY2027E. This will offset the loss in sales from the existing sweetener. Currently, there is one anchor customer for this product. There are certain milestones that Blue Jet is targeting during FY2027-28E. It is building capacities with a target of ~10% volume share within a total market size of ~US$1 bn.

Pharma intermediates and APIs (PI&APIs):

- **Bempedoic Acid:** There is some channel inventory due to which there has been destocking. There is an ongoing supply chain realignment. The reason for the subdued order book can be attributed to both these factors. According to the company, it would take a couple of quarters for these issues to normalize. On a month-on-month basis, the molecule is demonstrating strong growth in terms of end market formulation sales. Moreover, new geographies are also opening up. Blue Jet was the primary supplier in the past and believes it would continue to be the primary supplier. It has supplied meaningful quantities in the past and expects this momentum to sustain. The intermediate that Blue Jet supplies is of high quality, given it produces it at a highly automated facility.
- **Obicetrapib:** This could be a competitive product for Bempedoic Acid. The molecule has strong USPs. Phase-IV data is critical to monitor. There is a pathway to getting the prescriptions, i.e., cardiologists need to endorse the product as well. Although this may be a meaningful opportunity, according to Blue Jet, there would be some time before the molecule gains traction.
- **Pipeline products:** Blue Jet is in discussions for 20 RFPs, with 6 high-conviction phase 3 leads, most of which are for chronic indications. Two of these products are already commercialized, leading to potential lateral entries. Blue Jet expects the six late-phase assets to contribute meaningfully from end-FY2028E. It will provide a detailed update in the next quarter.

Capacity expansion:

- **Unit-III, Mahad:** The plant for backward integration for contrast media is almost complete and will be ready for qualification in 1QFY27. This plant would have a continuous process chemistry system in place and help Blue Jet deliver higher and more consistent quality. A high level of automation has been incorporated into this plant. Blue Jet has incurred a total capex of ~Rs1.46 bn to date. The plant will help with debottlenecking capacities for iodinated contrast media.

- **R&D center:** The R&D center will focus on peptides, bio-catalysis and GLP-1 intermediates. Blue Jet is incurring a capex of Rs400 mn for this R&D center. Development work will start in FY2027E. This will aid in faster turnaround of late-phase RFPs.
- **Vizag:** In the next 2-3 years, Blue Jet will be adding 1,000 kL capacity at Vizag. This plant will be developed in three phases. The initial capacities are aligned with customer demand. Blue Jet is adding four blocks here—two for CM, one for sweeteners and the fourth will be an MPP block catering to multiple products. Blue Jet will primarily use internal accruals for the initial phase of capex. It can also tap the debt market. It is also evaluating co-investment options.

Financials:

- **Gross margins:** In 9MFY26, Blue Jet's gross margins declined 220 bps yoy to 53.2%. ~100 bps of the gross margin decline was due to a change in product mix (contrast media sales declined from ~44% to ~42%). For its flagship product, Blue Jet has two vendors and the company increased its offtake from one of the EU-based suppliers (higher costs). The overheads that had been inventoried in 2QFY26 due to goods being in transit were accounted for in the 3QFY26 post-revenue booking by Blue Jet. This led to an additional ~100 bps impact on gross margins. Lastly, there was yoy pricing erosion in its sweeteners portfolio as well.
- **Cash:** Rs4.1 bn, as of December 2025.

Blue Star: February 23, 2026

Key takeaways

- **Segment 1 (EMP, Commercial AC and international).**
  - **EMP** order book stands Rs50-55 bn. Within the order book, ~35-40% is from factories and data centers, ~30% from infrastructure, and the balance from buildings. Margins are mix-dependent, with infrastructure projects nearing completion leading to lower margins, while DC and factory projects have higher margins. The company restricts capital employed in EMP to ~10-15% of total. The execution cycle for infrastructure/data centers and factories/buildings is 3-4 years/1-1.5 years/8 months. Management is consciously trying to reduce the mix of infrastructure projects and aims to keep costs variable for such contracts.
    - **Data centers.** Blue Star is considered to be a preferred player for DC EMP due to its track record, where projects are not awarded on L1 basis, but on execution and service quality. The current data center order book for Blue Star stands at Rs10 bn. The EMP DC market size is Rs35-40 bn and Blue Star holds a 25-30% market share. The cooling solution products account for 15-20% of DC capex, while 35-40% of total DC capex is EPC (which includes civil). While air cooling dominates currently, liquid cooling is gaining traction; the company is currently focused on air cooling solutions.
  - **Commercial AC** market size is estimated at Rs50-60 bn, with ducted systems contributing the highest and VRF growing faster. Daikin is the leader in VRF, with Mitsubishi a strong competitor, while Voltas has not made a mark. Blue star is the market leader with ~45% share in ducted systems.
  - **Exports**. In the US market, Blue Star's products have performed well under private-label arrangements, though volumes slowed following the 50% tariff. Blue Star believes it has a right to win in CAC, unlike in RAC where Chinese competition remains intense. Discussions have resumed after India-US tariff announcements recently. In exports, customer relationship development takes 1-2 years, while product development takes ~1 year.
  - **Outlook**. The company expects segment-1/CAC to grow at ~10%/12% CAGR. The company expects 4Q margins to be in the range of 6.5-7% as low-margin infra projects are near completion. Over the longer term, the company continues to guide for a sustainable margin profile for S-1 at ~7-7.5%.
- **Segment 2 (unitary products)**:
  - **RAC**. Blue Star indicated some traction in the North in January, while South is yet to pick up; however, March remains critical for demand. Compressor sourcing continues to be a combination of Chinese and domestic suppliers, with China offering lower costs, while domestic sourcing—both from Indian players and Chinese players manufacturing in India—helps maintain relationships and diversify the supply chain. Over the long term, management projects industry growth of ~20% CAGR, led primarily by underpenetrated Tier-3/4/5 markets.
    - **Price hikes**. For companies holding finished goods or raw material inventory, the impact of RM inflation is not immediate. RM inflation typically flows through after 1–2 quarters, as inventory is valued on a moving-average basis and pricing actions are taken in a calibrated manner. The company has started the sales of the new BEE rated models. The company has taken price hike due to BEE changes of ~5%, with additional hikes for raw material inflation to be taken in phased manner (April to June), which will vary from company to company.
  - **Commercial refrigeration** business is flat currently. Deep freezers and visi-coolers are performing well, water dispensers are stable, and storage water coolers are performing relatively better for the company. Deep freezers and visi-coolers are seasonal and weather-related, though less volatile than RAC. The CR market size is Rs50 bn, with deep freezers contributing 22–23%, storage water coolers ~20%, and visi-coolers ~15%. The industry is expected to grow at 8–10% next year, and Blue Star expects to grow in line with the industry. The industry remains highly fragmented. The company stated that CR margins are broadly similar to RAC margins.

- **Margins.** Overall margin guidance stands at 7-7.5% for FY2026E and 8.5% for FY2027E. Management believes 8.5% margins are sustainable over the long term, even with RM volatility, and could improve with scale.

- **Others**. Localization is not expected to change materially, with compressors remaining imported. Approximately 50% of raw material is imported, 20–25% is in-house, and the balance sourced from domestic component suppliers. Given the limited depth of domestic manufacturing, imports will continue in foreseeable future. R&D spend stands at ~1.5% of product sales, having increased over the years. Over the next five years, R&D intensity is expected to remain in the 1.5–2% range.

CESC: February 23, 2026

Key takeaways

- Management highlighted that CESC is targeting a renewable portfolio of 3.2 GW installed capacity by 2029E (and 10 GW by 2032E); it currently has 900 MW of PPA-signed solar and hybrid projects (installed capacity of 1,200 MW) under implementation, with potential revenues of Rs12 bn to be commissioned by end-FY2027—part of these would supply to its own discoms in Kolkata and Noida. CESC has also won LOAs for two more projects, aggregating 450 MW (hybrid/FDRE) from SECI and REMCL.
- It has applied for 7.8 GW connectivity, of which it has secured approval for 3.9 GW connectivity across high solar/wind states. In phase 1, CESC is targeting 1.7 GW wind capacity (agreements signed for 3,500 MW of wind projects in turnkey and supply mode with Inox, Suzlon and Envision) and 1.5 GW solar capacity (3,531 acres acquired and 8,000+ acres of land parcel under acquisition stages; 600 MW of solar projects in EPC mode with Waaree and Sterling & Wilson).
- Management stated that it expects Rs5-6 bn of annual cost savings from 1 GW of renewable capacity, compared with the purchase of power from discoms. These savings would help CESC reduce its regulatory assets over a period of time, without taking tariff increases.
- In the distribution business, CESC expects to incur annual capex of Rs11-12 bn over the next five years—this includes Rs6 bn in Kolkata, Rs4 bn in Noida and Rs2 bn in Chandigarh. It expects to spend another Rs500 mn in its DF circles.
- CESC is also evaluating a 3 GW cell and module manufacturing facility at a capex of Rs30 bn in the next two years.
- Management highlighted that CESC reported 3QFY26 consolidated revenue of Rs41.7 bn (+8% yoy) and PAT of Rs2.8 bn (+8% yoy). The profitability was aided by the distribution business at Noida and higher contribution from generation assets. Consolidated PAT of Rs2.8 bn in 3QFY26 comprised (1) standalone PAT of Rs1.8 bn (+2% yoy), (2) PAT of Rs510 mn (+16% yoy) at Noida, aided by 6% yoy higher unit sales, (3) PAT of Rs700 mn (+37% yoy) at Chandrapur, with PLF at 82% (79% in 3QFY25), which started supplying to Adani Power, Tata Power and NPCL starting 1QFY26, after the signing of medium-term PPAs and (4) PAT of Rs570 mn (+2% yoy) at Haldia, with strong PLF of 87% (91% in 3QFY25) and a tad higher tariff of Rs4.8/kwh.
- Malegaon distribution franchise posted reduced PAT loss of Rs290 mn in 3QFY26 on revenue of Rs2.2 bn, compared with Rs380 mn PAT loss in 3QFY25. T&D loss at Malegaon reduced to 35% in 3QFY26 from 37.4% in 3QFY25. CESC has taken several measures such as using armored cables for T&D, cutting off supply to people stealing electricity, reshuffling and changing the management team, and making the state discom a party to the problem to reduce losses. Management expects to reduce these losses over the next 8-9 quarters for achieving breakeven (would happen at 25% T&D losses)—we would watch out for the difficulty of achievement.
- The distribution circles in Rajasthan (Kota, Bharatpur, Bikaner) saw small PAT of Rs100 mn in the quarter (Rs30 mn in 3QFY25). The combined T&D loss in Rajasthan was reduced to 11.5% in 3QFY26 from 14.2% in 3QFY25.

Cipla: February 23, 2026

Guidance:

- **US sales:** Cipla indicated that its earlier guidance of US$1 bn annual US sales in FY2027E will be revised downward due to issues in Lanreotide supplies. However, it will come up with formal guidance after 4QFY26. New launches should offset the gRevlimid decline over a period of time, but at lower margins.
- **EBITDA margins:** 3QFY26 margins were lower than internal expectations by 150-200 bps due to lower Lanreotide sales, higher R&D and completion of most of gRevlimid supplies. This led to the margin guidance cut for FY2026E. Cipla is now guiding for FY2026E EBITDA margins of 21% (versus 22.75-24% earlier).
- **Gross margins:** Cipla expects to report gross margins of 60-65%, depending on the product mix.

US:

- **gRevlimid**: 3QFY26 sales had a small contribution from gRevlimid. Most supplies were completed during September 2025, with few quantities supplied in December 2025.
- **Lanreotide:** Production has been temporarily stopped. The product will remain in limited supply until the supply issue is resolved in 1HFY27. Cipla had factored in Pharmathen's OAI classification while stating the timelines for normalization in Lanreotide supplies. Simultaneously, Cipla is evaluating alternate sites for this product. Lanreotide sales can get further impacted in the coming quarters if the situation does not get resolved. The US FDA inspection of Pharmathen took place in November 2025 and Pharmathen stopped production soon after. There was no production in December 2025. There was some impact on sales in 3QFY26 compared with 2QFY26. There was no inventory write-off in Lanreotide.
- **Pipeline**: Apart from gAdvair, there are three other respiratory assets (one being gSymbicort) in the pipeline, planned for launch in FY2027E. Out of these, two products are large opportunities in size, wherein Cipla expects to be the sole generic player in the market for a long period of time. Out of the two big respiratory assets, one could be one of the biggest (top 2 or 3) products for the company (ex-gRevlimid and Lanreotide). Out of the four peptide launches planned for FY2027E, none of the products are filed by Pharmathen. Cipla remains confident of launching all these eight assets by end-FY2027E. Peptide assets are filed from partner sites, while respiratory assets are filed from its own sites—one from Goa and the rest from US/Pithampur. The new launches will be at a lower profitability than gRevlimid. As respiratory products are filed from in-house facilities, Cipla expects to generate healthy gross margins in these assets.
- **gSpiriva:** Cipla has gSpiriva under development for some markets. It cannot disclose details for competitive reasons.
- **Launch timelines**: Among respiratory assets, Cipla expects to launch the two big assets and gAdvair in 1HCY26**.** Moreover, Cipla could launch gSymbicort in 2HCY26. Within peptides, Cipla is guiding for a smaller peptide launch in 1HCY26, with a big peptide launch (sole player) expected in 2HCY26. Cipla plans to launch gVictoza in 4QFY26.
- **gAbraxane:** Cipla's launch coincided with other companies' launches. Therefore, competition has increased in the product. Currently, Cipla has mid-single-digit market share and hopes to increase it in the coming quarters.
- **Pithampur:** Cipla is expecting US FDA re-inspection any time soon.

India:

- **Branded versus trade generics:** Cipla sees opportunity in both segments—branded generics and trade generics. Growth rates for Cipla have been similar across both these channels.
- **Trade generics:** Expanding the portfolio through new launches across new therapies remains the key priority for Cipla.

- **Yurpeak:** Cipla has pan-India rights for marketing Yurpeak. Cipla is seeing good traction across markets, including cities wherein Mounjaro is present and cities wherein Mounjaro is not present.
- **Semaglutide:** Cipla believes Semaglutide will open another option at a different price point, and it will grow the market instead of eating into Tirzepatide sales. At the moment, Cipla is focusing on Tirzepatide. Cipla will adopt a wait-and-watch approach in Semaglutide for now and will not launch immediately.
- **In-licensing:** In-licensing is less than 10% of domestic sales. Going forward, Galvus will move to own manufacturing and hence margins will improve for this portfolio. Yurpeak will add to in-licensing contribution.
- **Schedule M:** This will impact smaller players and Cipla does not expect much impact due to this.

One Africa:

- **South Africa:** Primary sales in SA private market were impacted due to destocking. Cipla expects primary sales to recover from 4QFY26.

Peptides in EMs: Cipla has launched Liraglutide and has a few other assets in the pipeline. It is focusing on building front ends in South Africa and EMs.

Priorities:

- **One India**: For One India, the aim is to focus on execution to sustain the growth momentum and outperform the market in both branded generics and trade generics, along with strengthening presence in chronic therapies including diabetes, cardiology, urology and dermatology.
- **US:** In the US, Cipla is concentrating on enhancing commercial execution.
- **One Africa**: In One Africa, Cipla's focus remains on improving the private sector mix while selectively participating in tenders.
- **EU/RoW:** In the EU/RoW, Cipla is prioritizing growing topline while sustaining margins.

Corona Remedies: February 23, 2026

Guidance: Corona is targeting mid-teens sales growth, along with high-teens PAT growth over the medium term.

Growth drivers: For Corona, volume growth and new product launches have been the primary contributors to performance.

Bayer Portfolio: The portfolio acquired from Bayer is expected to begin commercialization from 4QFY26.

Semaglutide: In March 2026, GLP-1 therapies, including Semaglutide, are expected to move into an off-patent phase. Corona aims to service ~3,000 centers across India for GLP-1 therapies.

Geography mix: Over a 4- to 5-year period, Corona expects India to constitute ~90% of total sales.

Capacity expansion: Corona will require an additional manufacturing plant by FY2028-29E. Corona intends to begin evaluating the next manufacturing expansion after a few months.

MR addition: Corona has deployed ~600 MRs over the past three years. It plans to increase its MR count by 5-6% annually.

Attrition: Corona has a less than 14% attrition rate, much lower than the industry average of 20%+.

NLEM: ~7% of portfolio.

PCPM: Corona has a PCPM of ~Rs400k. It has an internal target of reaching Rs700-800k over the next 3-5 years.

CMO mix: CMO revenues constituted ~35% of Corona's sales. It expects this mix to remain broadly stable.

Osteoporosis: Denosumab (Tricium BA antibody) will strengthen Corona's osteoporosis segment.

Fertility: Recombinant FSH will expand Corona's presence in the fertility treatment segment.

M&A: Corona is actively evaluating mergers and acquisitions as a growth avenue. The company is currently reviewing two brand acquisition opportunities.

Exports: Corona's export revenues are staggered annually rather than evenly distributed across quarters.

Cummins India Ltd: February 23, 2026

Key takeaways

- **Data centers can be highly customized according to customer needs**: Data centers generally require engines greater than 2,500 HP. Sub-hyperscale colocation facilities typically use the QSK-60 engine, which is manufactured in India. Hyperscalers use larger 78-95 liter engines that provide power in the range of 3.5-40 MW. These engines can be customized with features such as dual cooling fans depending on customer requirements.
  - Data centers contribute meaningfully to overall power generation revenue with hyperscalers accounting for a material share of this segment. The company estimates that its total contribution to the broader data center ecosystem including technical equipment forms a small but significant proportion of the overall spend for a data center.
- **Focus on value integration for data centers**. Instead of focusing purely on market share, the company emphasizes value integration. This includes placing service engineers on site maintaining a local inventory of spare parts and offering a reliability promise with a maximum downtime of only a few seconds. Touchpoints and depots are deliberately located close to data centers to support this commitment.
- **Localization only for select genset models due to irregular demand in India**: The 78/95 liter engines are currently imported because domestic demand does not yet support local manufacturing at scale. While the technology and production capability exist localization would only become viable if hyperscaler projects were awarded at a much higher and more consistent frequency than seen today.
  - Manufacturing follows customer location. When a large customer such as a global technology company sets up in specific geography, engines are typically sourced from the closest available supply chain to reduce logistics complexity and transportation costs.
- **There is limited scope for data center exports**. The company has sufficient scale to manufacture and export the QSK-60 engine in the 40-60 liter range for general power generation applications. However, most global data centers do not use this specific engine size and instead prefer the higher power 78-95 liter models, which are supplied from the US for those markets.
- **Railways/marine/defense present a significant opportunity over the next few years.** Strong activity is visible in rail electrification and the adoption of new technologies. This includes high speed self-propelled accident relief trains designed to reach incident sites rapidly along with hotel load converters and next generation traction solutions.
  - Significant government capex is expected to support growth in defense rail and mining. Although bidding processes and fund deployment tend to be slow, Cummins relies on its long-standing relationship with Indian authorities and its reputation for dependability to capture such projects.
  - The company is involved in propulsion systems for submarines and fleet support vessels using imported high horsepower engines. It has also introduced electric tug solutions, which are first of their kind. Additional growth is expected from national port modernization initiatives aimed at expanding inland waterways and upgrading port infrastructure.
  - Defense spending is increasing with a focus on advanced equipment capable of operating across diverse terrains. Mining activity remains linked to government funding and tender cycles with participation from both public sector entities and private mining operators.
- **BESS offering starting to garner initial traction**: Company believes that these systems, which typically provide a few hours of backup power, are **designed to complement rather than replace conventional generator sets.**
  - The company has received strong interest from a large number of customers including residential communities and IT parks seeking to optimize energy consumption and manage high levels of load shedding.
  - Cost and feasibility: While battery energy storage systems are currently expensive, pilot projects are being used to help customers evaluate whether they can lower operating costs compared to running generator sets for short duration power needs.

Dr Reddy's Laboratories: February 23, 2026

Guidance:

- **Sales**: Ex-US sales should grow yoy in double digits in FY2027E.
- **Gross margins:** Gross margins (according to IFRS) will be in the 50-55% range in 4QFY26.
- **R&D:** DRRD expects R&D to be in the range of 7-8% of sales.
- **SG&A spends:** SG&A will grow yoy in FY2027, but at a moderate level. The growth in SG&A will be less than half of the growth in topline.

North America:

- **gRevlimid:** The yoy and qoq decline in US sales is primarily due to gRevlimid. Without gRevlimid, US sales have grown in 3QFY26. DRRD will continue to sell the molecule even after the patent expiry. However, the value from this molecule will be minimal. There could be a possibility of chargeback for most pharma companies if there is higher-priced inventory in the channel.

Biosimilars:

- **Denosumab:** Alvotech needs to address the deficiency letter. DRRD does not expect an approval before 2QFY27. Denosumab has been launched in Europe.
- **Rituximab:** The regulatory hurdle is regarding one of the fill finish lines (Abatacept is not on the same line and hence will not be impacted). DRRD will submit a response in the next couple of weeks. The expectation is that the US FDA will re-inspect this line. The resolution might take more than six months. Rituximab has been launched in Europe.
- **Abatacept:** DRRD expects the IV approval by end-CY2026. The approval of the subcutaneous version will be by January-February 2028 (filing will be in July 2026). So far, Abatacept looks to be heading in the right direction, especially in the US. Europe will be an important market (~US$2 bn market size) as well. Like the US, DRRD will be first to market in Europe. DRRD will work with partners in some markets. DRRD will be filing in Europe in July 2026, with the launch of IV and subcutaneous versions expected in July 2027.

Semaglutide:

- **Canada:** DRRD is awaiting a response from Health Canada. A reinspection is not needed. DRRD is hoping to get an approval latest by May 2026. DRRD is preparing for a launch any time between the end of February 2026 and May 2026. DRRD believes that once it gets an approval, it could be either alone or have limited competition in Canada. The generic will be substitutable to the brand. Innovator is using synthetic API for the injectable and recombinant API for the oral version. DRRD will be using the same APIs for its products.
- **India:** DRRD will launch gOzempic in India on March 21, 2026. It is working on the other versions for the domestic market.
- **EMs:** DRRD has started filing Semaglutide in various EMs. The launch in Brazil and Turkey is likely in July 2026. Additionally, DRRD has partners in other markets. DRRD might out-license its product to these partners.
- **Capacity:** Currently, DRRD depends (12 mn pens) on its partner OneSource. Over time, DRRD will use the CMO and its own facilities.

India:

- **Outlook:** DRRD believes the strong growth run rate in India is sustainable. Going ahead, DRRD is guiding for 15%+ yoy growth.
- **Organic domestic growth:** Organic India growth (ex-Stugeron) stood at 17-18% yoy in 3QFY26. This performance has been primarily driven by strength in the innovative portfolio (likely to be around 10-15% of domestic sales).

- **GST impact:** There was no spillover in sales from 2QFY26 to 3QFY26 on account of GST implementation.

Europe:

- **NRT:** DRRD expects NRT integration to be largely completed by end-FY2026E. The growth in cc terms in NRT in 3QFY26 stood at 8% yoy. DRRD expects growth in NRT to be in high single digits. There is also a possibility of future growth increasing to double digits if the company wins certain tenders in markets such as Brazil. The performance of this portfolio has exceeded expectations. The demand for its products was higher than what DRRD was able to sell. The EBITDA margin of this portfolio is above 25% currently. Nevertheless, DRRD continues to guide for a 25% EBITDA margin for this portfolio.

Others:

Russia: Sales in Russia increased 21% yoy and 16% qoq in cc terms in 3QFY26, driven by new launches and growth in the base business. DRRD has grown in all three segments, namely, retail Rx, retail OTC and hospitals. DRRD expects growth in Russia to remain in healthy double digits.

Aurigene: The business remains sub-scale currently. The two new molecules commercialized by Aurigene's clients can contribute ~US$100 mn in sales over the next 2-3 years.

Provision related to the labor code: The gratuity and leave encashment provision in 3QFY26 is retrospective in nature. On an ongoing basis, the impact will be ~50 bps.

Equitas Small Finance Bank: February 23, 2026

Key takeaways

- **Asset quality**. Asset quality continues to improve and credit cost will remain on a downtrend for the bank. Credit cost will remain on a downtrend. Discipline in the microfinance industry has improved due to MFIN guardrails and escalation of deviations to MFIN and subsequently to the regulator. The micro-LAP business saw some challenges (especially in Karnataka) recently because there is an overlap of the borrower base with microfinance. This business relies quite heavily on follow-ups for collections which became a challenge after the Karnataka ordinance. However, this situation has largely normalized now. While the bank has traditionally refrained from issuing SARFAESI notices in the past, the bank did issue higher notices than usual recently to resolve these challenges.

- **Loan growth**. Management remains optimistic about delivering 20-25% loan growth in FY2027E.

- **SBL business**. This business comprises of several products with heterogeneous borrower profiles. For instance, business loan product mandatorily requires that the borrower be registered with GST. Property is a secondary collateral and reliance is primarily on repayment through incomes. Even in this cycle, credit cost in SBL business has been quite manageable. Compared to peers, the company typically operates in higher-yielding customer profiles owing to its deeper distribution network into Tier-2/3/4 cities. Five Star would be a key competitor in the micro-LAP business, while Veritas and Aptus would be competitors in LAP of Rs0.7-1.2 mn ticket size. In the business loan segment (>Rs1.2 mn ticket size), key competitors would be the likes of Chola and AUBANK.

- **Microfinance**. Microfinance growth is likely to be ~15% yoy with single digit growth in number of clients. The share of microfinance (organic book) can go up to ~10%. Operating expenses in the microfinance generally tend to be quite high at ~7% of average assets. The bank now offers a first loan ticket size of Rs60,000 with the maximum ticket size ranging up to Rs90,000 for a 3-year loan product. The bank currently collects CGFMU premium from the borrowers. The bank is currently comfortable on PSL requirement with microfinance business picking up.

- **Vehicle finance**. The bank has been gradually moving its loan mix in this business away from new CV towards used CV and used cars. The share of vehicle finance in the loan mix is likely to remain at ~20%, while growth can be 15-17% yoy. Given the customer segments where the bank operates, the credit cost in this business is likely to remain in the range of 2.0-2.5%, but overall RoA can be healthy, especially for the used CV and used cars business. Typical customer segment for the bank is a driver-turned-owner or a single-vehicle owner who but wants to add more vehicles. Large fleet operators are <10% of portfolio. Used CV business is a function of distribution. Credit cost in new CV and used CV has not been very different and the higher pricing in used CV compensates quite well for the higher operating costs. Share of HCV is 25% of the vehicle finance business, while LCV is ~50%.

- **Affordable housing**. This business is quite small today with good scope for growth (driven by wider product availability across SBL branches). The yield on this business ranges from 12-13%. Key competitors in this business are Aavas (in western India), Chola and other NBFCs (in southern India). Management indicated that banks typically operate this business more conservatively – loans are approved only after a sanction plan (which often costs ~Rs50,000) is received from the appropriate local authority. However, in management's view, this practice is not necessarily followed by all NBFCs.

- **Deposit growth**. Management expects deposit growth to be broadly in line with loan growth hereon. Management indicated that government business is of two types: direct and quasi-government (local bodies). Direct government business requires a lot of effort for empanelment. Equitas is not yet there in direct government materially in spite of being empanelled in five states.

- **Margins**. Management remains optimistic about the NIM outlook for the next year. Cost of funds is declining as the repricing of term deposits continues. Yield will benefit from rundown of corporate loan book and Direct Assignment book over the next year or so. The bank bought Direct Assignment portfolio because it was running a shortfall on SMF business caused by decline in microfinance portfolio. The blended yield was ~10-11%.

GMR Airports: February 23, 2026

Key takeaways

- **Guides for 15% CAGR in non-aero revenues and higher CAGR in related EBITDA**. The company highlighted how it is in the process of housing the concessions linked to the three key airports into GAL standalone. These accounted for one-third of the non-aero revenue per pax in 3Q. These comprise of five lines of business in duty-free, retail, car park, F&B and cargo. The company shared guidance of 15% growth in related non-aero revenues over the next few years. On the EBITDA front, the company expects the growth to be faster. The same would be driven by nil revenue share in the component of non-aero revenues booked in GAL standalone and benefits of scale/mix in duty-free.

- **Duty-free contribution has increased meaningfully**. The major benefit from winning the bid for duty-free in Delhi has come from higher share of profits—nil revenue share to AAI, full shareholding. In addition, the profitability of the business has also improved with share of perfume and cosmetics becoming 20%+. Earlier liquor used to account for 90% of sales and the same now accounts for 64% of sales. The company has recently started focusing on other high-margin categories such as watches. It is also focusing on improving its pricing to better compete with other competing international airports. It expects benefits of procurement to also follow.

- **HRAB case can be a meaningful boost; next hearing on March 10**. The hypothetical RAB case involves Delhi airport contesting ~10X component of RAB than the Rs4.5 bn followed over the last three control period. The next hearing for the case is March 10 while the final verdict will likely take longer to be arrived at.

- **Thrust from airlines to grow passenger travel involving India**. The company highlighted endeavors by the Indian carriers to increase frequency to destinations where travelers prefer to take 4-5-day vacation (Bali, Langkawi, Vietnam). In addition, overseas carriers such as Thai Airways are repositioning capacities away from China and into India to participate in the country's growth story.

- **On track to monetize self-development project in Delhi by FY2028**. The company is broadly done with construction of the 1 mn square feet self-development project in Delhi Aerocity. It will aim to establish lease rentals for the same over the next 12-15 months before monetizing the same at a said cap rate. It did share, as a reference, a lease rental of Rs220-230 per month per square feet seen in World Mark and an 8% cap rate seen in case of the Bharti realty – Brookfield transaction in Delhi Aerocity. It shared a construction cost of Rs5-6k per square feet for its self-development project. It expects to book the related gain as an exceptional item. It does not envisage paying revenue share on the same given the provisions of the OMDA agreement. The total monetizable development potential in Delhi Aerocity is 80-100 mn square feet.

- **Bhogapuram airport commissioning in CY2026**. The company expects the commissioning of the Bhogapuram asset by December 2026. IT also expects the start of the Nagpur concession soon.

Gravita: February 23, 2026

Key takeaways

- **Policy tailwinds.** The BWMR (battery waste management rules) mandate a seven-year compliance cycle, with phased annual recycling targets (30%, 50%, 70%, 90%). This gives a seven-year window for producers to recycle content in line with regulations.
  - The EPR market remains nascent (currently year 4/7), with 1.2-1.3 MTPA battery scrap, of which only 40–45% is formalized; Gravita has ~6% overall market share (~15% within the formal segment).
  - Management expects heavy pressure on battery OEMS in next 2-3 years to comply with BWMR; Gravita has tie ups with top two players in this segment, which hold ~75% battery market share.
- **Business Model:** Gravita operates four different business models, which include: (1) overseas procurement to overseas sales (~33% of revenues; Rs28/kg EBITDA margin), (2) overseas procurement to India sales (~33% of revenues; ~Rs18/kg EBITDA Margin), (3) institutional procurement and domestic sales (~14% of revenues; ~Rs11-12/kg EBITDA margin) and (4) tolling model from battery OEMs (~20% of revenues; ~Rs7-8/kg EBITDA margin).
  - Company tries to benefit from arbitrage opportunities between India and overseas markets.
  - GRAV maintained guidance for volume/profitability CAGR of 25%+/35%+ over FY2025-29E.
  - The company expects sustainable margins of Rs19-20/kg in lead, Rs14-15/kg in aluminum and Rs10-12/kg in plastics on a steady state basis.
- **Lead vertical:** Lead capacity is being expanded to ~470 ktpa (including new 80/45 ktpa at Mundra/Jaipur), over current capacity of 345 ktpa. This should aid in volume growth starting 1QFY27.
  - Management noted Africa lead operations benefit from scale with an established scrap-aggregator network, and integrated systems enabling more efficient scrap sourcing.
  - Management expects 70/30% split of lead/non-lead business over next 2-3 years.
- **Copper recycling:** Gravita has proposed acquisition of Rashtriya Metals (RM), a copper recycling company specializing in wire scrap and copper clove processing.
  - RM serves a diversified customer base across cables, transformers, coinage, watches, locks, and defense, with ~40% of output exported.
  - As a standalone business, RM sources copper cathode through a 60% import/40% domestic mix.
  - RM's current 30,000 tpa capacity is planned to be increased to 60,000 tpa through a proposed Rs2 bn capex, along with upstream integration. Post-integration, the copper business is expected to operate at ~8–9% margins.
  - Gravita plans to implement upstream and backward integration at RM by shifting to scrap-based copper procurement and adding equipment for in-house cathode production, aimed at reducing reliance on purchased cathode and improving cost efficiency.
- **Capex and expansion plans:** Capex for 9MFY26 stood at Rs1.25 bn, with management guiding for Rs12-15 bn capex and working-capital investment over the next three years to support the upcoming capacity additions.
  - GRAV expects total capacity to increase to 700+ ktpa by FY2028, across lead, aluminum, plastics, rubber and li-ion battery recycling, enabling medium-term volume growth.
  - If the copper acquisition closes, management will come out with a revised capex plan over next 1-2 quarters.

HCLT: February 23, 2026

Key takeaways

- **AI impact on IT services.** Coding accounts for just 30% of software development. Other tasks such has requirements gathering, story lines, testing and making decisions on architecture and choices of integration make up the remaining 70%. These tasks are more significant in brownfield scenarios. In brownfield productivity impact is moderated. Overall, 30-40% efficiency is possible in entire SDLC. In support, the biggest driver of productivity is from traditional AI/ML rather than from Gen AI/agentic AI. Agentic AI is helpful in checklist kind of work in IMS. But fixing real time issues requires humans to debug and apply the fixes. Gen AI helps in quickening debugging. Incremental benefit from Gen AI in IMS is 15-20%. In ERD, HCLT expects very less negative impact of AI. In BPO, in areas of contact center and marketing the productivity benefit is very high but for other BPO segments Gen AI plus human in the loop seems to be the correct model.

- **AI in software development.** In greenfield scenario, using Gen AI one can develop code 10X faster, but the code cannot be put directly put into production. Data authentication and security policies require humans. Human review is meaningfully required to deliver production-grade applications. This leads to moderation of the overall impact in software development to 30-40%.

- **2-3% revenue deflation in existing business.** Expect 2-3% deflation in existing business even if we HCLT proactively drives GenAI adoption. The deflation will not be higher due to complexities in an enterprise setting. The enterprise context is not given due respect. Productivity gains moderate significantly. Enterprise adoption of new technologies is also a long game. If HCLT's entire business was software development and support then the impact could have been ~5%.

- **New opportunities due to GenAI.** GenAI has created entirely new opportunities for HCLT. These include (1) AI factory- there is a services component associated with data center buildouts relating to design, planning and maintenance where HCLT has developed strong capabilities. HCLT has ramped up revenue to the extent of US$100 mn (70% annuity revenue) annually for a single customer over the last couple of years. HCLT believes that the AI factory opportunity can drive US$1 bn revenue in the next three years. No competition from Indian IT in this space. (2) Physical AI is another big opportunity that can become a US$1 bn revenue business in the next three years and is also around US$100 mn run rate currently. (3) HCLT expects to have 4-5 AI related products with US$100 mn ARR in next 4-5 years. HCLT has taken a hit in margins to make some investments in this space. (4) Mid-market is unaddressed and will be done through platforms, (5) Agency- HCLT will provide AI native marketing as a service and (6) Custom silicon engineering—it has potential to be a big revenue line in the next three years. HCLT is carving out a new division. Lots of industries want custom inference chips- automotive, industrial, medtech etc.

- **Software business will be less impacted.** HCLT's software business has large exposure to infrastructure, security and data which have lesser risk of disruption. Market automation product can be impacted.

- **AI productivity expectations.** In ITOps contracts, HCLT traditionally gave 15% productivity increased to clients over a 3-5 year basis. Now the ask from clients is to provide 25% productivity increase. In T&M business HCLT has not faced deflation yet. Clients are focused on more volume and velocity from teams than dramatically reducing team sizes.

- **Sales.** Sales person targets (quotas) will get reset if GenAI really cannibalizes existing business. Focus is on proactively selling GenAI.

- **Talent model.** New AI-led services organizations will have three categories of people: (1) traditional guys who do not use GenAI, (2) super users of Gen AI who get 2-4X productive and (3) AI builders who can create solutions using AI models. Industry will significantly pivot to talent in the (2) and (3) categories. HCLT believes that it can significantly increase revenue per employee. Delivery mix will change due to embedding more IP and platform into solutions. Hiring in elite engineering category is increasing.

- **Margins.** Hypothesis is that GenAI adoption should help services to improve margins. R&D and sales are two big investment areas. Expect increasing profitability to offset these investments. There could be a mismatch as well.

- **Technology ecosystem.** Hardware providers are capturing disproportionate value currently but there will be competition. Hyperscalers will grow but are very capex intensive. Value creation will be between frontier models and services companies. SaaS pricing pressure squeezed services in the last 10 years. Now their pricing tactics will come under scrutiny which can keep a check on their pricing. Frontier model companies are partnering with progressive services companies indicating their relevance in the GenAI era.
- **Costs.** There is some room to increase EBIT per employee. Entire revenue per employee will not go into EBIT. Majority will go into costs. AI bets and IP need investments. Companies will have to make choices such as trading margins for growth. There will some trade-off between margins and growth. Focus of HCLT is to be industry leader in growth while maintaining stable profitability.
- **Metrics to track Gen AI progress.** These include (1) revenue from IP/platform, (2) revenue per employee and EBIT/employee and (3) revenue progression in advanced AI serviceline.
- **AI-native BPO services is a big opportunity.** Existing BPO services will have a deflation while there will be new opportunities due to increased outsourcing.

HDFC AMC: February 23, 2026

Key takeaways

- Impact of recent regulations. HDFC AMC will attempt to make sure the net revenue impact of new TER regulations is neutralized. The entire AMC value chain will have to take the impact of exit load discontinuance. Distributors by their nature of being the biggest share of overall TER will absorb the most. Pass-through to RTAs is possible but it will not generate significant savings.
  - There are some intricacies that need to be ironed out such as (1) uneven impact on distributors based on their current commission rates and (2) smaller distributors who did not pay GST will have to bear the impact, resulting in bigger hit to their commissions. There are a lot of distributors who do not pay GST due to their size. These types of distributors have been hit harder. This is like a regulatory burden on these distributors, which cannot be offset by AMCs.
- Thoughts on growing competition. HDFC believes that the market is India is still very large given only ~60 mn unique investors. Industry growth is constrained by ability to reach customers and their customer wallets. Financialization of savings creates a ready pool of customers who would ultimately be attracted toward funds with long-term performance track record.
  - Distribution commissions. Flows into mutual funds are not always governed by commission rates. Lots of fund sales happen based on long-term performance track-record. HDFC believes its TER sharing is competitive enough to attract flows.
- Growth strategies. Two major focus areas are alternates and offshore. The company does not have any hard AUM or revenue targets as a large part of the growth is a function of market returns. The company's experience in being the first-mover is not always the advantage in this business—for example, despite being late, HDFC still has one of the largest in the credit fund category.
- Alternates. HDFC AMC is now on the path to grow alternates much more actively. HDFC group was early in few alternate products but was housed in a different entity. For PMS, HDFC has hired a few senior personnel. The company has got a few institutional mandates, which are not rich in fees but builds size for now. The company has hired senior talent in alternates with business development focus.
  - VC/PE FoF and credit funds have raised around Rs12-13 bn each. Nearly 90% of funds have come from investors investing more than Rs100 mn each. The company intends to do one more VC/PE FoF fund this year with a larger target investor segment.
  - For SIFs, the company has got the product approvals but the company is still evaluating risks and evaluating the right product.
  - The company has seen good interest from across client segments such as domestic institutions, large family offices and investors such as IFC.
  - On the debt side, the company has started with performing credit and will look to add capability in special situations.
- Passives. The company's market share in index funds at 17-18% is larger than active equity but ETF market share is lower due to lack of EPFO mandates. Challenge with passives is that the market beyond benchmark indices is still quite small.
  - Ex of EPFO, gold/silver ETFs and Bharat Bond, passive flows have not been very strong. Indian households are underinvested in equities and hence there is natural allocation toward active funds. At industry level, 60-70% of AUM is outperforming the benchmark in categories such as flexi is p/o 60-80. The number for other large categories is also quite high.
  - Unlike the US, a large share of equities is still owned by promoters, which allows better alpha opportunities.

HDFC Bank: February 23, 2026

Loan growth and deposits

- Management highlighted that system credit growth is at ~11-12% amid a slowing GDP environment. Deposit growth over the medium term has historically mirrored nominal GDP, and the bank expects to grow deposits faster than this, with credit growth running ~50-100 bps ahead of deposit growth.
- The CD ratio is being reduced on a calibrated glide path, with legacy HDFC Ltd borrowings gradually replaced by deposits. While the bank had earlier taken the CD ratio to ~96.5% over five quarters, but now with a pro-growth stance, increased focus on LCR and NSFR is the approach being adopted.
- Management expects the CD ratio to improve sequentially, with improvement already visible in the last quarter and expected to continue in the current quarter. Capital, long-term borrowings, and deposit mobilization remain critical, while issuance of shorter-tenor (3-5 year) papers is constrained.
- Retail term deposits have performed well, though the bank chose not to participate aggressively in the initial phase with price-sensitive deposits for long-term lock-in, allowing some deposits to run off. Wholesale deposits were raised selectively, and participation in both wholesale and non-wholesale deposits is expected to continue as rates are unlikely to fall meaningfully.
- Management reiterated that CASA plus term deposits will remain the primary funding source, with borrowings progressively replaced by deposits.

Margins

- Margins have seen modest pressure on asset yields following the December rate cut, with back-book repricing expected to be largely completed by the June quarter.
- Management indicated that NIMs will be driven by correct asset pricing, asset mix, and disciplined deposit pricing, with stable cost of funds supporting margin resilience.
- Absolute CASA balance growth rates have improved versus the last two years, which could act as a tailwind to NIMs.
- Management highlighted that while selling mutual funds may temporarily reduce CASA balances, deeper cross-sell over time leads to higher and more stable CASA as customer engagement increases.

Costs

- Branch-level operating leverage remains strong, with revenues from NIM improving as branches mature, while costs remain largely fixed, leading to improving cost-to-income dynamics.
- Technology investments made over recent years are expected to start delivering operating leverage, with benefits visible in customer centricity and efficiency gains.
- Technology expenses currently account for ~11% of total operating expenses. Management cautioned that in-house technology development has led to higher tech costs, though this is viewed as a strategic investment.

Asset quality

- The share of small-ticket unsecured loans remains very low in terms of overall contribution. Management noted that several players who were active in this segment 18 months ago have not returned after the period of stress which the system went through.
- Disbursement trends remain healthy, deposit-side consumption is improving, and credit teams are increasingly comfortable with portfolio quality.
- Management reiterated that aligning growth with faster-growing segments of GDP helps reduce underwriting errors, supporting asset quality stability.
- Asset quality has remained stable through and post-Covid, with pre-merger credit costs historically in the ~80-100 bps range. Wholesale credit costs have remained negligible for the bank.

- The branch network provides early warning signals of stress, with MSME-related indicators such as delayed salary payments acting as key monitoring triggers. Sector-wise, MSME asset quality remains stable to improving, with no visible stress.

Technology and branch strategy

- Management highlighted that technological advancements have structurally improved bank economics, reducing branch break-even timelines from about 36 months earlier to about 24 months currently.
- While real estate costs have remained flat and employee costs have risen, technology costs have declined due to migration to cloud-based infrastructure and removal of physical servers.
- Branch expansion continues with a balanced strategy of adding one branch in metro areas and one in deeper geographies, with branches remaining critical for relationship management, particularly in RUSU segments.
- The bank's long-term strategy remains focused on customer acquisition, with increasing migration to alternate digital channels to reduce servicing costs. While liabilities are largely sourced online, relationship management and credit data collection, especially for MSME, remain branch-led.
- Branch expansion is primarily driven by relationship management needs, with lower cost per branch and smaller branch sizes. Management indicated that the bank is benchmarking its model against global digital banks and fintechs and remains competitive.
- Customer behavior analysis shows that while older cohorts are increasingly tech-enabled, they continue to value branch access. Younger customers use digital platforms even for complex transactions, though larger ticket sizes (above ~Rs1 mn) still drive branch engagement.
- Net employee additions were flat during the year, and management indicated that the run-rate of hiring is unlikely to revert to earlier elevated levels.

Capital

- Management reiterated that the bank does not require additional capital for the next three years.
- Dividend policy remains unchanged, with dividends declared annually. The interim dividend paid last year was highlighted as allowing capital consumption, with no further policy updates at this stage.

HDFC Life Insurance: February 23, 2026

Key takeaways

- **The life insurance sector is seeing renewed momentum**, especially in protection, aided by policy reforms and GST exemption. Recent reforms are structural rather than cyclical, improving affordability and expanding the addressable customer base. Demand is increasingly protection-led, with strong traction from first-time and previously underinsured customers.
- **Impact of proposed RBI guidelines on bancassurance.** Credit protection was mandated in the MFI segment earlier; currently, this is not allowed under new guidelines. Banks used to push for higher attachment on home loans and other products to mitigate risk, which will be sustained under new guidelines. The price of the attachment product is low ~Rs350 in the MFI segment; hence, the possibility of customers choosing the unattached product remains muted.
- **Deferred payouts are better for industry.** Deferred commission payout structure allows for better alignment of the priorities of insurance manufacturer, distributor and policyholder. If NPV is maintained, the impact on banks and large distributors should be muted. Smaller agents may have a higher impact due to cash flow fluctuations. Mis-selling ratios are lower for insurance compared to banking products and if deferred payouts are adopted, the ratio of mis-selling will further decline. HDFC Life had proactively closed down branches and agents who had high mis-selling complaints.
- **Par demand remains robust.** Par demand gets a boost in strong equity markets, as returns are perceived to be better than non-par due to higher equity allocation.
- **Protection is the key strategic pillar.** Retail protection is growing much faster than the overall business. Higher sum assured, strong rider attachment and deeper penetration among self-employed and underinsured cohorts. Peers are significantly undercutting HDFC Life by 15-20% in retail protection, despite which growth was strong at 70% yoy in 3QFY26.
- **Non-par picking up over ULIPs.** ULIP growth was supported by equity market sentiment and embedded protection features. Early signs of recovery in non-par growth were visible in 3QFY26, aided by favorable yield curves and new product launches. Management remains cautious due to competitive pricing pressure, choosing profitability over chasing volumes.
- **Top-15 insurers in India are moving to IFRS by FY2027E**. HDFC Life will give out IFRS disclosures by 2HFY27E. Risk-based solvency will follow a similar timeline. Large well-capitalized players might report reserve releases, but players operating at the brink may require capital infusion. Players with a higher share of ULIP and long-term annuity will have higher releases.
- **Persistency remains a focus area.** Some stress was observed in early duration cohorts, largely linked to normalization after an unusually strong prior period, driven by tax-motivated sales. Long-term persistency (61st month) remains strong, reinforcing portfolio quality. Management characterized recent persistency softness as cohort-specific and transient, not structural. Corrective actions have already been implemented.
- **Diversified distribution remains a core strength.** Bancassurance growth has been softer recently due to competitive aggression and pricing discipline, but management views this as cyclical. Agency channel is a major focus, with significant expansion completed and emphasis now shifting to productivity and profitability. Strong confidence in maintaining the top-tier position with key bank partners, especially on VNB (value) share rather than just premium share.
- **Capital position is comfortable.** Management does not foresee additional capital needs for organic growth, even with upcoming risk-based solvency norms.
- **Strategic priorities going forward.** (1) Scale protection sustainably across retail, credit life and embedded offerings. (2) Rebuild non-par momentum without compromising pricing discipline. (3) Digest regulatory changes fully, aiming for a clean margin base entering FY2027. (4) Improve operating efficiency through digital initiatives (Project Inspire).

Hero MotoCorp: February 23, 2026

Key takeaways

- **Domestic demand**
  - Festival season sales were exceptionally strong, partly due to demand postponement, leading up to the GST cut and partly due to natural festive momentum.
  - Strong sales momentum continued through December, January and February; the company expects high single-digit growth to persist into the next fiscal year.
  - While the entry and deluxe segments are seeing strong revival, the company expects overall second-half (2HFY27) growth to moderate due to base effects.
  - Despite concerns regarding El Niño, the company believes the agricultural sector is well-insulated for at least one year due to expanded irrigation networks and all-time high reservoir levels, following several years of good monsoons.
  - The 2W replacement cycle is shortening and the ratio of first-time buyers to replacement buyers is improving, further expanding the addressable market.
- **EV scooters**
  - EV sales volumes are currently constrained by production capacity, not demand.
  - The company expects EV capacity issues to be resolved through ongoing debottlenecking and the addition of new capacity for upcoming models.
  - By next year, a significant portion of the company's EV portfolio will be eligible for PLI accrual, compared with only 10% currently.
  - The company is now highly confident in its portfolio (Destini, Xoom, Pleasure), particularly noting that 125 cc models are performing better than 110 cc models.
  - The company has already completed slight capacity additions for its ICE scooters and expects to increase capacity further.
- **Exports**
  - After a decade of rebuilding its export infrastructure (post-Honda separation), the company is now seeing rapid growth, moving from 300k to 400k units over the past two years.
  - Geopolitical and economic headwinds (e.g., in Sri Lanka, Bangladesh, Colombia, Nepal) are largely behind them, allowing key markets to fire on all cylinders.
  - The company holds a leadership position in Bangladesh and has successfully doubled its market share in Colombia over the past year.
  - Management aims to grow its export business at 2X the pace of the broader export market.
- **Others**
  - Recent volatility in commodity prices (aluminum, copper, precious metals) compounded by the Rupee depreciation is expected to create a short-term margin impact of 40-50 bps.
  - To offset this, the company has already implemented price increases, noting that aluminum and copper prices have recently corrected downward 10-15%.
  - The company views its target margin band of 14% to 16% as a long-term structural guide, prioritizing absolute RoCE and market share growth over strictly maintaining percentage margins in the short term.
  - Currently, the company is holding 4-5 weeks of inventory.

Hexaware: February 23, 2026

Key takeaways

- **AI focus.** Focus is on bringing new AI offerings to the market. For example, Hexaware recently launched zero-license offering. The company has tied up with Replit. Hexaware was early to come up with a vibe coding proposition to clients.
- **Platforms.** Hexaware has three platforms: (1) RapidX, which was launched 1.5 years back and built in the Gen AI era; it helps in legacy modernization and is receiving good demand. (2) Amaze, which helps in cloud migration. (3) Tensai, which is a decade old and helps improve productivity through automation. All platforms will keep evolving with AI.
- **AI for business**. Hexaware expects both deflation in existing services and AI opportunities to co-exist. IT services can use Gen AI and AI agents to disrupt services in other industries such as legal, insurance underwriting and clinical research operations.
- **AI in services.** Companies that have better AI capability will be able to retain some competitive advantage initially but eventually competition catches up. IT services companies will need to pass on productivity gains to clients.
- **Pricing model.** Roughly 65% of revenue is based on T&M model. The pricing model is gradually shifting toward outcome-based and fixed price.
- **AI productivity.** Historically Hexaware has passed on 2-3% productivity annually to clients in contracts. Now the productivity expectation has increased to 4-5% due to Gen AI adoption. Productivity related deflation will be re-invested back. At the time of renewals most accounts have grown, only some declined.
- **AI use cases.** Most of the AI use cases are in three categories- (1) coding, (2) contact center and (3) content generation. Testing is another area where productivity gain is high. Contact center and content generation exposure is low for Hexaware. Hexaware's BPO exposure is more domain oriented. At a company level there could be ~2% deflation to revenue growth which needs to be offset. Expect new opportunities to offset this.
- **Hiring model.** Hexaware is hiring more from top B-schools than in the past and is hiring more from top colleges for UG-level talent. Clients are willing to pay better rates for top talent and they also get deployed faster.
- **M&A.** M&A has been focused on acquiring capabilities to fill in some white spaces. Acquisitions in the last two years have been in the US$25-35 mn revenue size and have not been made to acquire scale.
- **AI adoption speed.** Among Hexaware's clients FS and banking slowest adoption of AI. Hi-tech and travel will be fastest adopters. Professional services to a certain extent are faster.
- **Headcount addition.** The company expects that in the near term, headcount addition to be linear to revenue growth. Expect benefit of effort reduction due to AI to be passed onto clients.
- **Margins.** Does not expect significant margin benefit to industry due to AI adoption.
- **Clients**. Top three clients have been with Hexaware for 15+ years. Hexaware has not lost any top 20 client in the last several years though there have been ramp downs.
- **CY2025.** 2025 was one of the lowest growth years for the company. Structurally nothing has changed. Had a couple of client issues along with higher exposure to manufacturing vertical and slower deal closures. Deal signings have been healthy in the past couple of quarters.
- **PE channel.** It accounts for 3-4% of revenue. Hexaware has boosted leadership in this space to focus on the area.
- **Other highlights.** Hexaware has both domain specific and horizontal focused agents. Average contract duration is 2-3 years.

Hindalco: February 23, 2026

Key takeaways

- **Hedging**. The company will hedge near levels of ~US$2,900-3,000/ton for FY2027. It has largely hedged for the strategic portion of hedges (21% hedged at US$2,925/ton) and will be opportunistic in hedging further volumes.
- **Supply**. Indonesian supplies are the main capacities coming up, with reports suggesting an incremental ~1-1.2 mtpa capacity by the end of the year.
- **Coal**. The company has enough coal after the operationalization of its 3 mines at ~22 mtpa. The current requirement is ~16 mtpa, which will rise to ~20 mtpa once Aditya's smelter expansions are completed.
- **Alumina**. The company's blended alumina costs are in the US$240-250/ton range, with lower-cost Utkal volumes (~2.5 mtpa at ~US$170-180/ton) being offset by higher cost alumina from balance sites (Renukoot, Muri).
  - As alumina capacity from the new plant in Odisha ramps up to 0.8 mtpa in phase 1, blended cost for alumina will trend downward. HNDL may also ramp down some of its higher cost alumina capacities.
- **Downstream**. Aditya FRP's (largely domestic-oriented) ramp-up over 2-3 quarters will improve downstream EBITDA margins from US$200-250/ton to US$250-300/ton.
- **Copper**. HNDL maintained guidance at a quarterly run rate of ~Rs6 bn from the segment. EBITDA in 3QFY26 was impacted due to lower continuous cast rod (CCR) volumes due to customer destocking, which should reverse in the coming quarters.
  - Margins in CCR are higher by ~US$100/ton. HNDL's CCR volumes are higher than smelting volumes; it also trades in CCR based on customer requirements.
  - China's benchmark for Tc/Rc is fixed at 0 ¢/lb for CY2026 (versus 5.45 ¢/lb in CY2025) on structural deficit in the concentrate market.
  - HNDL is tying up for concentrate directly with miners and is not waiting for external benchmarks. The Tc/Rc is marginally better in this route at 4-5 ¢/lb, but requires upfront payments, leading to higher working capital. There is a 2- to 3-month lead time for the supply of concentrate.
  - HNDL is able to extract margins through higher realizations in byproducts such as sulfuric acid/gold/silver.
  - Indian copper demand is sufficient for two large players. HNDL will move downstream to improve margins.
- **Novelis**. The company expects the Oswego plant to be online by 1HFY27. Margins to be at levels of ~US$500/ton by 3QFY27.
  - Pricing and scrap-related benefits will start being reflected by 3QFY27. The tariff-related impact will also be reduced, as the company will not source supplies impacted by tariffs.
  - The Bay Minette plant to be online by 3QFY27, with a ramp-up over the subsequent 15 months. Margins to reach US$600/ton in FY2029, after the Bay Minette ramp-up.
  - The company has locked 0.42/0.6 mtpa Bay Minette capacity at US$1,000/ton margins. It is seeking higher margins in remaining capacities.
  - It does not expect further revisions to Bay Minette's capex of US$5 bn.
  - The hot mill in Bay Minette is to be of 1.2 mtpa capacity, while the cold mill in phase 1 is to be 0.6 mtpa. The second phase of the 600 ktpa cold mill will not take much time (6-9 months).
  - Can cost, as a proportion of the total price of beverages, is negligible for manufacturers. This will ensure lower friction in terms of cost pass-throughs.

ICICI bank: February 23, 2026

Key takeaways

Loan growth

- Management indicated that benchmark risk through the rate-cutting cycle has been largely calibrated into loan growth since January 2025, particularly on EBLR-linked loans. By the June policy meeting, management believed benchmark risk had largely played out, following which growth was stepped up from the September quarter, with ~4% qoq loan growth.
- Unsecured loan growth has remained flat. Management noted that personal loan disbursements have started picking up, while credit card additions are expected to improve, leading to a gradual build-up of the credit card book from here.
- Business banking continues to grow well for the bank. Management expects corporate loan growth to pick up going forward.
- On a blended basis, management expects loan growth to remain higher than the system, with FY2026 and FY2027 growth likely to be modestly above system levels across segments.
- In mortgages, management highlighted continued loss of business volumes in both LAP and housing loans, driven by aggressive pricing from large PSU banks offering rates of ~7-7.2%, resulting in market share pressure.
- Competitive intensity remains high across business banking and corporate segments, with limited pricing differentials as most lenders are focused on growing profitably in this segment.
- Management reiterated that aggressive pricing (e.g., offering 50 bps lower rates in select segments) would necessitate repricing of the entire book, and hence pricing decisions remain guided by pragmatism.
- The cancellation of corporate bond issuances by several NBFCs is expected to support incremental loan demand for banks.
- Growth opportunities remain strong in construction finance, renewables, green financing and data centers within India. In builder loans, exposure to top-three builders across the top eight cities provides scale benefits and relatively better credit quality.

Margins

- Management indicated that NIM trajectory is expected to remain stable for the coming quarter, with FY2027 margins expected to be broadly at similar levels, assuming no further rate cuts. Transmission of deposit rate cuts is expected to play out, as well as some effect of 25 bps cut implemented in December.
- In a non-KCC quarter, lower interest reversals from NPAs, CRR benefits, and incremental CASA growth are expected to support cost of funds.
- Outflow of deposits to mutual funds is a key structural headwind highlighted, but this is resulting in higher institutional deposit growth over the past three years, which raises cost of funds, alters deposit tenor mix, and impacts LCR.
- Management emphasized that deposits remain the key constraint for growth, with strong internal messaging to prioritize liability mobilization, as deposit availability is critical for maintaining funding costs.
- If loan growth accelerates to ~15-16%, management indicated that funding may need to be raised through wholesale deposits or CDs, with CDs being the last resort. CASA and retail TDs remain key for LCR optimization.

Costs and fee income

- Opex remained elevated due to higher PSL-related costs and one-time fitment costs at entry level employees. From FY2027, these costs are expected to normalize and translate into operating leverage.
- Fee income growth is expected to return to double digits in FY0227, driven primarily by card payments and supported by multiple initiatives, while lending-related fees are also expected to improve.
- Overall opex was higher due to a one-off base increment, while technology-related costs are expected to grow at a slower pace yoy. The bank continues to invest in AI, with a focus on responsible innovation.
- AI deployment in customer service emails and credit analysis is aimed at efficiency improvement, with operating leverage expected to play out over the next year as opex growth moderates.

Asset quality

- Asset quality remains stable across segments, with retail secured portfolios steady and improvements visible in unsecured books.
- Management expects credit costs to remain contained, with guidance of ~40-50 bps in the next 12 months, and no optical spike anticipated despite lower recoveries.

Deposits and liquidity

- Liquidity conditions remain comfortable, with PSU banks seeing declining LCRs and rising LDRs, while capital levels remain healthy. The bank maintains LCR at ~125% and does not intend to go below ~115%.
- Management highlighted that CD ratio, LCR, and NSFR are closely linked and can be managed only up to a point.
- The bank continues to focus on strengthening its retail liability franchise, with senior citizens expected to account for over 50% of individual deposits over time. Process improvements, including dedicated senior citizen desks, are underway.

Miscellaneous

- Management highlighted heightened competition from PSU banks, particularly SBI, which is growing off a large base with a focus on ~1% ROA and strong asset quality. Private banks remain rational on pricing, with profitability still a key consideration.
- PSL constraints remain a structural challenge, with higher SMF requirements and increased PSLC costs impacting opex. Management is ramping up SMF lending through KCC expansion and portfolio buyouts to meet PSL targets.
- Business banking remains a high single-digit yield portfolio, with ancillary offerings such as forex and transaction services supporting customer stickiness and pricing discipline.

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Indiamart: February 23, 2026

Key takeaways

- **Growth.** The TAM for INMART consists of ~16 mn GST-registered suppliers and the company has 220k paid suppliers on the platform. This indicates penetration of ~2%. According to management, the penetration should be in the range of 3.5-4%. However, there has been a decrease in retention rates due to a change in expectations from the product. The company is working toward aligning the product with expectations and generating better quality leads for suppliers to improve its penetration.
- **Profitability.** Management guided toward a steady-state margin of 30-33%. The operating expenses associated with the business includes the cost of acquiring new suppliers, performance marketing, investments into AI and technology and corporate expenses.
- **Churn.** The churn is not region-specific or industry-specific. The difference in churn rates across industries has remained stable.
- **Suppliers.** 60% of the platinum customers have spent more than five years with INMART. These businesses typically have dedicated employees to manage its business on the INMART platform. The gold/platinum customers get higher visibility and higher number of RFQs as compared with silver customers. Silver category suppliers receive 7-8 RFQs a week.
  - The monthly packages are available only for the lowest tier. Gold and platinum subscriptions are available only as annual plans.
- **Product.** According to management, the same product was working well 3-4 years ago and is still working well for existing gold and platinum sellers. There is still healthy gross addition, but the retention rates have decreased. To improve the product, the company has improved the quality of the RFQ by providing more information about the buyer and details of the demand quantity to suppliers.
- **AI.** INMART is utilizing AI to analyze years of data to enhance user experience. The company is working with Google AI and building its own LLM. According to management, the company has quality content and its pages should show up at the top of AI searches as well. Less than <5% of the leads are currently coming from AI models.
- **Competition.** Competition for INMART is Google and other social media platforms. According to management, the suppliers who leave the platform do not shift to other platforms and instead move sales back offline.
- **Subsidiaries.** The company has made investments in companies that operate in the accounting industry. In India, after the implementation of GST, there has been an increase in traction of accounting compliance. According to the company, this should drive the growth of its subsidiary companies. Busy is doing well and generating cash of ~Rs200 mn annually. The other subsidiaries are also doing well but they are too small to impact the consolidated profitability.
- **Misc.** INMART is not vertical-specific and no single industry of the 56 industries it lists contribute to more than a couple of percentage points of share.

Infosys: February 23, 2026

Key takeaways

- **Demand.** Overall demand environment remains stable aided by lower macro volatility. Financial Services and EURS look promising into FY2027E. Retail is mixed bag. The vertical was impacted due to tariffs and there is improvement in pockets. Manufacturing is more balanced outside European auto where the outlook remains challenging. Telecom is challenged and focus remains on cost optimization. AI adoption can be one of the avenues for cost takeout for the telecom industry.

- **AI.** The pace at which the technology change is happening is faster than earlier waves but unlikely to be a lift & shift deployment model where in existing enterprise tech stack would be replaced by a new one. Rather, it would depend on the understanding of tech landscape. It would create more opportunity over the medium-term. An enterprise client's tech stack comprises of multiple layers starting with infrastructure and applications, data & security built on top of it. Further, there is an added complexity of geo and vertical-specific regulations and enterprise idiosyncrasies based on their business and strategy. Disaggregating each of these layers and replacing with new solutions is not an easy task. Instead, the enterprise would need support from system integrators to embed these applications into their tech stacks which have evolved over multiple decades. The headline productivity numbers being announced by AI-natives might hold true for greenfield deployments while enterprise-scale deployments are far more complex. Nonetheless, Infosys indicated that productivity has increased with new tools gaining traction.

- **Engagement models.** Large deal renewals historically have some impact of productivity savings baked-in. Higher efficiencies generated from deployment of AI agents has led to asks from enterprises to pass-on higher productivity during renewals. Services providers are now able to structure deals differently such as outcome-based deals. The rationale is to align the interest of services providers with that of enterprises. While there could be some disruption in the near-term from realignment of engagement models, this would open up larger opportunity over the medium-term to offset the deflationary pressures.

- **Differentiators.** Industry analysts such as Gartner, Forrester etc. rate the company highly on a wide range of services offerings. Infosys has been positioned in the leader's quadrant in the highest number of services as compared to Indian as well as global peers, effectively implying that the company has gained mindshare of both industry analysts and enterprises.

- **Outsourcing.** There have been repeated fears of relevance of outsourcing over the past multiple cycles. The implicit assumption of finite work doesn't hold true as technology evolution opens up new opportunities. Infosys sees increasing relevance of partnerships and alliances with technology vendors to navigate complex enterprise transformation.

- **New opportunities.** Data and legacy modernization open up new opportunities for services providers. Enterprises can now undertake vast legacy modernization programs with crunched timelines and at fraction of spends using AI agents. However, it does not mean that all legacy modernization projects can be accelerated. For instance, ERP modernization requires enterprise context and is tough to compress significantly.

- **AI adoption.** Financials services clients are leading enterprises in other verticals in AI adoption. The definition of revenues from AI services includes revenue streams aligned with the six pillars (AI strategy for engineering, Data for AI, Process AI, Agentic legacy modernization, Physical AI and AI trust) across 30 offerings and 100 sub-offerings.

- **AI agents.** The company can either use agents developed by frontier model companies or those developed inhouse. For instance, Infosys has developed 16 agents across AR process of clients.

- **Fresher hiring.** Infosys hired 20k freshers in FY2026 and plans to onboard another 20k fresher in FY2027. Freshers typically take up to 12 months to be deployable and indicate upfront investments in talent.

- **Capital allocation.** The stated policy is to return 85% of FCF to shareholders over a block of five years (FY2025-29). The company's payouts are on track in the second year of the block period and the payout policy remains unchanged.

JSW Steel: February 23, 2026

Key takeaways

- **Industry outlook.** The company expects steady growth in domestic steel demand. This should help absorb upcoming industry capacity additions.
  - China steel exports historically were under 70 mtpa, but had increased dramatically in last 2-3 years. Production, while slowing down, did not keep pace with the demand slowdown.
  - Europe prices have firmed up on the back of CBAM, but company expects Europe to ease tariff-based quotas sometime after June. This will be driven by the region's import requirements to meet demand.
- **Sales and product mix.** Around 60% of sales is currently value-added products; the company expects VAP share to remain similar on a much more expanded base in coming years. JSW earns an additional margin of Rs3,000/ton for value-added products.
  - The company expects share of flat steel in sales to rise over time, supported by rising demand from sectors such as infrastructure/automotive/renewables.
- **Raw materials.** Grade availability of iron ore in India is strained; the company is expanding beneficiation and pellet capacity to upgrade ore quality for newer blast furnaces.
  - 13 out of 23 mines are operational, and additional mine activations will enable 50% captive ore requirements; captive ore share stood at 33% in 3QFY26.
  - JSW targets 3.5 mtpa coking coal from Indian mines, along with further high-grade supply from Illawara(~2 mtpa on the basis of 30% share) and activation of Mozambique asset (over next 2-3 years).
  - JSTL expects Indian coal to be ~US$20-25/ton cheaper versus high grade coal.
- **Capex and projects:** JSW maintained guidance to reach 50 mtpa capacity by FY2031; however, this capacity does not include BPSL capacity following the JFE deal.
  - Board approvals for ~43 mtpa (including recent 5 mtpa Odisha expansion) have been obtained, and for balance ~7 mtpa are expected within next 12-18 months.
  - 5 mtpa Dolvi project is targeted for September 2027, while 1.5 mtpa at Vijayanagar BF3 is likely to come online by the end of FY2026.
  - The 30 mtpa, 302 km slurry pipeline connecting the mine to the port is expected to be commissioned by 4QFY27, supporting efficient ore logistics for the Odisha project.
  - Management targets keeping leverage in the 2.5-3X net debt/EBITDA range.
- **BPSL joint venture:** BPSL steel business to be transferred to new entity JSW Sambalpur via slump sale. JSW Steel and JFE to hold effective equity interest of 50:50 in JSW Sambalpur.
  - JFE is paying a control premium in the proposed transaction, with deconsolidation expected once the first equity tranche is infused by the end of 4QFY26.
  - Further equity infusion is not planned at this stage.
  - JV will lead to substantial deleveraging at JSTL, aiding accelerated growth plans in the company.
- **Green steel:** JSTL has plans for green steel in Salav, with an LPG/natural gas-based DRI furnace to decrease carbon impact. With natural gas-based power, emissions will be ~0.8 tCO_2/tcs. This will be further halved once the shift from natural gas to hydrogen happens.

  Gas-based power plant (350 MW) included in recent 5 mtpa capacity expansion announcement in Odisha. No thermal power capacities announced.

KPIT Technologies: February 23, 2026

Key takeaways

- **Demand.** The transformation toward alternative powertrains will continue in Europe and Asia. However, US OEMS are likely to adopt a gradual approach to this technology shift and might be more dependent on ICE and possibly hybrids in the near future. European OEMs want to invest in electrification, digital cockpit AD/ADAS to remain competitive. The deal pipeline in Europe is similar or moderately better than last year and is largely client-specific.

- **SDV programs.** Some of the large architecture programs might be paused for the next 1-2 years by certain OEMs. The earlier assumption of these programs going through multiple iterations which would follow one another in quick succession has not played out due to reprioritization of investments by clients. Automotive clients are investing on making their vehicle feature rich, an immediate priority to remain competitive, rather than on new platforms.

- **R&D spends.** Automotive OEMs' spends on R&D initiatives is likely to be better in CY2026 as compared to CY2025 with greater clarity on macros and tariffs. Trade uncertainties and investments in realigning supply chains impacted incremental R&D spends in CY2025. The impact was higher on European OEMs which were also contending share losses in their core markets to Chinese competition. However, spends are likely to be reprioritized in CY2026 with smaller ticket sizes as compared to SDV programs which tend to be much larger.

- **Growth avenues.** China and Korea are picking up in a promising way. China currently is a small portion of revenues but Caresoft's customer relationships would help in scaling up to a reasonable level. However, it is tough to scale this grow similar to that of large regions such as Europe Partnerships with JSW Motors and Hero Motors position India as a very interesting market.

- **Asia.** The ramp-down on large engagement in the geo is likely to be a drag on growth over the next couple of quarters. KPIT hopes to offset this and revert to organic growth on sequential basis led by ramp-up of engagements elsewhere.

- **Revenue cannibalization.** Investments in platforms and IP had US$65 mn impact on annualized revenues for FY2026. This drag is likely to nearly halve in FY2027E. Proactive cannibalization of revenues by the company would help in gaining wallet share among larger accounts.

- **Platforms and IP.** Over the past 5 quarters, the headcount has declined. The better metric is to gauge benefits is to measure revenue per employee which has been inching up consistently over the last few quarters despite challenging demand. The company expects continued employee productivity increases leveraging platforms. To capture these benefits, KPIT expects to invest US$15-20 mn over the next 2-3 years in strengthening platform capabilities. The company has adopted solution-based approach to ADAS, digital cockpit and end-to-end validation. Further, with investments in N-Dream, the company aims to unlock non-traditional engagement models such as licensing revenues based on per vehicle per year constructs. In addition, KPIT sees more use cases of AI emerging in validation services which would drive incremental benefits.

- **Medium-term aspirations.** KPIT believes that it has the potential to accelerate revenue growth to mid-to-high teens range even as near-term revenue growth would be more moderate. Revenue growth acceleration in the medium-term would be led by investments in R&D aiding wallet share gains as well as adjacencies such as CV, off-highway and defense as well as scaling up regions where the company has sub-scale presence.

- **Alignment with spend evolution.** The recent investments in Caresoft and N-Dream indicate measures undertaken by the company to position itself as a beneficiary in areas of increasing client spends. KPIT has been ahead of the competition in investing in new areas historically as well. For instance, the company was among the early ones in the industry to explore infotainment as a growth opportunity. Currently, KPIT is exploring battery technology including fuel cells but uptake has been modest.

- **Margin.** Early R&D investments in new areas differentiate KPIT from the competition. However, the company doesn't intend to participate in commoditized services which would impact profitability of the business.

Lenskart: February 23, 2026

Key takeaways

- **SSSG.** Management stated that the SSSG growth has been ~15% for the past ~20 quarters. The SSSG in 3QFY26 was exceptionally high, driven by a change in mix, i.e., higher sales of progressive lenses. The company is more focused on SPSG and its market share in existing pin codes.

- **Densification.** Lenskart used to open ~100 stores a year until FY2022. Over FY2022-25, the company opened ~300 stores a year. The company feels comfortable with opening 350+ stores a year now. Management highlighted the under-penetration of optician stores in India and believes there is less threat from cannibalization in this category as compared with apparel.

- **Store network.** The decision on opening new stores is not dependent on the city itself and is more dependent on the micro-market. The company captures various data points to analyze the revenue potential of different micro-markets.
  - The company avoids opening new stores in the same cluster. If a store in an existing cluster is not able to service the demand in the cluster, then the company increases the store size.

- **Eye tests.** The company is focused on increasing the number of eye tests it conducts. In India, the current eye testing facilities are limited relative to the need.

- **Profitability.** After a certain scale in the business, there is structural operating leverage advantage that drives margin expansion. The company is also making investments into higher vertical integration, which will also drive margin expansion. Management guided toward ~25% post-rent EBITDA margin in the long term.

- **International.** The myopia rates in Asian countries are high, with low penetration of eyewear products. Lenskart's focus is to organize the international markets it has entered and increase the penetration of eyewear products. It will not allocate large capital to international markets apart from store openings. The company has started using GeoIQ to map new store openings in international markets.

- **Customer behavior.** The company believes eyewear can be utilitarian and fashionable. Management wants to increase the frequency of purchase of existing customers by focusing on the fashion aspect of eyewear products. In the eyewear industry in India, the average customer purchases 1.8 eyewear products every two years, whereas the average Lenskart customers purchases 3.6 units every two years.
  - According to management, AI can enable improved online purchase experience for customers.

- **Competition.** In the past 10 years, Lenskart has experienced competition in India and the international markets it entered. The strategy, which has worked for the company, has been to focus on improving the customer experience and NPS.

- **Misc.** (1) The Hyderabad facility will cater to India and international eyewear demand. (2) According to management, the quality of eyewear is the biggest factor for customers who purchase from Lenskart.

LG Electronics: February 23, 2026

Key takeaways

- **Demand and outlook**. Management noted that competitive intensity increased during the festive season, with peers offering higher sales promotions. Demand build-up following the GST announcement, led to a pickup in TV and RAC sales. In 4Q, demand has been strong, with AC billings in January surpassing expectations. TV sales have also picked up, and performance in washers and refrigerators are healthy. For FY2026E, the company has guided flat/LSD yoy revenue growth with double-digit EBITDA margins.

- **Home appliances**

  - **RAC**. The industry demand in December was supported by extended five-month credit and higher dealer margins. LG did not consciously push primary sales during December to normalize channel inventory. They collected purchase orders during 21-31st December, translating into a strong January performance; February trends have remained healthy. Summer sentiment is positive, with southern markets expected to pick up. LG focused on building inventory of new-rated 3-star models and old-rated 5-star models. Price increases stood at ~7% for 3-star and ~9% for 5-star models. The company has re-entered the fixed-speed AC segment (~12% of overall market), with 3-star window/1.5 ton split launched in February in select markets.

    - **Essential series** targeted at tier-2/3 markets and first-time buyers in small towns. The company aims for refrigerators and washers in this series to contribute ~10% of respective product sales in FY2027E. A 0.9-ton inverter AC has been launched, with plans to expand the series through additional SKUs and segments. They also introduced top-load washers that can work in low water pressure markets (can also pour water manually, if needed).

  - **Non-RAC**. The company took price hikes of ~2% in refrigerators and washers in October 2025 and they will evaluate more hikes once new-BEE rated refrigerator sales begin. LG has launched AI-enabled 2.0 washers, which adjust wash cycles based on dirt levels in addition to load size. On the premium side, capacity for 650L+ refrigerators and higher capacity washers are available at the Pune plant. The company is planning to foray into chest freezer market (Rs30 bn market size; 7-8% of overall market) in April with six models (100-500 liters), while built-in kitchens are also under evaluation.

    - **Capex**. The third plant is planned to come up in phases, with the first RAC line by October, compressors by 4QFY27, washers by FY2028E, and refrigerators by FY2029E. In compressors, LG's current capacity is 1 mn and the new plant will add another 2 mn capacity, which will enable it to sell externally as well. This new plant could have some margin impact initially due to fixed costs and amortization but the AP grant is expected to ease the amortization pressure to some extent. Further, the plant is expected to be fully commissioned by FY2029E, with peak asset turns of 2x.

  - **Home entertainment**. The festive season was relatively short, resulting in a sharper spike in demand, particularly for larger screen sizes, where sell-outs were observed amid limited inventory availability leading to some market share loss. November and December were weak, while January demand has improved, supported by cricket-related consumption (ICC T20 WC), with February trends pointing to higher growth.

  - **Exports**. LG India's refrigerator specifications align with US requirements, presenting a meaningful exports opportunity. US demand for side-by-side refrigerators is currently met via Vietnam, and washers via Mexico. Exports from India to the US are incremental to supplies from LG Vietnam, with some models differentiated. Further, these exports markets are also growing and LG might face capacity constraints in existing exporting geographies. LGE India's current export revenues stand at ~US$ 160 mn, which are expected to double in FY2027E, driven by incremental volumes from existing geographies and addition of new geographies (US/EU). Exports currently account for ~6-7% of sales, with management targeting ~20% salience over the next 3-4 years. The company is already exporting air conditioners and refrigerator and is exploring washer exports to the EU and US. Management highlighted that export and B2B margins are superior to B2C margins.

- **Grants.** The company secured an incentive of Rs7.1 bn from the government of Maharashtra against investments of Rs7.1 bn made between November 1, 2017, and October 30, 2024. The incentive entitlement is valid for 15 years starting from May 1, 2025, to April 30, 2040, with an annual disbursement cap of Rs470 mn. Revenue subsidies include GST refunds, which should support margins. Andhra Pradesh offers 100% capital subsidy for land, building, and machinery, with entitlement certificates issued after procedural timelines.

- **Others**. (1) localization has increased from 45.1% in FY2022 to 53.8% in FY2025 and is expected to increase to ~55% in FY2026E, with a targeted 2–3% increase annually over the next three years. (2) In data center cooling solutions, discussions are ongoing between LG Global and Microsoft, though no agreement has been finalized (LGE India should benefit from this, when it happens as they have capabilities to execute HVAC projects), (3) LG has hired separate heads for AMC, exports and a Chief Strategy Officer who will focus on new segments such as chest freezers.

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LIC: February 23, 2026

Key takeaways

- **Execution on IPO targets has been accelerated.** Non-par share is up to 36% significantly above the 15% target espoused at IPO. Contribution of Bancassurance and alternate channels is also above 7% (5% target), showcasing the delivery/execution prowess of LIC.
- **Market share gains to accrue.** LIC has ambition of owning 60% of overall GWP in life insurance and 40% in retail premiums. Currently, LIC is at 57% in overall GWP and 36% in retail premiums. Top-5 players own 80% of retail business anyway. LIC aims to increase ticket size to gain market share as currently LIC has >60% market share in retail business based on the number of policies.
- **Ticket size to rise.** The average ticket size of LIC's polices is likely to rise, driven by upselling to the existing customer base. LIC plans to focus its energy on the lower end of the market underserved by the private sector. These customers have not realized the need for higher protection; hence, the sum assured of policies and ticket sizes has been low post-Covid. As the needs of these customers surpass the government scheme benefit, the ticket sizes will rise.
  - Overall, premium and APE will likely grow in double digits in FY2026E against flat volumes in FY2025. In 9MFY26, growth was strong at 16% and will likely sustain until the end of the year.
- **Product launches drive growth.** LIC has expanded its product portfolio coverage, allowing agents to better convert sales. ULIP and non-par growth was supported by the launch of these new products. New NFOs also aided volumes in 9MFY26.
- Group business continues to anchor scale, while individual business growth is being rebalanced toward quality rather than policy count. The company acknowledged that policy volumes may remain under pressure as minimum ticket sizes rise, but sees this as a necessary trade-off.
- **Persistency trends were weak, will likely improve hereon.** Declines in early duration persistency were largely expected due to (1) historically low-ticket policies, (2) monthly/high-frequency premium modes and (3) higher share of self-employed customers. Premium weighted persistency remains healthier than policy count due to weakness in low-ticket size policies. Persistency trends are expected to improve, driven by (1) higher minimum ticket sizes after new surrender value guidelines, (2) rise in the share of non-par and annuity and (3) digital servicing and revival campaigns.
- **On commission deferments—LIC did one round last year (after SV guidelines).** IRDA has asked life insurers for data on commission payouts made to distributors. LIC has already increased the trail commission in non-par products after surrender value guidelines. The impact of this deferment was evident for the first three months, but volumes normalized after this period as agents adjusted to the new normal.
- **Slowly scaling the protection business.** LIC has historically been focused on the savings business instead of protection. This has been ingrained in the ethos of the company and distribution network. Term business in India was largely driven by the private sector. As reinsurers tightened supply post-Covid pricing in the term business improved across the sector. Now, LIC is competitive with most private players on term insurance pricing and aims to grow the business in metros and upper-tier cities through digital channels. LIC remains cautious on scaling the protection business through the traditional agency channel due to higher instances of fraud.
- **Margin improvement led by a combination of structural and cyclical factors.** Favorable yield curve movements supported economic assumptions in 3QFY26. The product mix shift toward non-par materially improved VNB margin. Cost discipline, particularly in operating and management expenses, digital initiatives and workforce rationalization (through retirements and younger hiring), is structurally lowering the cost base.
- **Successful pivot in non-par products.** Non-par savings and annuities are now core margin drivers. Several legacy or less-efficient products have been withdrawn and new launches are more economically disciplined, with higher ticket sizes and longer tenures.
- IDBI, Axis and Indian Bank are key bancassurance partners. LIC competes with private insurers by ensuring availability of sales support and strong demand from customers.

Lodha Developers: February 23, 2026

Key takeaways

- Management highlighted that the company delivered strong 3QFY26 pre-sales of Rs56.2 bn (+25% yoy) due to five new launches of Rs96.2 bn during the quarter and strong momentum in sustenance sales. For 9MFY26, pre-sales grew 14% yoy to Rs146.4 bn—achieving 70% of the FY2026E guidance of Rs210 bn (+19% yoy), with a 33% embedded EBITDA margin. Management expects to launch projects worth Rs 130 bn in 4QFY26 (Rs70 bn in Worli, Rs15 bn in Pune, Rs15 bn in Sewri and the balance from new phases at existing projects). It expects the new launches to contribute 35% of the total pre-sales and the balance from average Rs3.5 bn weekly sustenance pre-sales to meet FY2026 targets. Collections in 9MFY26 declined due to a pause in construction because of environmental regulations, reducing OCF to Rs39 bn; management expects to achieve full-year OCF guidance of Rs70 bn as construction picks up. Lodha is targeting a consistent 20% pre-sales CAGR over the next few years, with 20% RoE and conservative leverage (net debt/equity: <0.5X).

- Lodha added five projects with GDV of Rs338 bn in MMR, NCR and Bengaluru in 3QFY26, taking the 9MFY26 business development to Rs588 bn, more than double its annual guidance of Rs250 bn for FY2026E, providing a healthy pipeline for future sales growth.

- The company had recorded Rs6.9 bn of land sales in FY2025, including a transaction with a leading global hyperscale data center player at a price of Rs210 mn/acre. Management stated that the current discussions are in the Rs300-400mn/acre range and expects the residual data center earmarked land on market rate of Rs500-600 mn/acre. Lodha has currently earmarked 400 acres of land in Palava for data centers—it is planning to use 1/3rd of these 400 acres for exploring opportunities through models such as powered shell and partnerships for data centers, while the balance 2/3rd would be as land sales. It will also benefit from the data center incentives, making the investment into this space attractive, with at least 15% of the capex through tax subsidies and 30% of the opex being incentivized through power subsidies. Management believes that the data center projects (lease model) have the potential to yield Rs30 bn annuity income, with 90% NOI margins in 5-6 years at a capex of Rs150 bn.

- Lodha's land sales have been generating healthy annual cash flows in the past three years; it is now targeting Rs10-12 bn annual land sales over the next few years. Management highlighted that these transactions generate high EBITDA margins of 80-90%.

- Connectivity to Palava is likely to improve due to infrastructure developments such as the Airoli-Katai Naka Freeway, Mumbai Trans Harbor Link and the operationalization of additional metro lines. Other major connectivity enhancements such as the upcoming Navi Mumbai International Airport and BKC-Ahmedabad bullet train are likely to further appreciate the value of Lodha's 4,000-acre land parcel in Palava. Management expects the premium sales mix to improve from the current 35% to 50% in FY2027E.

- Lodha has been diversifying its top-line—it is targeting Rs5 bn (run rate) of annuity income by FY2026 and Rs15 bn (run rate) by FY2031 through warehousing business, facilities management business and commercial/retail assets. It is building 8.9 mn sq. ft of annuity assets, with potential rental income of Rs11.6 bn and a balance investment of Rs18.4 bn (Rs35.6 bn invested to date). This includes rental of Rs5.7 bn from office and retail and Rs2.9 bn of rental from warehouses, along with Rs3 bn from the facilities management business.

Maruti Suzuki: February 23, 2026

Key takeaways

- **Segment-wide demand recovery**
  - The recent GST rate cut has successfully improved affordability and stimulated demand, particularly in the entry-level "mini" car segment.
  - Prior to the GST cut, mini segment sales had plummeted to around 5k-6k units per month (down from historical highs of 30k). Post-GST, sales have rebounded to 12k-14k units per month.
  - Management views the mini segment as a critical bridge for consumers upgrading from two-wheelers to four-wheelers and is committed to maintaining its presence in this space, even as competitors exit.
  - The share of first-time buyers (defined strictly as a family purchasing its first four-wheeler) has increased 7 percentage points to 48%, following the GST reduction.
  - While the IT sector is experiencing slowdowns and job cuts (impacting sentiment in hubs such as Bangalore and Hyderabad), robust hiring in sectors such as banking, construction and hospitality is providing a counterbalance.
- **Pricing strategy and commodity costs**
  - The company is currently contemplating a price increase, but is taking a cautious approach to avoid destabilizing the recent demand recovery.
  - Management believes the current inflation in metal/commodity costs is driven by speculative activities rather than a structural supply-demand imbalance.
  - If the company determines that commodity prices will remain elevated for an extended period, it will implement a price hike; however, its priority is to sustain the current sales momentum.
  - Any future price increases would likely be designed to offset commodity inflation and routine human resource cost resets (typically occurring in April), rather than aggressively expanding profit margins.
- **Discounts and regulations**
  - Showroom inventory is extremely lean, currently sitting at just three days.
  - Discounts in the lower tax bracket (18% GST) segment are minimal due to strong demand from first-time buyers.
  - In the higher tax bracket (40% GST) segment, discounting remains prevalent because growth is slower and these buyers are typically "replacement" buyers who wait for deals.
  - Regarding CAFE III norms, management noted that the regulations are still evolving; it advocates for a "multi-technology approach" that does not unfairly penalize small, efficient ICE cars compared with EVs or strong hybrids.
  - Upgrading a small hatchback to a strong hybrid system would result in a disproportionately massive price increase (e.g., 50%) compared with an SUV, which management argues defeats the purpose of an affordable entry-level vehicle.
- **Supply chain and semiconductors-related challenges**
  - The company currently does not view semiconductor shortages as a significant risk to operations.
  - Management noted that while memory chip prices are rising—specifically for the nano-chips used in AI and data centers—automotive applications typically utilize larger and older-generation chips.
  - Maruti Suzuki does not hold semiconductor inventory directly; rather, it relies on large Tier-1 electronic component suppliers to manage global supply chain requirements and inventory.
  - While the company is monitoring geopolitical tensions (e.g., Chinese rare earth magnets) and potential supply chain shifts, it has not received any indications of immediate availability issues from its suppliers.

Capex and depreciation

- The company is operating at 100% capacity and faces constraints, particularly on lines shared between popular models such as the Brezza and the new Victoris.
- A new manufacturing plant is scheduled to come online in April, followed by additional capacity in July.
- The new capacity of 250k units is expected to generate a depreciation impact of approximately Rs2 bn per quarter.

Exports strategy

- Exports currently account for about 18% of the company's total volume, but management anticipates this share could grow to 20-21% by FY2030-31E.
- The company heavily pushed exports in recent years to utilize capacity when domestic demand was sluggish, but it is now balancing confirmed export orders with recovering domestic demand.
- Maruti leverages Suzuki's vast global network to quickly pivot export destinations when geopolitical or regulatory issues arise (e.g., shifting volumes when Sri Lanka faced balance-of-payment issues or Algeria changed safety regulations).
- The company is projecting a "step jump" in exports for FY2026 as new markets open up and EV models are introduced.

Max Healthcare: February 23, 2026

Insurance: After the resolution, Max got moderate hikes (Max has not shared the quantum) from the four insurance companies (Star Health, Niva Bupa, Care, Tata AIA) with whom there was a conflict. Now, for these four insurance companies, a process has been put in place for automatic renewals annually. Hopefully, this will avoid stalemates in the future. This episode has been a learning for Max and all stakeholders. This disruption has not just been only for Max. This disruption impacted insurance companies too. The number of complaints by patients and insurance companies was up significantly in 3QFY26. The top 4-5 insurance companies constitute 24-25% of Max's insurance revenues.

Medical inflation: Like-for-like medical inflation is in low single digits.

Insurance empanelment: For a brownfield expansion, negotiation is not required with the insurers. For greenfield expansion, a fresh contract with insurance companies is needed. Typically, this is completed within six months after NABH accreditation. There are different rates for NABH and non-NABH accredited hospitals. Usually, hospitals are bifurcated into Tier-1/2/3 and tariffs are decided for the different tiers. So, for a new greenfield hospital, negotiation is not on tariffs, but on the classification of the hospital into specific tiers. Usually, a new hospital gets NABH accreditation and insurance empanelment in 6-9 months.

Oncology: Pricing was high for the discontinued patented chemotherapy drugs, but the EBITDA contribution was lower as Max earned less than 20% margins on these drugs. CGHS has asked to supply these drugs at 30% discount to MRPs. Hence, Max has discontinued the supply of some of these drugs. Max is in discussions with the government to normalize the pricing. For now, the government has directed the CGHS dispensaries to supply these drugs to institutional patients. However, there is a lot of noise by institutional patients over this, as ECHS and other schemes do not have any dispensaries.

Doctor attrition: Max has hired a large team from a competing hospital chain to replace its departed oncology team at one Delhi hospital. The new team has joined from the same hospital chain that hired Max's team. Max's doctors in Delhi NCR have a higher scope of shifting to Max's upcoming hospitals in Delhi NCR rather than joining any other competing hospital. Expansion can lead to temporary increase in clinician costs. Eventually, an increase in doctor costs will be passed on to the customers.

Impact of CGHS and GST:

- **CGHS tariff hike:** Full benefit of CGHS tariffs revision is expected to flow in from April 2026. Max expects a gross benefit of Rs2.8 bn due to the CGHS rate hikes. However, the unfavorable impact of discontinued patented chemotherapy drugs would be Rs800 mn, thereby limiting the net annual sales benefit to Rs2 bn.
- **GST:** There will be a negative impact of GST on sales and margins. Max expects Rs600 mn annual sales/EBITDA debt due to GST. Billing to the patient is done on MRP. Hence, there is an impact on absolute revenues too.
- **Net benefit:** Overall, the annual net benefit (after baking in the impact of CGHS and GST) would be Rs1.4 bn for Max.

Dwarka: Until breakeven, the total loss at Dwarka was ~Rs300 mn. Dwarka is already operating at 75% occupancy, with a 50% institutional mix. Dwarka is generating 20% EBITDA margins. Over the next two years, the cash and insurance mix will increase gradually. This would aid margins.

JHL (Jaypee Noida): The Jaypee Hospital is doing well. The occupancy has moved up. The facility reported 30-35% yoy sales and EBITDA growth in 3QFY26. EBITDA margins at this hospital are 300-400 bps lower than the network margins. The first endeavor was to stabilize operations as the existing facility had a lot of complaints.

Institutional patients: As new capacities come up, institutional bed share may remain elevated.

EBITDA per bed: Max does not focus on EBITDA per bed, but looks at RoCEs while adding capacities.

M&A: Max would prefer to acquire big assets. It can go up to ~2.5X net debt-to-EBITDA if required.

New markets: Max will enter a new market if at least two of its peers demonstrate success in that market. Max has identified 20 such markets.

Expansion:

- **Brownfield (Mohali and Nanavati):** Both the recent brownfield expansions of Mohali and Nanavati have reported an almost immediate uptick. It is a bit difficult to dissect costs between existing beds and the brownfield beds. Incremental beds at these facilities are already EBITDA accretive. All incremental beds to be added in 4QFY26 will add to EBITDA, as there will not be any incremental management and clinicians' costs.
- **Max Smart, Saket Complex (400 beds)**: Infrastructure of ~200 beds along with operation theaters and OPDs is ready for commissioning and Max is currently awaiting the occupancy certificate, which is expected by the end of February 2026. The original timeline shared was FY2028E. Max has completed this facility in 24-25 months. Max has applied for approvals now and expects commissioning by February end in a phased manner.
- **Lucknow (~90 beds)**: The current capacity of the hospital stands at 413 beds and Max expects this to increase to ~500 beds by end-FY2026E. The radiation bunker and nuclear medicine services have now commenced at the hospital.
- **Sector 56, Gurugram (500 beds):** The pace of work at the site has picked up. Max now expects to commission the first phase of expansion by end-1HFY27.
- **Nagpur (100 beds)**: Max has received consent to establish and civil work has started. Max expects to complete this project within 24 months.
- **Zirakpur, Punjab (400 beds)**: The project work continues to be on track and Max is on schedule to commission the hospital in FY2028E.
- **Vaishali (200 beds)**: Max is awaiting environmental clearance and approval of building plans to commence the work on site. Max expects to complete the project in 24 months after the receipt of these approvals.
- **Patparganj (397 beds)**: All approvals have been received and barricading work is complete. New design has been firmed up and the project is now expected to be completed by FY2029E.
- **Dwarka (260 beds):** The Board has approved the addition of 260 beds at the existing site, taking the hospital's total capacity to 560 beds. Max expects to complete this addition in two years.

Financials:

- **Capex:** ~Rs19 bn in FY2026E. This is the budgeted capex. Actual spends could be slightly lower. A lot of the expansion capex is back-ended.
- **Net debt:** Net debt might increase by Rs5-6 bn by end-FY2026E.
- **Net debt/EBITDA:** <1X.

Mindspace REIT: February 23, 2026

Key takeaways

- Management highlighted that the leasing momentum remains strong—Mindspace REIT achieved healthy gross leasing of 1.1 mn sq. ft at an average rate of Rs79 per sq. ft per month in 3QFY26, taking the 9MFY26 gross leasing to 3.6 mn sq. ft at an average rate of Rs78 per sq. ft per month (7.6 mn sq. ft in FY2025). The 9MFY26 leasing included 2.2 mn sq. ft of re-leasing and 1.5 mn sq. ft of new + vacant area leasing.

- The same is reflected in improved earnings—NOI witnessed 29% yoy growth, reaching Rs6.7 bn in 3QFY26, driven by improvements in in-place rentals to Rs74.7/sq. ft and higher occupancy on expanded area of 31.2 mn sq. ft and acquisitions in Hyderabad. The NOI margin for the quarter improved slightly to 82%. The committed occupancy for Mindspace's portfolio stood at 92.8% and management noted that it is even higher at 94.5% if it excludes the non-core Mindspace Pocharam asset at Hyderabad, which the REIT plans to sell. The REIT has been receiving inquiries from redevelopers about the Pocharam asset, with plans to remodel it into a school or hospital.

- Mindspace currently has 3.6 mn sq. ft under-construction area and 3.5 mn sq. ft of future development potential, including the following projects–(1) redevelopment of 1A-1B at Mindspace Madhapur, Hyderabad (1.5 mn sq. ft), entirely pre-leased to a GCC with targeted completion by 1QFY27, (2) redevelopment of B7/8 at Mindspace Madhapur, Hyderabad (1.6 mn sq. ft), with targeted completion by 4QFY27, (3) construction of 0.13 mn sq. ft experience center (Pearl Club) at Mindspace Madhapur, which received OC in 3QFY26, targeted completion by 4QFY26 and (4) construction of mixed-use building B18 in Mindspace Madhapur, Hyderabad (0.53 mn sq. ft), with targeted completion by 4QFY28.

- Management also highlighted the acquisition of three prime CBD assets announced by Mindspace REIT in January 2026–Ascent-Worli (0.45 mn sq. ft) and The Square Avenue 98, BKC Annex (0.22 mn sq. ft) in Mumbai and an office building in Kalyani Nagar, Pune (0.11 mn sq. ft). The total area of 0.8 mn sq. ft was acquired for a consideration of Rs29.2 bn, funded by preferential issuance of units aggregating up to Rs18.2 bn. The REIT's portfolio has expanded to 39 mn sq. ft from 38.2 mn sq. ft post-acquisition. These assets had a combined committed occupancy of 91% with in-place rentals of Rs243/sq. ft and are expected to contribute an incremental NOI of Rs2,262 mn in FY2026 on a pro forma basis, implying a 7.5% capitalization rate. The acquisition has enhanced Mindspace's front-office portfolio value contribution to ~7.9% and increased the GAV from Rs410.2 bn to Rs441.3 bn.

- Management expects earnings growth in FY2027E, aided by (1) the redevelopment of 3.1 mn sq. ft in Mindspace Madhapur, Hyderabad, by end-FY2027E, (2) the completion of the Pearl Club—0.13 mn sq. ft in Mindspace Madhapur, Hyderabad, by end-FY2026E, (3) the re-leasing of 1.3 mn sq. ft of expiries and (4) the further demarcation and consequent leasing of the SEZ area.

- The net debt position for Mindspace REIT stood at Rs102.2 bn, as of December 2025, up from Rs99.2 bn in September 2025. Management noted that the LTV for Mindspace was low at 24.9% and the cost of debt decreased to 7.39%, as of December 2025, from 7.52% as of September 2025—management expects a further reduction of 25-30 bps by end-FY2026 as the firm gravitates toward fixed costs and shifts to a lower proportion of variable interest debt.

- Management anticipates good leasing traction and rental escalations for its Airoli assets to continue, aided by infrastructure improvements such as the Atal Setu Bridge and the Navi Mumbai Airport, along with flight to quality, with tenants displaying higher preference for grade-A office buildings, even for mid-office and back-office locations.

Neogen Chemicals: February 23, 2026

Key takeaways

- **Base business:** Management expects base business revenues of around Rs9.5-10 bn in FY2027. Once the factory is rebuilt, the company will optimize product-mix, focus on efficiency improvement and expects revenue to grow to Rs11-11.5 bn, including Rs2.5 bn from CSM, with around 10% exposure to semiconductor chemicals such as high-purity gases used in etching applications. Management emphasized that the near-term priority for the base business is operational stabilization and efficiency improvement rather than expansion. The company is reducing its product portfolio to 120 products from 150, which is expected to improve asset utilization and enable revenue scaling without additional capital expenditure. The base specialty chemicals platform continues to offer diversified exposure across agrochemicals, pharmaceuticals, flavors and fragrances, semiconductors, etc. Within this, management highlighted niche exposure to organolithium chemistries, including applications in advanced specialty gases supplied to markets such as Japan and Korea.

- **Battery chemicals:** Battery chemicals remain the key driver of near-term growth. Current market prices stand at US$6-8/kg for electrolytes and US$20-25/kg for LiPF6 salts. At full utilization, 5 KTPA of salt capacity can generate revenues of approximately Rs12 bn, with salts alone capable of contributing 50-60% of targeted battery chemicals revenues in a downside scenario. Management indicated that technology transfer with Exide has already been completed, while majority of work has also happened with Amara Raja, Reliance and Tata. Electrolyte utilization is expected to ramp up progressively, reaching full utilization by FY2029, supported by the scaling up of domestic battery cell manufacturing.

- **Domestic demand visibility:** Management expects at least 30 GWh of battery cell capacity to be operational in India by June 2027, led by players such as Ola, Exide, Waaree, Amara Raja, Reliance, and Tata. The company is already supplying electrolytes to Ola and a few other manufacturers, while undergoing qualification with all major domestic cell-makers. Of the six large domestic battery cell manufacturers, four have completed sampling and are at lab-level qualification stage, representing 14-15 GWh of initial capacity, while commercial discussions are ongoing with the remaining two. Management indicated that Indian sourcing is currently the most attractive option for domestic customers, with China serving as the alternative supplier.

- **Working capital normalization:** Net working capital days are targeted to normalize at 120-140 days by FY2028, once disruption-related inefficiencies fully taper off. Elevated insurance premiums should also normalize by then.

- **Battery chemicals capex:** Total capex for battery chemicals stands at Rs15 bn, funded through a 70:30 debt-equity mix. The company is developing 30 KTPA of electrolyte capacity, scheduled for completion by 1HFY27, and salt capacity split between 2.5 KTPA at Pakhajan and incremental capacity at Dahej.

- **Debt servicing profile:** Interest payments for the Pakhajan project will commence from April 2027, while principal repayments begin from April 2028. Salt-related repayments are modest, limited to around Rs200 mn annually, providing near-term balance sheet flexibility.

- **Equity and insurance inflows:** Management reiterated plans for a Rs1.5 bn promoter equity infusion by March 2026, along with Rs1.9 bn of remaining insurance recoveries, in addition to further rebuilding and loss-of-profit claims. Morita Chemical will also bring in Rs1.8-2.0 bn toward its contribution to the joint venture.

- **Pakhajan facility update:** Trial production at the Pakhajan salt facility is expected by 2QFY27, with commercial contribution starting from 3QFY27 onward.

- **Sodium-ion outlook:** Management indicated that sodium-ion batteries use largely similar electrolyte chemistry (e.g., NaPF6 with broadly similar solvents) and will merely require substituting sodium carbonate in place of lithium carbonate. However, they do not expect sodium-ion to be a mainstream EV chemistry because sodium is a larger/heavier ion, which drives higher requirements for materials such as copper, aluminum and a bigger battery pack/BESS module for comparable performance.

- **Other takeaways:**
  - Over the medium term, management targets ~20% pre-tax RoCE on salts, supported by minimum annual offtake commitments of 40% by a large customer, predictable pricing formulas linked to lithium inputs, and strong structural tailwinds from EV and BESS demand.
  - India's battery demand is expected to scale from approximately 25 GWh currently to 80-100 GWh by FY2030, creating sustained demand for both electrolytes and salts.

Oberoi Realty: February 23, 2026

Key takeaways

- Management highlighted that the pre-sales in 3QFY26 were weak at Rs8.4 bn ((-)42% yoy) as it had no new launches, with the 9MFY26 pre-sales also down 15% yoy. During the quarter, Three-Sixty West in Worli contributed Rs2.7 bn of pre-sales (32% share) and Mulund (Eternia and Enigma) contributed Rs2.3 bn (27% share), while Elysian and Borivali contributed 15% and 11%, respectively, of the quarterly pre-sales. Contribution from the Thane projects was healthy in the context of limited inventory—Jardin, Pokhran Road, and Forestville, Kolshet, saw Rs773 mn and Rs469 mn of pre-sales, respectively.

- Management stated that some planned launches for the quarter were delayed due to changes in the projects' design/specifications. It now expects to launch new towers at Goregaon and Borivali (Rs25-30 bn over an area of 0.6-0.8 mn sq. ft each) and its maiden project in Gurgaon (Sector 58) in 4QFY26, although the latter could slip to 1QFY27. It is also looking to open additional inventory at its Pokhran Road project (Jardin) during the quarter for the sale of lower floors, as the current inventory only includes higher floors (at higher prices). These would be followed by the launch of its redevelopment projects in Mumbai over the next 7-8 quarters (starting with Peddar Road and Adarsh Nager), which should aid the pre-sales performance.

- Management also highlighted that it has recently entered into a redevelopment agreement for a land parcel measuring 4,706 sq. meters situated at Nepean Sea Road, Mumbai. The company's entitlement of free sale component from the project is estimated to be around 0.12 mn sq. ft (RERA Carpet area). This could offer a potential GDV of Rs18 bn, at an average realization of Rs150,000/sq. ft.

- The above land deal follows a series of transactions done by the company over the past 2-3 years—Tardeo redevelopment (Rs30 bn GDV), Peddar Road redevelopment (Rs35-40 bn GDV), Sector 58 in Gurgaon (Rs75-80 bn GDV), Worli redevelopment (Rs62 bn GDV), Carter Road in Bandra (Rs6 bn), Alibaug development (Rs15-20 bn GDV), Bandra Reclamation (Rs38-40 bn GDV) and some consolidation of land in Mulund. It expects to launch most of these projects over the next 12-24 months.

- On the annuity side, management highlighted that the business continued to see strong traction, with revenues of Rs3 bn (+33% yoy, +3% qoq) and a healthy 93% EBITDA margin, owing to improving occupancy at Commerz II/III and Sky City Mall, Borivali. All annuity assets saw good occupancy in 3QFY26–Commerz at 96% (flat qoq), Commerz II at 100% (96% in 2QFY26) and Commerz III at 90% (87% in 2QFY26). The Oberoi Mall saw stable 99% occupancy and 8% yoy EBITDA growth to Rs508 mn, while the new Sky City Mall contributed Rs431 mn EBITDA (+4% qoq) at a higher 56% occupancy. Oberoi is planning to start construction for the I-Ven annuity asset and the proposed hotel (JW Marriott) and mall in Thane.

ONGC: February 23, 2026

Key takeaways

- **KG98/2 gas production**: According to management, all mega structures and living quarters have been installed. All the 26 wells have also been drilled. The company is in the process of commissioning and are expecting gas to flow by April 2026. The current gas production from the KG98/2 basin is 2-3 mmscmd. It expects incremental production of 5-6 mmscmd in FY2027, taking FY2027 exits at 7-8 mmscmd.
- **KG98/2 oil production**: The current oil production from KG98/2 is 25-30kb/d. As gas production ramps up, it expects incremental oil production as well. However, the estimates of oil production will be available based on actual flow.
- **Daman upside**: ONGC expects gas to come up from this project by March 2026. The peak production from this field is expected to be ~4-5 mmscmd, which will be achieved in FY2027E.
- **BP TSP**: According to ONGC, the initial outcomes from BP partnership in Mumbai High are positive, and it can give some guidance of incremental production after 4QFY26. The company is producing more oil and gas than it earlier expected. Apart from MH field, ONGC is looking for TSP for other fields in western offshore.
- **Capex guidance**: The company has reiterated its annual capex guidance of Rs300-350 bn, mainly focused on E&P of oil and gas. Apart from this, ONGC will incur capex for its plan to reach 10 GW of the green energy target by 2030E. ONGC's portfolio already has 2.5 GW of renewable energy capacity.
- **NWG gas**: ONGC expects 25% of its gas to fetch NWG prices by end-FY2027. The gas from the KG98/2 field will be sold at HPHT prices, while the new gas from Daman upside will fetch NWG price.
- **Andaman offshore**: The Andaman region has been a key area of focus for both upstream companies and the government. Most of the fields in this region are deep/ultra-deep water, which are expensive for exploration and drilling. There has been a talk that the government will support the companies drilling in Andaman offshore, but there are no details as of now as it is still under discussion.
- **Mozambique project**: The force majeure has been lifted in Mozambique and the work is in full flow. Management expects LNG production to start by CY2028E. Apart from the initial acquisition cost of US$4 bn, ONGC has so far spent US$2.5 bn in Mozambique for its 16% share in the project. It further will need to make an investment of ~US$1.5 bn in the project.
- **Russian dividend**: According to ONGC, due to ongoing sanction, repatriation of dividend is difficult. For Vankorneft investment, the dividends have been released and are being used to further investment. For Sakhalin, the investment due to a change in structure and sanctions, the dividends are not being declared and profits are being accrued. At this stage, it is not clear when the dividends will be announced, and what will be ONGC's share.

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Petronet LNG: February 23, 2026

Key takeaways

- **Dahej expansion**: The expansion of Dahej terminal from 17.5 mmtpa to 22.5 mmtpa is expected to be mechanically completed by March 2026. PLNG plans to keep some spare capacity after the expansion, which will be used for spot volumes. The total capex for expansion was ~Rs6 bn, which is significantly lower than a comparable greenfield terminal. According to PLNG, if the current off-takers, take additional volumes on the expanded capacity, it could negotiate lower tariff. However, tariff for existing contracts would not be changed.
- **Dahej utilization**: Management expects the utilization at Dahej terminal to be strong. After the third jetty, the LNG evacuation capacity is ~30 mmtpa. With connectivity to several key long-distance pipeline networks, Dahej terminal has 35 mmtpa evacuation capacity. So after expansion, if demand is strong, Dahej can easily operate at full expanded regas capacity of 22.5 mmtpa and even higher with minor de-bottlenecking.
- As Dahej has 35 mmtpa of evacuation capacity, the terminal can operate at close to peak levels without downstream bottlenecks, even with the expanded regasification capacity of 22.5 mmtpa. Dahej also benefits from the fact that its tariffs act as benchmark for others.
- **Petchem project**: The company has made substantial progress in the petchem plant. The total capex expected is ~Rs200 bn. The company has tied up a Rupee term loan of Rs120 at competitive rates, and interest during construction (IDC) is likely to be lower than initial expectations.
- **Kochi utilization**: PLNG has made significant improvement in the utilization of Kochi terminal. It is currently operating at ~32-33% (29% in 3QFY26). Management is expecting this to improve to ~40% after the commissioning of the Kochi-Bangalore pipeline and ramp-up additional 1.2 mmtpa LT contract with Exxon-Mobil (starts in April 2026, and to ramp-up in two years). According to PLNG's management, GAIL is expected to commission this pipeline by March/April 2026. The company is targeting a utilization of ~60% by FY2028E for this terminal.
- **Dividend payouts**: Management has guided to maintain the current dividend rate in absolute terms (~Rs15 bn), even with significantly increased capex.
- **Gopalpur terminal**: In 1Q, the Board approved an additional investment of Rs40.5 bn for having Gopalpur as a land-based terminal of 5 mmtpa. This will increase the cost of the project to ~Rs65 bn (earlier Rs23 bn). The company expects the terminal to be operational four years after the approval after environment clearance.
- **Qatar downstream agreement**: For the 7.5 mmtpa Qatar gas contracts, the discussions are ongoing with off-takers (GAIL: 60%, IOCL: 30%, BPCL: 10%). The company is confident the that there will be no downward revision in tariff and annual 5% escalation will also continue. It is optimistic to conclude the downstream agreement over the next 6-8 months.

Piramal Finance: February 23, 2026

Key takeaways

- **Guidance reiterated.** Growth has been strong for large NBFCs, the cost of borrowings has moderated and credit costs have stabilized and are declining for most. Piramal has guided for 25% new AUM growth and a rundown of the legacy book and is on track to deliver this. The RoA target of 3% is retained with 1.8% RoA in FY2026E, up from breakeven in FY2024. Leverage to rise to 5X.

- **Rise in profitability will be driven by operating leverage and fee income.** The cost-to-AAUM ratio is down to 3.8% in 3QFY26 from 4.3% in 3QFY25 and 5.5% in 3QFY24 as the business scales up. Cost-to-AAUM will likely decline further to ~3.5% (3.25-3.75%). Seven quarters ago, Piramal shifted from the upfront recognition of processing fees to amortized recognition. Fee-to-AAUM is up to 1.2% from 0.8% in 1QFY26 and will normalize to 1.5% as the back book impact increases. Credit costs to normalize at ~1.9% (1.6% in 3QFY26), as the share of unsecured loans inches up and a marginal rise in corporate NPLs.

- **NIM to expand—falling cost of funds, rating upgrade and higher share of unsecured loans are drivers.** The cost of borrowings will likely moderate 26 bps in the next two quarters, driven by the repricing of loans. CRISIL and S&P have upgraded the credit rating of Piramal Finance. Once one of the other two rating agencies upgrades the credit rating, Piramal's cost of borrowings can be reduced by 50-80 bps. While the repricing effect will flow in on the entire book, the benefit of a credit rating upgrade will be spread over two years as the older borrowings mature. The share of unsecured will likely rise to 30% from 22%, currently driving a rise in yields.

  - CA/SA growth has been moderate for the entire banking sector and if this sustains, they may raise money in debt markets, crowding out NBFCs. NBFCs have raised US$8-9 bn from external markets in 9MFY26, likely in an effort to diversify their borrowings.

- **Gold loans to be launched.** Gold and MFI (new businesses) are opex-heavy businesses that management expects to grow to Rs100 bn each by FY2030E. Despite this, high growth management expects to deliver on the 25-30 bps cost-to-AAUM ratio.

- **Disbursement growth in the home loan business was strong.** PSU banks remain aggressive and private banks continue to lose market share. Piramal Finance and other large NBFC/HFCs are also gaining share from smaller HFCs.

- **Sharp growth in digital loans.** Piramal Finance is aggressive in the digital loans business; AUM up 31% yoy and disbursements are up 94% yoy in 9MFY26. Sharp moderation in GNPLs (90+dpd of 1.3% down from a peak of 3% in 3QFY25) in the digital loans has provided comfort to management on the segment.

- **LAP delinquencies inched up to 0.6% from 0.4% in 3QFY25**. The industry has witnessed strong 30% LAP book growth in FY2025. The lower end of the segment is currently impacted and the stress is spreading to higher ticket sizes. Piramal Finance's LAP delinquencies are moderate at 0.6% and is showing signs of stabilization. The company has cut 6% of the riskiest business in four tranches to contain the risk. Average yields are at 13.5%, going up to 17% in the lower ticket sizes.

- **Higher ticket size LAP has buffers built in.** Even if stress rises in high ticket size LAP, the eventual credit costs in this business are low. The collateral is of high quality and easily marketable; hence, the losses in these assets remain low.

- **AI to augment.** AI and agentic AI will be a hard leap for the entire industry, as most players use third-party software. Piramal Finance has built its tech stack, internally allowing the easier adoption of AI in the core business functions. Underwriting, portfolio management and other core functions are being done through AI tools. AALOK is a bank statement analyzer built in-house that competes with PERFIOS and Karza. In the unsecured business, CAM of each loan is built by the AI tool (CAM Copilot).

- **Despite recent senior management exits, the business is unimpeded** as experienced internal candidates have replaced them. Imtiaz Ahmed (CBO) was Home Loan Head at Axis and has experience managing a Rs2 tn home loan book. Vikas Arora (COO) was the head of controls at DHFL prior to the merger.

Polycab: February 23, 2026

Key takeaways

- **Cables and wires.** 3Q strong performance was attributed to a lower base, strong demand, tier-3/4 focus, a more customer-centric organization (one-stop solution approach), execution on the ground, and channel stocking in wires. Polycab indicated that by December it had already passed through ~75–80% of copper inflation. The volume growth is usually the strongest in 4Q, and management cited 4QFY25 and 3QFY26 are particularly strong periods; near-term performance, however, remains dependent on March, though trends so far have been decent. Cables and wires contribute ~3–3.5% of the infrastructure projects, with each project typically requiring ~200-250 SKUs. In cables, the organized market is ~80%. Polycab highlighted that its channel partners' inventory is typically ~3 weeks versus ~45 days for peers, enabling its partners to make higher RoCEs despite similar margins. Each cable SKU typically requires 9–12 months for approvals. Polycab cited its scale advantage in breadth with 10,000+ SKUs, versus the next competitor at ~5,000+ SKUs. It emphasized that approvals, right pricing and product availability remain the key levers in cables. ROCE for this segment stands at ~40–45%+, with ~70–75% capacity utilization. Overall, for the next 3–5 years, management does not expect the competitive landscape to change materially.

  - **Wires.** The high opening channel inventory in wires got normalized within the first 15 days of January. It also reiterated that pre-stocking typically happens in wires within the distribution network and price revisions are typically taken at the start of the month. Management also referenced that during FY2022 (when copper prices rose similarly), channel inventory normalized within ~30 days as demand remained robust. The competition in wires remains intense given the category is largely unregulated and unorganized (~40% of the market), with regional players strong in select pockets. Despite this, Polycab highlighted market share gains across both organized and unorganized players, supported by Project Spring, under which the company now runs five product lines across five price points (vs 1–2 lines earlier). The company noted Etira (a tier-3 focused offering) contributes ~15% of the wires mix. Polycab also emphasized its electrician engagement—~200k electricians as influencers—supported by a loyalty construct beyond QR-based instant gratification, with a focus on upskilling and integrating them into the broader Polycab ecosystem. Distributor stickiness remains strong, with 60–65% of dealers associated for over a decade. On new entrants, UltraTech was referenced as an organized participant; management noted its execution strength but also flagged limited distribution overlap between electrical and cement/putty channels. On Adani, management indicated that they are no specific plans declared by them. They noted that Adani group is ~7–8% of industry demand with exposure via Adani-linked power/airport projects. Their future capacity would likely be consumed captively by Adani.

  - **Data centers**. Management highlighted India's installed base at ~1.6 GW is expected to grow to ~8-9GW by FY2030E, implying a Rs250–300 bn incremental demand for W&C. They indicated that Rs35 mn worth of cables are required per 1 MW of capacity, which is split equally between power cables and optical fibres. Polycab noted it has a dedicated DC vertical and is focused on this opportunity, positioning itself as a solution provider with both power cables and optical offerings. It also noted that it has the 3rd highest capacity in OFC cables in India (after HFCL and Sterlite). The company indicated its products are already consumed in the current installed base, and it is engaging with contractors and working through approvals. The optical cables have higher margins (~14-16%), implying DC mix could be higher margin.

  - **Exports.** The company noted that the US imports US$50-55 bn of W&C annually. The tariff rate on India's non-metal components is 18% (versus ~20% Vietnam and ~46% China). It noted tariff rates on Mexico and Canada's non-metal components of copper/aluminum cables are 0%/30-35%; which leads to aluminum cables from India to be ~5% more competitive than Mexico and Canada, while copper cables could be priced ~5% higher. Even with reciprocal duties coming down, Polycab expects tariffs on China to be relatively higher. The India-EU trade deal could reduce tariffs from ~3–4% to 0%, which could improve India's competitiveness in Europe, especially with China+1 thinking. It noted traction in the Middle East and Latin America as well. The company indicated it was receiving enquiries from the US even with 50% tariff, remaining competitive versus South-East Asia. The company stated that US copper cables mix has reduced from ~90% to ~80% over the last 3-4 years.

- **Guidance.** Management reiterated guidance of growing at ~1.5X the market. The company guided for EBITDA margins of 12-14% in near term.

- **FMEG**. Within FMEG, management indicated that fans are currently not profitable among its six segments and that market growth in fans and lighting has been soft. It maintained guidance to grow at ~2X industry growth, while noting it has delivered ~3–4x industry growth in recent quarters. Management expects profitability in fans to improve with a 3–4% price hike linked to BEE and the onset of summer, and reiterated LT margin guidance of 8–10% for the business. Fan demand has not yet shown meaningful traction, though management expects pickup toward end-February and March, and noted that pre-BEE fans are already present in the market. Fans account for ~30–35% of sales (2nd largest segment), while solar is the largest contributor to FMEG.

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PVR INOX: February 23, 2026

Key takeaways

- **Content pipeline.** Management believes that CY2026E pipeline is stronger than CY2025, partly also as the CY2026E line-up includes movies from stars like SRK (*'King'*), Salman (*'Battle of Galwan'*), and Ranbir Kapoor (*'Ramayan Part-1'*). Movie producers are now focusing on large scale movies, especially in Bollywood where there is fresh capital coming in (led by studios that have streaming platforms, such as Jio). Further, the reliance of BO collections on one genre (action) has reduced and multiple genres (comedy, romance, animation, among others) are now doing well. The appetite to watch good-quality content remains.

- **Internal initiatives.** PVR INOX' focus in the past 2-3 years has been on using cash flows to pare down debt. They also took measures to fill gaps in movie calendar through alternate content. They improved free cash flows through asset-light models, wherein tier-2/3 markets saw a lot of traction for FOCO model (100% capex by partner and PVR INOX gets 10-14% management fee). Management fee share (of revenues) varies across revenue streams (higher share in ad revenues).

  - **Asset-light models.** There is good acceptance of this model in markets where PVR INOX brand is strong and competition is less. In South, where multiplex penetration is low but competition is high, the developers have the choice of either to partner with PVR INOX or go with some regional player.

  - **Altering cost structure.** The business had a very high fixed cost structure pre-pandemic. Over the past few years, the company has attempted to make its rentals as variable as possible. In the new screens that they are opening, the deals are with higher revenue share and lower minimum guarantees. This is possible now due to lower competition—for a mall developer, there are no major takers of 50-60k sq ft on floor 3-4 of these malls.

  - **Loss-making screens.** At present, around 10-15% of screens are under-performing or loss-making, which is in line with historical average. Many of these screens, which were signed during 2015-19 period, had very high rentals and a 10Y lock-in. Once these lock-ins expire, the company will either renegotiate the rentals or move to higher revenue share and lower minimum guarantees. PVR INOX closed 160-170 screens during FY2024/25, which would have improved EBITDA by Rs100-150 mn.

- **LT potential.** India remains under-penetrated, with just 9K screens with 50% share of multiplexes (as compared to 40-50k/80k screens in US/China, largely operated by multiplexes). PVR INOX will aim to add 100-150 screens in FY2027E, with about 50% share from asset-light models. The aspiration is to open 150-200 screens in FY2028E. PVR is also working on a 'Smart' screen model for tier-3/4 markets. This new model focuses on lower capex intensity and increased use of technology to provide affordable cinematic experiences specifically targeted at younger audiences.

- **OTT.** The window between theatrical and OTT release for Hindi movies reduced to nil during the pandemic but has been restored to eight weeks now. The direct-to-OTT releases have also reduced materially now and the total OTT subscribers in India have plateaued in 2025. OTTs are also focusing more on long-format series and preferring to buy OTT rights for films only after theatrical releases as they are focusing on their own profitability. The 8-week window plays an important role on perception of viewers.

- **Cinema-going frequency.** PVR INOX has seen an increase in frequency of cinema-going for their viewers. For the tickets booked online, PVR INOX gets data from aggregators (BMS/District) and the company tracks consumer data by mobile numbers. They have segregated the viewers in 220 cohorts, depending on different factors (such as average group size, average spend value, preferred show timings, among others) and they use Salesforce Cloud as a marketing platform, to send targeted promotions to their customers.

  To address declining visitation from value-conscious audiences, the company shifted from a subscription-based 'Passport' model to targeted weekday promotions as filmmakers did not support the former. The launch of 'Blockbuster Tuesdays' in April 2025—offering tickets and food at lower price points (Rs99/Rs149)—successfully captured the price-sensitive segment, including students, the elderly, and former single-screen patrons. This initiative resulted in a 50% increase in Tuesday footfalls, effectively filling lean days while maintaining strong weekend performance.

- **Unit economics (blended average).** Capex varies from Rs25-40 mn per screen, depending on the location and format. On an average, capex is Rs35 mn per screen (180-200 seats/mainstream screen) and 1.25X asset turns (at 27% occupancy). The cash payback period is 3-4 years, with 20-25% ROCE for a new property. A 100 bps change in occupancy can impact EBITDA margin by 300-400 bps (can achieve 24% margin at 30% occupancy and break-even occupancy at blended/cinema level is 20%/16.5%).
- **FCF generation/net debt.** On current screen base, the business can generate Rs10 bn+ EBITDA (pre-Ind AS 116) and FCF of Rs5-6 bn+, as capex intensity has reduced materially. PVR INOX is prioritizing debt reduction, aiming to bring net debt below Rs2 bn by the end of FY2026E and reach a negligible net cash position by September 2026. Once this deleveraging is complete, the focus will shift back to growth, with a target capacity of adding 150–200 new screens annually.

SAMIL: February 23, 2026

Key takeaways

- **Electronics and non-automotive expansion**
  - The commissioning of the third electronics plant is scheduled for November 2026.
  - The non-automotive segment (which includes consumer applications) has reached a US$3 bn order book and management plans to provide a detailed breakdown in 4QFY26.
- **Aerospace segment growth**
  - The aerospace order book has experienced a multifold increase, positioning Motherson as one of the largest component manufacturers for this sector in India.
  - Due to the rigorous 2- to 3-year validation and accreditation process for aerospace suppliers, this business is highly sticky and expected to remain with the company in the long term.
- **Strategic capabilities and acquisitions**
  - Nexans Autoelectric integration represents a strategic foray into the global passenger car segment, designed to increase the overall content supplied per vehicle.
  - The company holds high-voltage EV component capabilities globally and in India, facilitating cross-learning and the sharing of best practices across regions.
  - Management has successfully integrated and grown its Japanese acquisitions over the past three years, now operating three former Honda assets.
- **Global operations and financial discipline**
  - In China, the company maintains a diversified presence through joint ventures and standalone operations, focusing on vision systems and wiring harnesses.
  - The company continues to successfully win new orders from European OEMs.

SBI Life: February 23, 2026

Key takeaways

- SBI Life highlighted sustained business momentum, strong protection-led growth and resilience in margins, despite GST and labor code headwinds. Management reiterated full-year APE growth guidance of 13–14% and VNB margin guidance of 26–28%, maintaining focus on disciplined, sustainable growth rather than chasing volumes.

- **Industry and business momentum.** Management highlighted improvement in industry momentum, supported by GST exemption on individual policies, which enhanced affordability and demand, especially for protection. SBI Life continues to outperform industry growth, driven by scale, productivity and diversified distribution.

- **Growth outlook and APE guidance.** SBI Life reiterated full-year APE growth guidance of 13-14%. Management indicated that fourth-quarter absolute volumes are typically lower than the third quarter, though underlying growth momentum remains intact. Early trends do not indicate any structural slowdown in demand.

- **Protection—core growth engine.** Protection continues to be a key growth pillar, supported by GST exemption and rising customer awareness.

- **Non-par to grow.** Management reiterated a clear strategic focus toward non-par products, given current market conditions. Non-par is positioned as the preferred long-term growth engine. Non-par share is targeted to increase to ~23-24% over the next few years. This shift is expected to be gradual and market-driven rather than forced. Management noted that small savings instruments such as NSE-linked products, Kisan Vikas Patra and PPF remain at ~7% and have not yet been reset by the government. In FY2027, these rates are expected to decline, which should support a 2-5% incremental uplift in the non-par mix.

- **Solvency, capital and dividend.** Solvency moderated due to strong growth in sum assured, driven by higher protection mix. Management indicated a comfortable range of 192-202%, expressing confidence that back-book growth and expected fourth-quarter business will offset any solvency impact from dividend payouts. No capital raise is envisaged, with internal capital generation remaining strong.

  - Management indicated that the upcoming **risk-based capital (RBC)** framework should reduce the need for capital raising. RBC will not make any particular product artificially more attractive and will be harmonized across the industry.

- **Commission reforms** are likely, either through caps, deferrals or a combination. Management believes SBI Life is structurally better placed, given its low-cost model. Commission caps could be product-based, channel-based or hybrid. The last major commission reset was in 2016, followed by EOM in 2023. If commission deferral is introduced, management believes it could be VNB margin accretive, depending on the final structure.

- **Persistency and book quality.** Management attributed the decline in 61st-month persistency to the COVID cohort, reiterating that this is the final affected cohort. Other cohorts (13th, 25th, 37th month) remain stable to improving. Renewal premium growth remains strong, providing comfort in underlying book quality, with no long-term operating concerns highlighted.

- **Costs, opex and commissions.** A one-time labor code impact of ~Rs. 1.35 bn has been absorbed during the year. GST on commissions and labor code changes temporarily inflated cost ratios, though management reiterated that SBI Life remains the lowest-cost operator in the industry. As scale benefits and product mix improvements flow through, cost ratios are expected to stabilize. No adverse regulatory developments were flagged on commission caps.

- **Riders and cross-sell.** Riders now account for ~30% of the individual sum assured, with policy-level attachment at ~35-40%. Rider attachment on renewal premiums has commenced for products open to new business, with further expansion planned over coming quarters. Riders sold are treated as new business premium, with no material margin impact.

Shriram Finance: February 23, 2026

Key takeaways

- **Retains strong guidance.** Shriram Finance aims for 18-20% loan growth in FY2027E. This will be driven by existing asset classes; the company does not plan on expanding into new products. NIM will stabilize at 8.7% as the benefit of credit rating upgrade and repricing of older high-cost borrowings is offset by lower yields in new vehicle loans. The share of new vehicles will likely rise as the benefit of AAA credit rating is used to lend to seasoned borrowers at lower interest rates (~12%). An 80-100 bps reduction in the cost of borrowings is expected over FY2026-28E, driven by a credit rating upgrade. Credit costs to normalize to 1.8% by FY2028E. The steady-state RoA target of 3.5% may reach 4% in the transient phase after capital infusion.

- **MSME growth to pick up by June 2026.** MSME growth will likely pick up to 20% over the next two quarters as the tariff issue normalizes. Shriram has paused branch expansion in this business and gold loans in the past two quarters. New branch openings (up to 650 in MSME and 700 in gold loans) will also drive incremental growth. Most segments were firing strong weakness in MSME and construction equipment dragged down overall AUM growth to 15% in 9MFY26.

- **Cost ratios to remain stable.** Cost-to-income ratio will remain stable at 28%, despite branch additions in MSME and gold loan business. Expansion into new vehicle business will not require additional investments. 90-95% of new vehicle loan disbursements are to existing customers.

- Even in new branches, the disbursements are largely to people within the existing ecosystem. New borrowers have to be endorsed by existing borrowers, hence ensuring portfolio quality even in new locations.

- **Capex woes in construction equipment financing.** Capital expenditure of state and local governments has been tepid, leading to a moderation in CE loan book for Shriram Finance. Incrementally, the book is expected to stabilize at current levels.

- **No shift in strategy.** MUFG will nominate two members to the Board, but will have no representation in management. Hence, there is no sharp shift expected in the strategy of Shriram Finance after the deal. Since the company can grow at a fast pace within the existing segments, there is no push to expand the product suite. MUFG may intervene in the technology and governance aspects, since they have experience operating in global markets.

- **Focused on lending against income earnings assets.** The share of unsecured is <7-8% and will remain in this range. ~60% of the portfolio is secured against vehicles that are used for income generation.

- **Credit costs to remain stable.** ECL model reset is expected in 4QFY26E. Credit costs are likely to be <2% in FY2026E, including the impact of the planned ECL reset. Temporary upticks in Stage 2/Stage 3 in select segments (MSME, construction equipment, personal loans) were linked to sector-specific issues (e.g., export-linked MSMEs facing tariff uncertainty).

- **Benefit of credit rating upgrade to accrue over time.** After capital infusion, the liquidity on the balance sheet will remain elevated for two quarters. The company will focus on replacing older borrowings with newer lower-priced ones, as it would not require liability to fund growth after capital infusion. The maturity of liabilities will flow through over time, leading to a gradual moderation in the cost of borrowings.

  Mixed outlook on vehicle finance. Commercial vehicle sales volumes have been strong after the GST cut; management remains cautious on this segment due to lower capital expenditure spends by state and local governments. Demand for passenger vehicles remains strong and 90% of the PVs funded by Shriram Finance are used for commercial purposes. Muted investment in public transport in rural has driven up demand for PVs. Used CV cycle to pick up in FY2027-28E and sustain until FY2032E.

- **Other highlights.** Director and CCI approvals are planned to come through in February 2026 and close the transaction by end-March 2026.

Sun Pharmaceutical Industries: February 23, 2026

M&A: The US continues to be an important focus area for M&A, especially for innovative medicines. Within EMs, SUNP is looking at smaller acquisitions, which the company can integrate with its existing business. SUNP will remain disciplined about acquisitions. The focus remains on growing the business organically. The company will look at acquisitions only if they help it with its long-term growth opportunity. SUNP has indicated in the past that it needs to be confident about managing M&A without diluting focus on its own organic growth. SUNP is comfortable raising debt (not quantifying it though) for M&A. The peak debt-to-EBITDA also depends on the cash generation ability of the target.

Global Innovative Medicines (24.4% of 3QFY26 sales):

- **Ilumya:** SUNP has filed sBLA with the US FDA for Ilumya for psoriatic arthritis. The US FDA has recently updated Ilumya's label with the latest data. SUNP launched Ilumya in India in 3QFY26 and the initial response has been encouraging. The company has launched the pen dosage in Canada and other few markets. In the US, SUNP is pleased with the HCP administration mode and is focusing on growing the same.
- **Unloxcyt:** Early feedback on the US launch of Unloxcyt has been encouraging. The launch efforts have been initially focused on educating clinicians and the early feedback is encouraging. SUNP has completed stocking and has got initial orders, with distribution agreements in place. SUNP is having active discussions with payors. Discussions with formulary players have been progressing well. Distributor network is in place. Given this is an oncology product, most prescriptions will come from health systems. SUNP is in touch with leading cancer centers in the US. Given its strategy, SUNP mostly expects new CSCC patients for Unloxcyt. There could be some patients who have had tolerability issues with the two existing options who could move to Unloxcyt too. However, SUNP is majorly targeting new patients for this product. SUNP is evaluating other indications for this molecule.
- **Leqselvi:** Initial signs have been impressive, as physicians are recording hair growth in patients. All patients on JAK inhibitors need genetic testing. SUNP is covering the cost of the test on behalf of the patient. SUNP is working with leading test providers to provide this test to patients. There is an opportunity for more diagnosis in this indication. Hence, having additional competition is a good thing. Some patients who have not responded to the existing two JAK inhibitors (Olumiant and Litfulo) are responding to Leqslevi.
- **Fibromun:** There is no priority review classification according to SUNP's current understanding. Philogen is responsible for development and filing.
- **Milestone income:** The milestone income may or may not recur in the future. Hence, it should be treated as a one-off income.
- **MFN—GLOBE and GUARD models:** According to SUNP, it would be speculative to comment on possible outcomes at this point. There are three models—voluntary model (Medicaid) and the other two are in the comments stage (this would continue over the next month). SUNP is working on all possible endeavors to mitigate the possible impact. No pharma company has given any details, except for product names, about their agreements with the US government. SUNP is in discussions with the US government on many topics.
- **Commercialization spends (US$100 mn in FY2026E):** The spends are increasing in 2HFY26 as SUNP has just launched Unloxcyt.

US (27.5% of 3QFY26 sales):

- **Outlook:** SUNP expects generics to start to recover once the regulatory situation improves, as this will enable SUNP to launch new products.
- **Ex gRevlimid:** Excluding gRevlimid, US generics sales were slightly lower sequentially in 3QFY26. This is due to specific competition in certain products.
- **gRevlimid:** There was a negligible contribution of gRevlimid in 3QFY26.

India (32.3% of 3QFY26 sales):

- **Volume growth and new launches:** Sales growth continues to be driven by volumes (6.1% yoy volume growth in 3QFY26) and new launches, as compared with the overall market.
- **GLP-1:** SUNP plans to be in the market on Day 1. SUNP has got approvals for diabetes and weight loss indications. SUNP has ensured sufficient supplies to meet demand in India. SUNP will add a few MRs for this launch (some have already been added). SUNP is not commenting on Semaglutide tablet at the moment. It is excited about the opportunity. The generic launch will improve access and expand the market.

EMs (19.4% of 3QFY26 sales):

- **Sales growth:** C/c growth stood at 13% yoy in 3QFY26, led by generics and innovative medicines. All major geographies have done well.
- **Key markets:** Romania, South Africa and Brazil have done well in local currency terms.

RoW (17.1% of 3QFY26 sales):

- **Sales mix:** SUNP has seen growth both in generics and innovative medicines.

R&D:

- **Overall R&D spends:** R&D spends are linked with timelines of clinical trials. R&D spends should increase as the company has just started trials for GL0034.
- **GL0034:** SUNP has initiated global Phase 2 trials for GL0034 for Type 2 diabetes. Over the next few months, SUNP will be publishing data from the Phase 2a studies at certain conferences. However, data from the Phase 2b studies will be out in the next 12-18 months.
- **New areas:** SUNP is evaluating the biosimilars opportunity by re-looking at the overall cost of development, time-to-market and commercial opportunity size. SUNP is evaluating whether to enter newer therapies. It is doing a commercial risk benefit and time-to-market and return analysis.

GLP-1: SUNP refrained from commenting on its strategy for generic Semaglutide outside India.

Financials:

- **SG&A:** SUNP expects slightly higher spends in 4QFY26 due to Unloxcyt's launch.
- **Tax rate:** Tax rate will be ~25% in FY2027/28E.
- **Net cash:** US$3.2 bn.

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Swiggy: February 23, 2026

Key takeaways

- **Management guidance.** Management guided toward CM neutrality in the next two quarters. This margin expansion will be driven by (1) 150 bps from an increase in monetization and (2) 50 bps from cost optimization, driven by improvement in utilization. An increase in monetization will be a combination of (1) an increase in take rates, (2) a rise in brand advertising, (3) a higher share of non-grocery products and (4) a higher user fee collected. In 4QFY26, the sequential volume growth will be steady driven by the increase in store throughput. Management guided toward ~6-7% CM and 4-4.5% EBITDA margin in the steady state.

- **Store network.** The store addition is determined by the existing coverage and density. According to management, the company is able to service demand with its existing store network and does not need to add stores at a rapid pace as of now. It currently has ~4.8 mn sq. ft of dark store space. Instamart is adding stores in areas, where existing stores have reached maximum capacity. The stores reach maximum capacity at 2,000 OPD.

  - Management is not in a hurry to add stores in new cities. The economics in tier 3 and beyond cities will depend on its distance from existing warehouses. The consumer behavior, however, is not very different from top-tier cities.

- **Take rate.** The company has improved its assortment and the take rate will improve with a lag. According to management, the difference in take rate in the grocery segment is ~100 bps versus the leading player. The delta is much larger (200-250 bps) in the non-grocery segment as the leading player has been present in the non-grocery segment for longer. The increase in take rates is driven by increase in scale and volume growth. The non-grocery take-rates are 5-10% lower than grocery take rates as the AOV is higher.

- **Product mix.** The revenue per order for non-grocery products are higher, as the products have higher AOV. The contribution per order is thus also higher, although the take rate is lower. According to management, non-grocery products will account for 35-40% of the mix, at most. Grocery products will account for majority of the assortment as the grocery segment is what drives engagement and frequency. The company also stocks products to cater to seasonal needs such as ACs in summers and gold during Diwali and festive seasons.

- **E-commerce.** E-commerce is able to provide a wide assortment of products for every category. In QC, the platforms will only stock the top SKUs of products within each category. The aim is to direct customers toward QC first for low-involvement purchases.

- **Users.** Management is focused on increasing its share of customers acquired organically. According to management, customers it acquired by providing no-fee delivery had retention rates and repeat metric that were lower than the platform average. The cost of acquiring customers were thus not justified and the company discontinued the no-fee delivery campaign.

- **Inventory model.** According to management, there is an advantage of 70-80 bps from shifting to an inventory model. The company will place a limit on its foreign-shareholding once the domestic shareholding reaches 51%. As of now, the domestic shareholding is ~47.5%, an increase from ~21% at the time of the IPO. The inventory model will be more working capital intensive, although there will be no change in the operation of the business.

- **AOV.** According to management, the AOV ranging around ~Rs700 is the sweet-spot for the industry as it enables higher frequency. An AOV that is artificially higher also opens avenues for disruption by newer offerings.

Tech Mahindra: February 23, 2026

Key takeaways

- **AI impact on services.** AI productivity gains will be reduced in the enterprise context. Enterprise technology complexity is underappreciated. There is a complex interplay of multiple technology systems. Domain expertise of system integrators enables them to add value during enterprise AI adoption. For AI agents, multiple aspects such as governance, monitoring and change management will require IT services. There will be deflationary pressure on IT services. But modernization of legacy systems needs to happen to give broader benefit of AI adoption to enterprises.
- **AI adoption.** Client discussions are not reflecting large productivity expectations from Gen AI adoption. Companies that baked in large productivity benefits from Gen AI last year are struggling to execute on the productivity plans. TechM believes in providing a robust plan to clients on how the efficiency would be achieved. This will help win deals even if efficiency promised to clients is lower than that promised by competition. TechM won a couple of deals using this approach even when competition promised larger efficiency gains. Newer AI announcements can lead to a relook at possible productivity gains though.
- **Industry growth.** Expect better growth for IT services industry and TechM for next year based on pipeline and deal conversion trends. TechM expects Gen AI deflation headwinds to be offset by tailwinds. For TechM, deal momentum and deal decisions have not seen a significant impact so far and have been getting better.
- **Vertical-wise commentary.** Telecom vertical demand is improving. TechM has several deals in the pipeline in Europe. Retail, travel and logistics grew double digits in FY2026E and can do a similar performance in FY2027E given strong pipeline. TechM has gained share in aero sub-vertical within manufacturing and has managed to offset weak trends in automotive. TechM is expanding in key accounts in BFSI at a gradual pace.
- **AI productivity.** Technology is moving so fast that clients will keep coming for incremental productivity asks. Average deal tenure is 4-5 years. TechM has the credibility to drive transformation at scale. TechM is proactive on renewals.
- **FY2027 outlook.** Continue to expect revenue growth will be ahead of peer average. TechM has the perfect size and scale to be a trusted partner for clients.
- **Margins.** Margin benefit from GenAI for service providers if there is any will be transitionary.
- **Agents.** In AI, new model will involve both humans and agents. For example, IT services effort will change from 100% human labor in the past to perhaps 70% human labor, 20% from third party agents and 10% from internally developed agents.
- **Supply side.** There is pressure on select skills involving AI talent.
- **Acquisitions.** Focus in on tuck-in acquisitions for capabilities and client access with size under US$100 mn revenue.
- **Pricing.** Does not expect significant change to pricing.
- **Beyond FY2027.** TechM can choose to aspire for either (1) lower or at par growth with peer average and 100 bps annual margin improvement or (2) higher than peer average growth with stable margin profile.

Torrent Pharmaceuticals: February 23, 2026

TRP-JB merger:

- **Update on timelines:** TRP acquired a controlling stake (46.39%) from KKR, followed by another 2.41% stake from certain employees. JB will be consolidated from January 21, 2026, on a line-by-line basis. TRP expects the SEBI approval soon. It will file with NCLT in the next few days. After this, it will take 6-9 months to integrate both entities.
- **Operations:** The priority now is to ensure continuity in business operations and ensure a smooth transition to the new leadership team. Until the effective merger order, both entities will remain separate. All decisions of JB will remain with JB until the merger is completed. The divisions can work together only post-merger.
- **Synergies:** TRP will focus on cost synergies in the first year (starting January 21, 2026) and will look at revenue synergies only from the second year.
- **Cost synergies:** Some part of the cost synergies will start flowing from now on. Major part of the cost synergies will flow in post-integration. TRP is waiting to understand the business more. TRP expects to generate cost synergy benefits of Rs4-4.5 bn annually after the next 2-3 years. 20% of these will start flowing in from the first year (starting now), with 80% in the second year and 100% in year 3. This does not include gross margin expansion from the ophthalmology and Azmarda portfolios of JB.
- **Revenue synergies:** TRP will look at revenue synergies only one year from now. Cross-selling (like in Curatio) can be done in mature divisions. There are certain pockets within established JB brands, wherein TRP's MR and corporate equity can be leveraged, especially in cardiac and gastro.
- **EBITDA margins:** There is scope for bringing JB's EBITDA margins close to TRP's EBITDA margins in FY2027E.
- **Outlook:** Fundamentals of JB's business are fairly robust. Medium-term prospects are very strong. There will be some course corrections in 4QFY26 due to changes in business practices and integration of processes. Hence, 4QFY26 could be a bit muted for JB in India and international. TRP expects JB to get back on track from 1QFY27.
- **Attrition:** MR attrition in the past six months has been in line with historical levels. TRP does not expect it to increase. TRP will actually reduce attrition as much as possible.
- **Amortization:** Amortization for JB will be over 15 years. By the end of February 2026, TRP will have the PPA figures in place.
- **Senior-level attrition:** For critical roles such as CFO, there will be a separate team until the merger. Eventually, it will all merge into TRP.
- **International:** International business of JB is complementary and everything aligns with TRP's current strategy.
- **Trade generics:** TRP does not expect to continue with the trade generics business of JB. If not completely stopped, it will look to shift this business to the branded generics divisions, as JB's trade generics segment is operating at nil margins.
- **Net debt to EBITDA:** TRP expects to close FY2028E with a net debt-to-EBITDA of 1-1.2X. By FY2029E, net debt-to-EBITDA will reduce to 0.5-0.6X. TRP (ex-JB) had a net debt of Rs8.8 bn, as of December 31, 2025.
- **Interest cost:** ~7.6%.

Semaglutide: TRP does not have fill-finish capacity. The company has oral capacity. Hence, the injectable product will be partnered with all markets. TRP will launch first in India, followed by other markets.

India:

- **Outlook:** TRP should continue to outperform IPM led by volume growth.
- **Curatio:** Curatio grew 27% yoy in 3QFY26 and 9MFY26, driven by OTC ad spends and field force expansion. Strong growth should continue in 4QFY26 too.
- **Field force:** Currently, TRP has 6.9k MRs. It plans to have 7-7.1k MRs by end-FY2026E and 7.5k by end-FY2027E.

Brazil:

- **Outlook:** Excluding Semaglutide, TRP is targeting 10-15% yoy secondary sales growth in Brazil.
- **Pending approvals:** TRP has 60 pending approvals.
- **Launches:** TRP plans to launch 5-6 products annually.
- **Price hikes:** The market growth has slowed down to 6-7% yoy and TRP is targeting 10-15% yoy secondary sales growth. Inflation has come down and companies are unable to take 4-5% yoy price hikes like earlier.
- **Semaglutide:**
  - **TRP's entry:** TRP expects to launch gOzempic in Brazil, sometime in FY2027E. It acknowledges it will be late in the market. However, the opportunity will be larger than the India opportunity. It is hoping to be the fifth player in the market.
  - **Market size:** Ozempic is a US$275 mn market right now.
  - **Pricing:** Price erosion depends on how many players enter the market and the strategy of players. 45-50% price erosion is a good assumption.
  - **Wegovy:** Wegovy generics in Brazil will be after Ozempic. Wegovy is a bigger market than Ozempic.
  - **Wegovy versus Ozempic substitution:** The Brazilian laws require pharmacists to keep a copy of the prescription. The government is strict with this product and substitution at the pharmacy level is difficult. Hence, it is difficult for substitution to happen between Ozempic and Wegovy.
  - **TRP's approval:** TRP's file has been with the regulator for several months. The file has moved up in queue compared with other TRP filings as the regulator is also prioritizing this product. TRP believes its file is solid. However, TRP is not guiding for a timeline on the approval.
  - **Distribution:** TRP has partnerships with large distributors, which can ship refrigerated products. Brazil is a prescription-driven market and locking distributors do not work in the country.
  - **Oral product:** TRP is looking at the oral launch in Brazil. It has not filed it yet.

US: TRP has a healthy pipeline and it continues to augment its pipeline. US sales will inch up hereon. TRP plans to launch 5-7 product annually. TRP is hoping to cross US$200 mn US sales in FY2027E.

Germany: The Germany business grew 8% yoy in 3QFY26. On a c/c basis, sales declined 6% yoy due to disruption at the third-party supplier's end. The supplier is caught up in regulatory issues. Things are taking longer than expected and TRP is not sure about the timeline of resumption of normal supplies. The company is working on moving to alternate suppliers and moving to its own facility. It might take 3-4 quarters for sales to normalize. The disruption is fully reflected in TRP's reported numbers.

Other markets: TRP is targeting Russia, Mexico and the Philippines and is targeting the scale-up these markets to ~US$50 mn each in 3-4 years. There are other markets, which are at annual sales of ~US$10 mn right now and should pick up. TRP is aiming to scale up these markets to annual sales of~US$25 mn. JB does not have much sales in Mexico and Philippines. JB does ~US$10 mn sales in Russia (TRP already does ~US$20 mn). TRP will use the combined scale to increase visibility and momentum in these markets.

Trent: February 23, 2026

Key takeaways

- **Densification.** The company has started to add a higher proportion of stores in tier 3 and tier 4 cities. These stores will have a lower revenue per sq. ft as compared with stores in tier 1 and tier 2 cities. Management is also focused on improving the quality of its presence in micro-markets that it exists in. The decision to open a new store depends on (1) the location, (2) the right building and (3) the cost. The company will continue to prioritize the quality of customer experience and the store portfolio. The impact of this on SSSG and store economics is secondary.
  - A better location for a store becomes available in the proximity of an existing, profitable store with strong margins, but at a much higher rent. If the company takes it, the older store's sales may decline due to cannibalization. In the short term, the profitability percentages may look worse. However, the new store may offer significantly better brand presence and long-term potential.
  - If the old store is closed immediately, the company will lose profitable cash flows. The assumption that all customers will migrate is also not guaranteed. Some may simply shop elsewhere. Therefore, keeping both stores for a period may strengthen the brand's micro-market presence. Over time, one may outperform and the other can be exited if needed. Management noted the low costs associated with shutting down stores.
  - According to management, two stores in proximity may report negative SSSG, but they will also generate positive cash flow.
- **Brand.** The company is more focused on its long-term brand profile than short-term profitability. The quality of the brand for Zudio is determined by the quality of the Zudio stores.
- **Profitability.** Management's priority is to put customer experience and portfolio quality ahead of short-term economics. According to the company, the long-term implications of compromising on experience and brand quality are far riskier than compromising temporarily on profitability.
- **Competition.** In India, retail has always been an industry with low barriers to entry and high competition. Management will remain focused on being relevant to customers to counter brand dilution.
- **Pricing.** In Zudio, the increase in ASP will be driven by the customer's choice and is not forced by the company. Management wants to maintain the entry price point for Zudio and customers can choose to trade up or trade down. The company is only focused on ensuring that the customer makes its purchase from Zudio and not elsewhere.
- **GST.** In October, the company saw customers prioritize electronics and white goods, driven by the decline in prices. However, this was a short-term spike in demand and not a long-term driver of demand.
- **International.** The company has existing Zudio stores in the Middle East and is seeing positive traction. According to management, there is headroom for growth in international markets.

Utkarsh Small Finance Bank: February 23, 2026

Key takeaways

- **Asset quality**
  - Management indicated that the asset quality in microfinance business has continued to improve. While the month of October 2025 saw several disruptions due to festive holidays, x-bucket collection efficiency and SMA book have steadily improved thereafter. Accordingly, slippages are likely to decline further from hereon. This normalization has helped to reduce the formation of new stress.
  - The bank's delinquency resolution efforts have been recently boosted by splitting of microfinance branches and through the use of centralized call centers for overdue accounts.
  - However, the bank will continue to make provisions for existing stress on the balance sheet (microfinance NNPA of ~Rs6.4 bn and PAR 31-90 of Rs1.7 bn). As a consequence, profitability is likely to remain depressed for some more time.
  - Management remains optimistic about steady reduction in credit cost going forward. The availing of CGFMU guarantee will also help to reduce the cyclicality of earnings going forward.
- **Loan growth**. With the recent equity capital issuance (rights issue) and the improvement in asset quality, disbursements have also picked up for the bank. It seems only a matter of time before loan book also begins growing. Loan growth will be driven by non-microfinance businesses which can grow 25-30% yoy.
- **Deposit growth**. Mobilization of deposits is not a challenge for the bank at its scale. Over the past year, deposit mobilization has been consciously tepid because asset growth has been slow. Management has strategically let go off bulk deposits during this period (bulk term deposits down ~35% yoy). On the other hand, retail deposit trends have been quite encouraging. As growth picks up, the bank has the option to dial up on bulk deposits as well if required.
- **Microfinance business**. With asset quality almost near normalization, management expects JLG business to reach growth of ~15% yoy over the medium term. Management expects the share of microfinance to stabilize at ~30% over the next few quarters. Within microfinance, the individual loan business is expected to grow faster and it will remain the cornerstone of the bank's microfinance strategy going forward. Management expects lower risk in this business because it involves individual assessment of credit risk through personal discussion, FOIR-based credit assessment and a compulsory auto-debit mandate. Credit function in this business is separate from the business team. Individual loan business continues to grow quite fast (~3X yoy).
- **Operating profitability**. Management expects operating profitability to improve gradually led by better margins, higher non-interest income and operating leverage. NIM outlook hereon will be supported by reduction in slippage-related interest reversals, while the term deposit book will continue to reprice lower. Improvement in business trends (disbursements) will also boost fee income hereon. Cost ratios should improve on the back of certain cost control initiatives, reduction in collection-related costs and portfolio growth. Staff cost has been elevated recently due to elevated incentives as well.
- Management remains optimistic about delivering healthy profitability (RoE of ~15%) in FY2028E.

Varroc Engineering: February 23, 2026

Key takeaways

- **Financial turnaround and debt reduction**
  - The company aims to achieve Rs200 bn in total revenue by FY2030E, which includes an internal target of Rs170-180 bn from the India business and Rs50 bn from the overseas operations.
  - Net debt has been drastically reduced from historical levels of Rs14-15 bn down to roughly Rs4 bn, with the ultimate goal of becoming debt-free.
- **Growth drivers and EV transition**
  - The company's overall revenue growth is targeted at 17-18%.
  - The transition to EVs provides a massive boost to content per vehicle. While ICE 2W content ranges from Rs5k (100cc) to Rs17k-18k (higher cc), EV content is over Rs 30k per vehicle.
  - The EV component business (motor, controller, BMS, DC-DC converter) is highly "sticky" and concentrated; customers who buy the motor typically prefer the same supplier for the controller and BMS.
- **Customer base and market position**
  - Varroc's top-five customers currently include Bajaj (25-30%), Mahindra & Mahindra (~12%), Honda and Royal Enfield (6-7% each).
  - The Indian business has been growing at 13-15%, though it experienced some drag because its largest customer lost market share in the ICE segment.
- **Overseas business and margin expansion**
  - The overseas business, historically a drag on overall metrics, is projected to cross Rs20 bn in revenue by FY2029E due to strong visibility from recent order wins (including high-voltage PCBs and wall chargers).
  - Management is targeting a 0.5% annual improvement in contribution margins through value engineering and utilizing its China team for cost-effective global sourcing.
- **International R&D**
  - The international business is retained primarily for technological cross-learning, customer connectivity (e.g., Ducati, BMW) and its electronics portfolio.
  - Electronics R&D relies on a lean, agile setup in Poland (around 30 people) focusing on "build-to-print" solutions rather than heavy foundational capital expenditure.
  - A non-compete clause with Plastic Omnium for 4-wheeler lighting expires in October 2025, after which Varroc plans to re-explore this global market through its Thailand facility.
- **Capital expenditure and non-automotive diversification**
  - Capital expenditure is projected at approximately Rs 2-2.5 bn for FY2025, rising to ~Rs 3.5 bn for FY2026E and FY2027E, before tapering.
  - The company is exploring non-automotive adjacent markets, using its motor know-how to develop BLDC motors for fans, AC coolers and washing machines as an import substitution strategy.

Varun Beverages: February 23, 2026

Key takeaways

- **Growth and margin guidance.** VBL management reiterated its guidance to deliver double-digit volume growth in India in CY2026E. On profitability front, the management aims to maintain standalone EBITDA margin at the current ~26% levels if the summer shapes up well. VBL noted that extreme temperature (El Niño) can be counterproductive as it prevents people from going outdoors. A normal warm summer is the ideal scenario for strong volume growth. Net realization growth in the domestic market is expected to be influenced by multiple moving parts— it would most likely trend downwards (CY2026E versus CY2025) due to pack upsizing.

- **Portfolio mix**

  - **Dominant core (60% salience)** comprises Mountain Dew, Sting, Nimbooz, and Cream Bell. This portfolio has higher profitability and is less prone to disruption from competitive intensity due to its strong brand equity. Sting commands 80% share of the energy market. Mountain Dew has remained undisrupted by Coca-Cola. Dairy portfolio grew at 80% yoy in CY2025 and accounts for 1%/3% in volume/value (after trebling capacity recently).

  - **Competitive core (26% salience)** includes the primary CSD brands (Pepsi, Mirinda, and 7Up). While this is the area of highest noise and competition, it continues to grow at a steady rate, partly aided by formula tweaks and reduced sugar content.

  - **Water/juices (14% salience but 28-30% volumes)** currently is the lowest profitability band. Management is looking to strengthen this segment through leveraging the GST drop (from 12%/ 18% to 5% for juices/water) with launch of Rs10 packs of Nimbooz orange and lemon variants. Water is 30% of realization versus CSD and is a highly fragmented market. VBL water product sales are largely driven by distribution capabilities and visi-cooler network rather than marketing driven, and are relatively less impacted (compared to Bisleri) by intense competition from Campa in the water portfolio.

- **Portfolio augmentation**.

  - **Nimbooz Lemon and Orange (Rs10 juice variants for 180 ml)**. These extensions of Nimbooz were launched recently in the Northeast, West Bengal, UP, and Bihar regions, specifically targeting rural markets, which have seen strong competitive intensity from Campa and B-brands space. These Nimbooz variants can also be produced on the existing water lines (without additional capex), allowing VBL to leverage the existing infrastructure. GST on juices is 5% versus 40% on CSD; net realization per case for these variants would be about Rs200/case versus India portfolio average of Rs170-175/case. EBITDA margin is lower than that of other products due to higher trade margins (as % of sales) and PET bottle costs (as % of sales) for Rs10 SKU.

  - **Adrenaline Rush (Rs60 for 300 ml; launched two variants)**. Adrenaline Rush launch is a strategic move to trade consumers up the price ladder from the Rs20 Sting. Rs60 (mid-priced) is one of the fast-growing price-points currently and is better on profitability. Even if it cannibalizes Sting to some extent, the margin gain is expected to more than compensate for the volume shift.

  - **Jeera soda**. VBL will launch two versions (low sugar and zero sugar varieties) in the next month to tap into the fast-growing jeera soda segment. Along with these, VBL is also exploring other new launches such as flavored milk and coconut water.

- **CSD market structure.** Indian market can be divided geographically with the North and East (N+E) representing 2/3rds of the market, while the South and West (S+W) make up 1/3rd. Urban markets account for ~75% of the demand and the balance 25% comes from rural markets, where the consumer behaviour is driven by price rather than taste. As a result, the growth of Rs10 price packs (and hence Campa) is relatively high in the rural markets. Further, the market is characterized by the presence of B-brands, which have ~20% market share (with 80% dominated by Pepsi and Coca Cola). VBL's new innovations are designed to target these B-brands.

- **Competitive intensity from Campa.** VBL is navigating a heightened competitive landscape, and intends to defend its market share, through a two-pronged strategy:

- **Aggressive pack-size upgrades** - VBL upsized its Rs20 pack of the primary CSD brands from 250 ml to 400 ml; Product upsizing is not meaningfully margin dilutive, as additional volumes do not attract additional royalty costs (VBL's payment structure with PepsiCo is not unit-linked but only price-linked), no extra GST incurred (again price linked), no/low sugar costs, and scope to realize scale benefits (effective distribution of overheads at high volumes). The upsized 250 ml packs account for only 10 percent points of the 56% salience from Mountain dew + Pepsi + Mirinda + 7Up portfolio and hence it does not have significant impact on the net realization at company level.
- **Tactical entry into lower price points** to counter Campa's reach in rural and price-sensitive markets, VBL selectively introduced a Rs10 SKU in 3-5% of the target market, especially in rural areas (believes that its mix will be restricted to limited markets and may not exceed 5-7% of India volumes); Its recently launched extensions under Nimbooz (orange and lemon variants) are also expected to tackle the competition at Rs10 price points.

- **International markets.**
  - **South Africa.** BevCo capacity has increased from 112 mn cases at acquisition to 160 mn cases (at 100%+ capacity utilization). In December, VBL added a new line (4-5% capacity addition), which is operational from this year. ~21% of the volume is from PepsiCo brands, with the remainder being own brands (increased from 15% at acquisition; PepsiCo brand volumes have doubled since acquisition). VBL intends to improve margins from 15% to 18% over the coming years, aided by shift in business mix from MT to GT, backward integration, and cost competitiveness.
    - **Twizza acquisition** will add additional 100 mn capacity in South Africa (60% capacity increase). Post acquisition, VBL operates eight plants across eight provinces, and plans to shift Twizza brands to BevCo to streamline brand architecture and eliminate internal competition (where Twizza and BevCo were competing against each other in the same territories). The expanded manufacturing footprint is also expected to reduce freight costs due to improved regional proximity to retail points.
  - **DRC.** Volume in CY2025 stood at 20 mn cases and the market is now tracking at 2.5-3 mn cases per month.
  - **Kenya.** VBL has initiated a partnership with Carlsberg to enter the beer market, starting with specific international geographies like Kenya (incorporated a dedicated entity). This collaboration is initially focused on the import and sale of beer, allowing VBL to test the market dynamics and leverage its existing robust distribution infrastructure without immediate large-scale capital commitment to its own manufacturing facilities.
  - **Nigeria,** Tanzania, and Ghana regions are operated by the same party. Nigeria is seen as a costly market to operate for VBL.

- **Capex.** Overall organic capex for CY2026E is projected at Rs10 bn, of which visi-cooler capex accounts for Rs2 bn. Rs11 bn was allocated to inorganic expansion (Twizza) in South Africa, which will increase overall capacity in the SA market by 60% to 260 mn cases. Following low capex for the last two years, next two years will be likely characterized by higher capex to support specific growth plans, but more details will be disclosed post June 2026.

- **Others.** (1) low/no sugar mix stands at 59%, (2) in case of market downturn (weak summer scenario), VBL will actively pursue the last remaining geography rights (AP and Jammu & Kashmir), as valuations will likely turn attractive, (3) Nimbooz is the second fastest growing vertical (45% volume growth in CY2025), (4) the net realization growth of international markets in the last quarter was aided by positive currency movements of SA and Zimbabwe (appreciation versus INR) and mix, (5) Twizza's land and buildings are owned by them, which leads to lower rental costs and their plants are run by solar energy, (6) value share of Coca Cola in South Africa could be 75-80%, etc.

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Vishal Mega Mart: February 23, 2026

Key takeaways

- **Store addition.** The company has added 75 stores in 9MFY26 and is looking to add 100+ stores in FY2026, higher than the earlier guidance of 80-100 stores. Management believes that while there is organizational readiness to add a larger number of stores annually, for now the company is targeting the addition of ~100 stores annually. Property availability at the right location and rental is key. VMM is present in 517 cities in India and added 24 new cities in 3Q.
  - **Small format.** In the small format stores, management is focused on ensuring similar relevance and financial outcomes as its large format stores. According to management, it has seen a positive outcome on both its targets so far. However, the company will increase the pace of rollout only after it operates 30-40 small format stores and is able to assess their performance. The contribution of lower price points is significantly more in small format stores than the higher price points as compared with the larger stores. Management has now fine-tuned its merchandise to represent more of the lower price points as the absolute level of pricing is important in the small format stores in smaller towns.
- **Expansion into new states.** The company has 19 stores in Kerala and performance in the state is great. VMM has 19 stores in Kerala and another 20 stores in the pipeline. Maharashtra pilot has been expanded to four stores and to six stores in Gujarat stores. The company will add a few more stores before becoming aggressive on store addition in these states. VMM said it always has 1-2 ideas in pre-pilot stage, which are being internally evaluated. The revenue per store in southern states is lower than the average as there is a higher proportion of new stores. In northeast, the company has a higher revenue per store because many of these stores are feeder stores.
- **SSSG.** The company posted SSSG of 10% in 9MFY26 and this is a sustainable number. Every quarter has some positive or negative factors, which can impact the SSSG and hence, it is best to look at SSSG on an annual basis. Nearly 70% of SSSG was on account of transactions and the remainder was due to an increase in ABV. Majority growth is driven by footfalls and transactions, possibly due to market share gain.
  - SSSG has 3 components: (1) Most dominant component is customers upgrading from mom-and-pop stores and market share gain for VMM, (2) an increase in ABV of existing customers and (3) an improvement in ASP for the company as a whole. In 9MFY26, higher-priced fashion items witnessed a growth of 14% yoy, mid-priced items grew at 9% and lower-priced points grew at 6% yoy. This price upgradation drives ASP growth and thus, SSSG. Impact of these components is different at different points of time. One positive growth driver is volume growth and the company remains focused on improving that number.
  - According to management, the company has reported double-digit growth for the past 7-8 years. The only period of diminished operation and performance was seen during the Covid period.
- **Merchandising.** Every season, the company introduces a few products at one higher price point. This product will target the aspirational consumer. The company also keeps getting cost savings as it scales and these cost savings gets invested in quality improvement or pricing action. The company continues to improve the quality of merchandise at existing price points, but at the same time deliberately attempts to make the consumer try an aspirational product.
- **GST.** Management noted optimism in consumer sentiment in the past few months due to the income tax and GST change. Management believes the impact of this is yet to be seen as demand has been hindered by other issues in the same time period (such as extended monsoon and delayed winter).
- **Discounting.** Some retailers may have discounted during 3QFY26 due to a slow offtake of winter merchandise. Retailers have to balance discounting versus the cost of inventory holding and some may have thus resorted to discounting. However, for VMM, winter merchandise registered double-digit SSSG and thus, VMM did not have to discount the way other market participants did.

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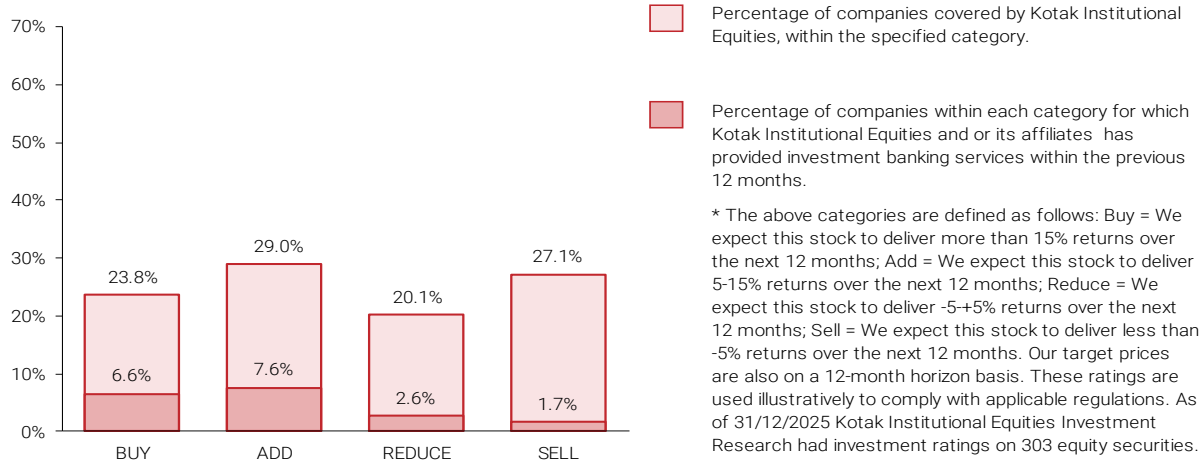

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